

7.3. Communities

Material topic: Value creation in the community



① More information in the *Community Investment Policy*, available on Inditex's corporate website.

7.3.1. Our community investment strategy

GRI 2-23; 2-28; 3-3; 203-1; 413-1; 413-2; AF33

We see community investment as an opportunity to contribute to sustainable development through voluntary activities that go beyond the limits of our value chain and the boundaries of our sector.

All these activities are based on our **Community Investment Policy**, which develops the content on community investment set out in the Code of Conduct, the Sustainability Policy and the Policy on Human Rights.

Our Community Investment Policy was updated in 2022 to incorporate best practices and recommendations. Accordingly, we aligned our initiatives not only with our corporate strategy, but with the Paris Agreement and the Sustainable Development Goals (SDGs), established in the United Nations 2030 Agenda. In fact, the SDGs are the foundation of our community investment programme.

① More information in the *Community Investment Policy*, available on Inditex's corporate website.

Our approach to corporate community investment

We aim to bring about a lasting impact in the community, which is why we focus our efforts on supporting long-term strategic projects, subject to an exhaustive monitoring and accountability process, instead of making sporadic contributions to social or environmental causes.

To achieve this, we invest monetary or in-kind resources or hours—such as our people's time spent volunteering—in an array of **non-profit initiatives**.

Accordingly, we currently support projects focused on:

/ Education: actions aimed at safeguarding the right to quality education throughout life and generating opportunities for decent work grounded on inclusion and equity.

/ Emergency relief: initiatives to safeguard the lives, health and well-being of forced migrants and refugees, as well as other vulnerable groups facing humanitarian emergency situations—natural disasters, armed conflicts or similar circumstances—.

/ Environment: activities aimed at conserving and restoring ecosystems, fostering regenerative practices, supporting the circular economy and using resources efficiently.

The importance of gender equality

We see gender equality as a transversal priority in our strategy. Accordingly, the initiatives we support promote respect for diversity and equality between men and women in all spheres (economic, social, cultural, labour, political, etc.). This approach addresses the root causes of the problem and helps to solve it.

How we monitor our investment

We believe it is crucial to rigorously measure the results and impacts achieved. To do this, we use, among others, the Business for Societal Impact (B4SI) measurement methodology, based on allocating contributions in the community, measuring achievements and evaluating the impact of the various components of the project.

Our Corporate Community Investment in 2023

In 2023 we supported 910 community and environmental projects with an investment of more than 112 million euros. These initiatives, focused on SDGs linked to our activity, have directly benefited more than 4.3 million people⁶⁴.

Among the new initiatives launched this year, the following stand out:

- / Development of emergency relief programmes, in response to the earthquakes in Türkiye and Morocco, as well as Hurricane Otis in Mexico, in collaboration with national organisations like the Red Cross and the Red Crescent.
- / Strengthening stable collaboration in emergency relief, starting with support for the Emergency Unit of *Médecins Sans Frontières* and its programmes to assist refugees and migrants in Bangladesh and Mexico.
- / Establishing a strategic partnership with Conservation International to develop the Regenerative Fund for Nature to support the transition from fashion-related raw materials production to regenerative agricultural practices.
- / Promoting development cooperation through the Every Mother Counts programme extension, in order to provide pre-natal care to pregnant women in Bangladesh and the United States, as well as renewing the *Missão Paz* programme for welcoming and supporting the integration of immigrants and refugees in Brazil.
- / Strengthening social action in Spain based on collaboration with *FAD Juventud* to provide quality jobs to young people in Spain, in particular women, in technological professions with good future prospects, as well as raising awareness for young people in addiction prevention.
- / Strengthening of community programmes in the area of Inditex's main headquarters, based on, among others, renewal of the "A Flote" emergency relief programme for persons in a situation or risk of social exclusion in A Coruña, in partnership with the Municipal Government and *Fundación Emalcsa*, and the collaboration with the Galicia Regional Government to launch the 'Fund for the integrated recovery of the Galician territory affected by wildfires in 2022'.
- / Inauguration of the first for&from store in Portugal, under the Zara Home retail format, in collaboration with *Associação VilacomVida*.

/ Promoting research talent in the university environment, with the renewal of the inMOTION Predoctoral Residency Grant Programme in collaboration with the University of A Coruña.

/ Renewal of the three-year agreement with Tsinghua University School of Economics and Management (China) for student placements abroad, grants for low-income students and traineeships for students in connection with support for vulnerable people.

Our target 2022-2025

In 2022 we undertook to help 10 million people through our community investment programme between 2022 and 2025. In 2023 alone we helped 4.3 million people.



⁶⁴ Inditex's community investment is recorded under heading 6. *Operating expenses* of the Consolidated Income Statement.

Our Corporate Community Investment in 2023*

Impacts / What has improved?

Impact on people - Depth ***

7% experienced limited changes

82% benefited from an improvement in their lives

11% experienced a fundamental change

Impact on people - Type ***

31% obtained behaviour or attitude changes

1% acquired new skills

96% improved their quality-of-life

Impact on community-based organizations****

94 % improved or new services

88 % improved management processes

95 % increased their capability to take on more staff or volunteers

100 % increased their profile

Impact on employee participants*****

99 % improved personal skills

99 % improved personal well-being

99 % experienced a positive change in their behaviour

(*) Data calculated in accordance with B4SI methodology based on voluntary expenditure by Inditex on Corporate Community Investment projects during the financial year 2023. The average exchange rate of financial year 2023 was used to convert contributions into euros. (**) Additional resources contributed to a community organisation or activity that come from sources other than the Company -employees, suppliers and customers, among others-. (***) Impact assessment carried out on 4,059,696 direct beneficiaries. (****) Impact assessment carried out on 275 community organizations supported by Inditex. (*****). Impact assessment carried out on a 225 employees volunteering in 18 countries.



Inputs / What's contributed?

112.6 M€

Invested
in social and
environmental
programmes

8.9 M

Articles
from our collections
donated

338 k

Hours devoted
by employee to CCI activities during working hours

Outputs / What happens?

4.3 M

direct
Beneficiaries

476

**Community
organizations**
supported

910

Initiatives
implemented

107.8 M€

Leverage **

2023 Corporate Community Investment

Increase in the investment

Collaboration beyond cash contributions



13%

increase in garment donations for social causes with respect to **2022**



8%

increase in employee time contributions with respect to **2022**

We have boosted our in-kind contributions, exceeding 8.9 million items donated over the course of 2023, as well as time contributions from employees during working hours, which reached 338k annual hours.

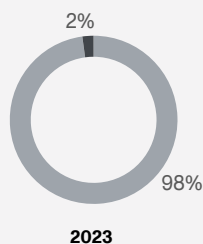
28%

increase in Corporate Community Investment (CCI) with respect to 2022.

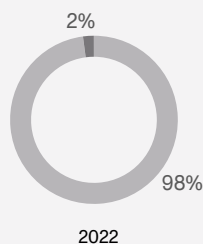
We have significantly increased our Corporate Community Investment, reaching 112.6 million euros.

Maximising the effectiveness of contributions

Focus on strategic community projects



2023



2022

■ Long-term strategic investment ■ Charitable gifts

For yet another year, we have focused investment in proactive strategic projects (community investment and commercial initiatives in the community), as opposed to charitable gifts for community organisations' general purposes.

98%

of contributions to strategic projects.

By adopting a strategic approach, we maximise the effectiveness and impact of our community programmes.

Alignment with SDGs and our corporate strategy

We focus our investment to increase impact

SDGs

88% of CCI is focused in initiatives primarily targeting SDGs 3, 4, 5, 8, 10, 12 and 15.

Issue addressed

79% of investment in the priority action areas defined by the Community Investment Policy: emergency relief, education and environment.

88%

of CCI focused in 7 SDGs.

79%

of CCI focused in 3 priority issues.

Increase in the scope

Increase in the number of direct beneficiaries



30%
People

In addition to the increase in the number of initiatives developed, in 2023, the community investment programme benefited 30% more people than in the previous year.

26%

increase in the number of CCI projects developed.

In 2023, 910 community projects have been developed, representing an increase of 26% compared to the previous year.

Increasing leverage

Maximising effectiveness in unlocking additional resources for community

In million euros



In 2023, the additional resources leveraged by our programmes as a result of the contributions made from sources other than the Company—employees, customers, suppliers, etc.—amounted to 107.8 million euros, which represents a 43% increase on the previous year.

43%

increase in additional funds raised or contributions leveraged from other sources.

Making greater impact

Maximising the impact on people



5,200,042 positive changes experienced by direct beneficiaries of CCI projects, who have gained in quality of life, skills development and improved attitude, compared to 3,535,872 in the previous year.

24%

increase in the number of positive impacts on direct beneficiaries.

7.3.2. Inputs

GRI 3-3; 203-1; 203-2; 413-1; 413-2; AF34

In 2023, our Company invested 112.6 million euros in Corporate Community Investments, in various ways:

- / **Cash contributions:** the aggregate monetary amount invested in supporting social and environmental programmes.
- / **Time contributions:** the proportional cost of our employees' paid time spent on social or environmental activities during working hours.
- / **In-kind contributions:** donations of products—garments, mainly—to non-profit organisations.
- / **Management costs:** estimated expenses incurred for the general management of the programmes.

In 2023, we have significantly increased monetary contributions. Additionally, in keeping with the strategy outlined in our Community Investment Policy, we have notably boosted in-kind and time contributions devoted by our employees to CCI initiatives during their working hours. Management costs meanwhile remained stable compared to previous years.

On aggregate, we have provided 62 million euros in cash contributions, we have donated **8.95** million articles from our collections and our employees have dedicated **338,940** of their working hours to social or environmental initiatives.

These contributions are further divided into three categories:

- / **Charitable gifts:** one-off institutional contributions to support the general goals of non-profit organisations.
- / **Community investment:** long-term strategic commitment to collaborations with the community to support specific activities.
- / **Commercial initiatives to the community:** initiatives of social interest directly related to the Company's activity.

It is worth noting that 98% of the total investment in 2023 was channelled to support initiatives that we consider strategic: community investment and commercial initiatives in the community.

This enabled us to maximise the efficacy of our contributions and to broaden the impact of key projects.

How we increase our contribution

Corporate Community Investment evolution (€ M)		
	2023	2022
Total investment in Corporate Community Investment	112.6	87.9
By form of contribution (management costs included)		
Cash	62.0	46.3
Time	10.2	9.4
In-kind	38.5	30.3
Management costs	2.0	1.9
By category (management costs excluded)		
Charitable gifts ⁽¹⁾	2.4	1.8
Community investment ⁽²⁾	71.7	58.7
Commercial initiatives in the community ⁽³⁾	36.6	25.5

(1) One-off institutional donations to the general goals of charities.

(2) Long-term strategic commitment to support specific social activities.

(3) Initiatives of social interest directly related to the Company's commercial activity.

The nature of our contributions

79% of our community investment was earmarked for priority **action areas**: education, emergency relief and environment.

With regard to the **geographic scope**, we prioritise regular investment in the areas in which we conduct our activity. Specially, in the so-called Inditex's clusters.

Accordingly, our brands and subsidiaries operate locally and/or nationally when it comes to supporting community and environmental projects. This allows us to maximise the positive impact within our communities.

Lastly, we have also identified the primary SDG (and the secondary SDG where applicable) relating to the initiatives we have implemented this year. This analysis tells us that, in keeping with our activity, the investment has significantly contributed to SDGs 8, 10, 12 and 15 and, in addition, to SDGs 3, 4 and 5. The 88% of our contributions were in support of initiatives with one or more of these SDGs as their main objectives.

① More information in section [8.3. Supplier relations](#) of this Report.

How we contribute

Distribution of Corporate Community Investment in 2023	
By issue addressed	
Emergency relief	41%
Environment	23%
Education	15%
Other (social welfare, health, economic development, art and culture)	21%
By geographic area	
Europe ex-Spain	24%
Spain	35%
Americas	21%
Asia and rest of the world	21%
By SDG	
SDG 3. Good health and well-being	7%
SDG 4. Quality education	7%
SDG 5. Gender equality	8%
SDG 8. Decent work and economic growth	10%
SDG 10. Reduced inequality	20%
SDG 12. Responsible consumption and production	25%
SDG 15. Life on land	11%
Others	12%



7.3.3. Outputs

GRI 3-3; 203-1; 413-1; 413-2

The 910 community and environmental initiatives we supported in 2023 have directly benefited more than **4.3** million people in a variety of different circumstances:

Who we help

Distribution of the people benefited by community projects in 2023 on the basis of their situation	
Living in developing countries	23%
Low income	31%
Refugees	20%
In situation of vulnerability	5%
Victims of a natural disaster or catastrophe	15%
People who are unemployed	1%
Other profiles ⁽¹⁾	5%

(1) 'Other profiles' refers to people with a disability or who are homeless, among other circumstances.

As for the **number of organisations** supported by Inditex in 2023, we have made contributions to a total of 476 such entities. In 2022 the number of benefiting community organisations was 469.

Furthermore, it is important to consider the **amount of additional investment leveraged**: the additional resources that our investment programmes have leveraged as a result of contributions by third parties —employees, customers, etc.

In 2023 this leveraged investment amounted to 107.8 million euros, raised mainly through the collaboration with Water.org -through the additional capital released by microfinance institutions-, the Moda Re-project -through the collection of garments-, and donations from our employees from their pay checks.

7.3.4. Impact

GRI 3-3; 203-1; 413-1; 413-2

To gauge the effectiveness of the projects we support, we measure the impact of our investments on both the community (direct beneficiaries and community-based organisations) and the Company (our employees and the company).

a) Community

Impact on people

In 2023 we assessed the impact generated on 4,059,696 people through our corporate community investment programme, as compared with 3,283,404 people in 2022.

To gauge the impact of these actions on their lives, we measure the degree to which people are better off as a result (impact depth) and what kind of changes they have experienced (type of impact).

Which degree of improvement have the people experienced?

We use three mutually exclusive parameters to measure this:

/ **Connection:** represents the number of people who have reported some limited change as a result of their participation in the project.

/ **Improvement:** includes the people who have reported some substantial improvement in their lives as a result of the project.

/ **Transformation:** encompasses the number of people who have reported an enduring change in their circumstances as a result of the improvements made.

What kind of changes have they experienced?

Beneficiaries may experience one or more types of changes, which we classify into the following categories:

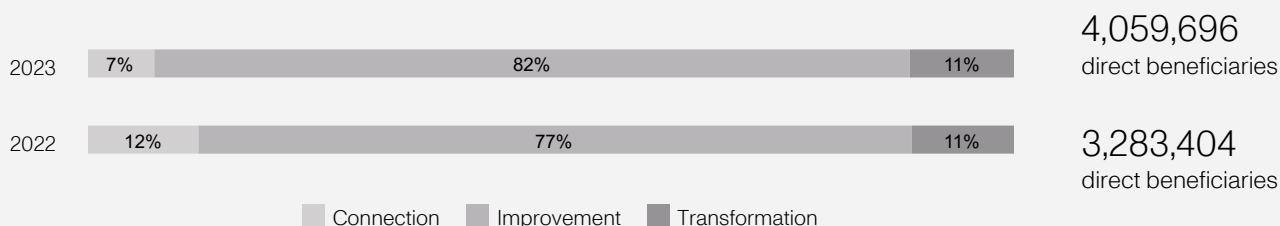
/ **Behaviour or attitude change:** when the activity has helped people make behavioural changes that can improve the person's life. It can also mean that the programme has challenged negative attitudes or preconceptions, enabling them to make better choices.

/ **Skills or personal effectiveness:** meaning that the initiative has helped people to develop new or improve existing abilities to develop academically, in the work place and socially.

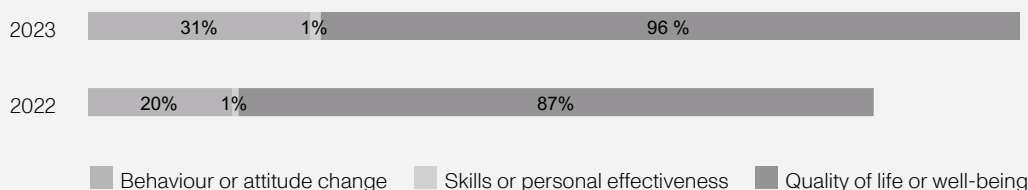
/ **Quality of life or well-being:** meaning that the activity has helped people to be healthier or happier, by improving their physical, emotional or social well-being.

Impact on people

Depth of the impact



Impact type



Impact on community-based organisations

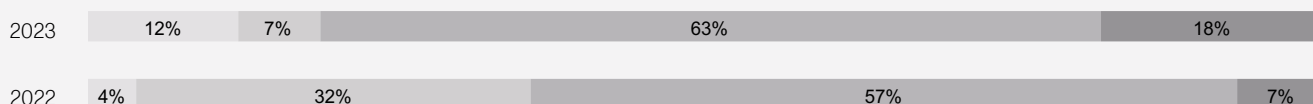
In addition to the analysis of the impact on people, we also assess the effects on the beneficiary non-profit organisations. In 2023, the analysis covered a total of 275 entities (255 in 2022).

Impact on community-based organisations

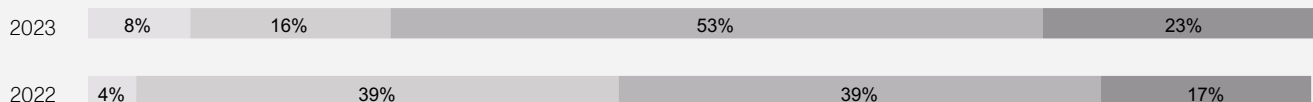
Improved existing / delivered new services



Improved management processes



Reached more people or spent more time with clients



Taken on more staff or volunteers



Increased their profile



No difference
 Low impact
 Medium impact
 High impact

b) Company

In addition to assessing the impact of the investment on people and community organisations we also analyse the return on the investment for our employees and the Company itself.

Impact on employees

We measure the impact on our people by gauging the change they experience following their involvement in corporate volunteering initiatives. To do this, in 2023 we surveyed 225 employees in 18 countries, as compared with 181 employees in 16 countries in 2022.

The surveys were based on three key indicators:

- / Job-related skills.
- / Personal impact.
- / Behaviour change.

Impact on employees

Job-related skills: improvements in core, job-related competencies such as communications, teamwork, leadership skills, etc.



Personal impact: changes in areas like self-confidence, job satisfaction and pride in the company.



Behaviour change: changes in behaviour such as increased volunteering or being more vocal advocate of the company



No difference
 Low impact
 Medium impact
 High impact

Impact on our Company

In 2023 we analysed the impact on the Company itself of the 910 initiatives implemented, based on five parameters:

- / Human resources benefits.
- / Improved stakeholder relations/perceptions.
- / Business generated.
- / Other operational improvements
- / Uplift in brand awareness

Impact on our Company

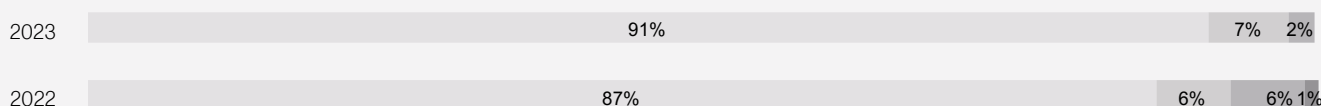
Human resources benefits: improvements in the Company through increased commitment, recruitment or performance, linked to the community initiative carried out.



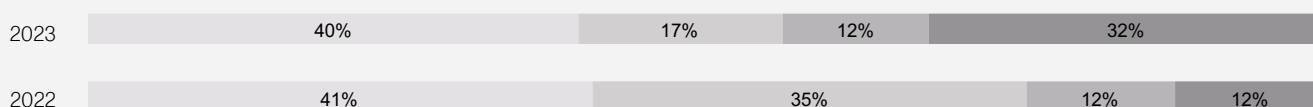
Improved stakeholder relations/perceptions: improved perception by external stakeholders, based on the community initiative carried out.



Business generated: increased sales linked to cause-related marketing activities or new market opportunities.



Other operational improvements: increased resilience in the supplier and/or distribution chain.



Uplift in brand awareness: improved brand awareness as a result of increased media coverage, for example.



No difference
 Low impact
 Medium impact
 High impact

7.3.5. Key programmes

GRI 3-3; 203-2; 413-1; 413-2

Education

GO (Generating Opportunities: education and inclusion for a sustainable world)

GO is a cooperation programme in collaboration with Entreculturas aimed at offering education and professional training to persons at risk of exclusion. This is a new three-year programme, with 24 projects in 12 countries: Argentina, Brazil, Bolivia, Ecuador, Spain, Lebanon, Mexico, Paraguay, Peru, South Africa, Uruguay and Venezuela. 2023 was the programme's first year, in which it helped more than 59,536 direct beneficiaries, in particular vulnerable girls and women. Through various projects, we have contributed to bridging the education and digital divide, nurturing decent and sustainable livelihoods and protecting victims of forced migration. Since 2001, Inditex's social investment in Entreculturas' educational and community development projects has exceeded 64 million euros and has directly benefited 1.5 million people.

Inditex Chair of Refugees and Forced Migrants in the Comillas Pontifical University

This chair was created in 2016 to further academic research into migration, improve aid to migrants and refugees on the ground and raise social awareness. It also conducts projects for the integration of refugees in European cities.

In 2023, **we renewed our collaboration with the Comillas Pontifical University for the period 2023-2025**, with the aim of continuing to promote doctoral scholarships for researchers to study the reality of the processes of incorporation, welcoming and, in particular, social integration of refugees in Spain and Europe. The Chair also offers students of the official Cooperation and Migration programmes at Comillas Pontifical University professional internships at national and international organisations working directly with refugees.

TEMPE-APSA Chair of Disability and Employability at Miguel Hernández University in Elche

We helped to create this Chair in 2015 to nurture multi-disciplinary research and training in the field of disabilities. Legal experts, economists and psychologists study the most suitable formulae for increasing the employability of people with disabilities. Furthermore, the Diploma in Auxiliary Shop Tasks strengthens the skills and competencies of people with disabilities to access the labour market.

Inditex Chair of Spanish Language and Culture at the University of Dhaka (Bangladesh)

With the collaboration of the universities of Santiago de Compostela and A Coruña, this Chair has been promoting Spanish language and culture and fostering academic exchange between Spain and Bangladesh since 2011. High-performing Bangladeshi students have the opportunity to take part in intensive Spanish courses in Spain. At the same time, cultural activities open to Bangladeshi University students are carried out to promote Spanish culture in Dhaka.

Collaboration programme with Tsinghua University

In 2019, Tsinghua University and Inditex set up the Sustainable Development Fund, aimed at supporting this Chinese institution in its efforts to promote research, dissemination and social support for Sustainable Development Practices. So far, the fund has sponsored 34 projects linked to environmental protection and management, low-carbon cities and sustainable development, smart sustainability, ESG corporate management/low-carbon transformation and sustainable energy and green growth. Looking ahead to the future, with Inditex's financial backing, the Fund will continue to support the innovative research and practice of students and faculty at the University of Tsinghua in connection with the environment and sustainable development, to promote research, dissemination and social support for Sustainable Development Practices.

The collaboration programme also involves research trips to A Coruña for the university's students to broaden their knowledge and experience in fashion, logistics, environmental protection and sustainable development through Inditex and other companies. The collaboration also envisages the professional development of academic staff and the promotion of cultural activities in the Tsinghua campus.

Collaboration programme with the Massachusetts Institute of Technology (MIT)

The collaboration with MIT in education and research is structured around various action areas: creating Inditex chairs in areas such as operational research and sustainability; research and enhancement of knowledge in fields such as artificial intelligence, machine learning or data science; and the development of research lines in areas such as textile recycling or the creation of new fibres using sustainable technologies.

Collaboration programme with the University of A Coruña (UDC)

The following projects are executed under this programme: Inditex-UDC Sustainability Chair to promote a space for community reflection, academic training and applied research on sustainability and social innovation; InTalent Programme that enables scientists with extensive international experience to conduct their innovation programmes at UDC's research centres; and InMotion Grant Programme to fund pre-doctoral residencies abroad, enabling them to complete their PhDs internationally.

In 2023, we reinforced our support for InMotion by renewing the programme for the next five years. Since its launch in 2013, 274 students from UDC PhD programmes have completed placements abroad thanks to Inditex's support. Their chosen destinations cover a total of 33 countries, distributed over five continents, mainly Europe and America.

Employment and Training Programme in Spain

Inditex has been supporting the Caritas Employment Programme since 2011, whose aim is to promote access to decent employment for persons in a situation of vulnerability. This initiative, to which we have contributed 18.3 million euros since the collaboration began, is structured around various lines of action: promotion of social economy enterprises; support for self-employment; and the improvement of professional training. Thanks to this programme, extended in January 2023 with a contribution of 5 million euros for the next three years, 10,594 people in or at risk of exclusion have improved their employability and 4,332 people have found a job.

FAD Juventud Programme

In 2023, Inditex and the non-profit organization FAD Juventud started a three-year cooperation that materialises in the development of the "GOESkills" and "Prevención a Medida" projects. These initiatives aim to provide quality employment for women in Spain, in professions with future prospects in the field of technology, and to carry out awareness-raising activities for young people on addiction prevention. As a result of this collaboration, 1,700 people have participated in initial diagnoses on addiction prevention or have improved their job search skills.

for&from

for&from is a social/workplace integration programme for people with disabilities that is based on launching retail establishments under the image of the Inditex's different brands. These stores are managed by non-profit organisations and staffed by people with disabilities. Inditex makes an initial outlay to build the store and, from then on, the community organisations manage a self-sustaining model through the sale of products from previous seasons. The proceeds go entirely to the managing organisations to fund projects that help people with disabilities. The programme currently has 16 stores, including the openings in 2023 of the first Zara Home for&from store in Portugal and the new Tempe for&from store in Madrid, which have created job opportunities for more than 750 personas and 8 million euros in economic benefits for the managing organizations.

Salta

Salta is an employment integration programme of Inditex that offers training and employment opportunities to people at risk or in a situation of social exclusion. The aim is to integrate vulnerable persons in the teams of our stores, factories or logistics centres. More than 1,800 people have been trained and joined Inditex through Salta. The programme currently operates in 16 markets: Germany, Brazil, South Korea, Spain, the United States, France, Greece, India, Italy, Kazakhstan, Mexico, Poland, Portugal, the United Kingdom, Romania and Türkiye.

Emergency relief

Emergency programmes in the wake of the earthquakes in Türkiye and Syria

In response to the earthquakes that hit Türkiye and Syria in February 2023, Inditex launched an emergency relief programme aimed at supporting those affected. This programme has resulted in the following lines of action:

- / Economic contribution: donation of 3 million euros from Inditex to the Turkish Red Crescent to cover short-term basic needs.
- / In-kind contributions by Inditex to supply warm clothing to those affected: Inditex, with the support of its local suppliers, made available to the Red Crescent and AFAD/TIM (the Turkish Disaster and Emergency Management Authority, in collaboration with the exporters association), more than 1 million warm garments and articles from Zara Home.
- / Medical aid: deployment of the Emergency Unit of Médecins Sans Frontières, financed on a stable basis by Inditex, in Türkiye and Syria to detect the medical needs arising from the catastrophe and thus deploy its resources to provide aid to the people affected.
- / Support for supply chain workers: acquisition and deployment of 200 temporary homes to house textile factory and supply chain workers (and their families) whose homes were lost in the earthquake. This initiative, implemented through an agreement with ITKIB (Istanbul Textile and Apparel Exporter Associations), was rolled out in the industrial areas of Kahramanmaraş, Adıyaman, Malatya and Hatay.

Earthquake Emergency Programme in Morocco:

In the aftermath of the Morocco earthquake in September, Inditex activated an emergency relief programme to address the urgent basic needs of the people affected by the quake. This programme has resulted in the following lines of action:

- / Economic contribution: donation of 3 million euros to the Moroccan Red Crescent to cover short-term basic needs.
- / In-kind contributions by Inditex to supply warm clothing to those affected through the Association *Elghaith*.
- / Medical assistance: supply of healthcare in collaboration with the NGO *Medicus Mundi*, funded on a stable basis in Morocco by Inditex, with the aim of providing medical care to victims, distributing hygiene kits to women affected and giving those affected psychological support.

Hurricane Otis Emergency Relief Programme in Mexico:

In the wake of Hurricane Otis, which hit the Mexican coast in and around Acapulco in October, Inditex launched an emergency relief programme in collaboration with the Mexican Red Cross to meet the basic needs of those affected. Specifically, under this programme, activities included the distribution of basic grain packages to recover part of the damaged crops; the supply of basic healthcare materials; the supply of materials to guarantee adequate water storage by installing rainwater collection systems; and the renovation of some schools in the path of the hurricane, with the aim of guaranteeing a safe return to the classroom.

MSF Programme

Médecins Sans Frontières (MSF) and Inditex have been working together since 2008 in developing numerous medical-humanitarian response projects in various parts of the world. As a result of this cooperation, to which Inditex has channelled 37 million euros over this period, nine million people threatened by armed conflict, epidemics, diseases or natural disasters have received medical care.

Supporting the MSF Emergency Unit

In 2011 we began collaborating with MSF with the aim of guaranteeing an immediate response to medical-humanitarian crises anywhere in the world. Since then we have helped provide assistance to more than seven million vulnerable people without access to medical care in around 86 countries. In 2023, we funded the Barcelona-based Emergency Unit structure, which has been deployed in Sudan, Chad, Ukraine and Palestine, among other regions, as well as part of the regional emergency teams based in the Democratic Republic of Congo and the Central African Republic.

Access to healthcare for the Rohingya community in Bangladesh

In response to the medical and humanitarian needs of the Rohingya community in Bangladesh, Inditex has been supporting Médecins Sans Frontières' projects there since 2017. Hundreds of thousands of people have been helped through this cooperation, especially women and children under five. In particular, thanks to the support in 2023, MSF teams have carried out, among other activities, outpatient clinics (paediatrics, gynaecology, obstetrics, mental health), paediatric emergencies, paediatric hospitalisation, nutrition and paediatric intensive care. Furthermore, drinking water and sanitation infrastructure management for refugee camps was improved.

Access to healthcare for the migrant population crossing Mexico

Inditex supports MSF in humanitarian relief projects to assist people from Central America attempting to cross Mexico to gain entry into the United States. Specifically, in 2023 and thanks to Inditex's support, Médecins Sans Frontières is present in several hostels and stopover points for migrants along the way, offering basic medical and psychological care. Furthermore, MSF has mobile clinics that go to the areas most frequented by migrants where, in addition to medical and psychological care, they also distribute hygiene products, water and blankets. The organisation also has a Comprehensive Care Centre in

Mexico City where specialised medical care is offered to migrants and refugees.

UNHCR Programme

For the fourth year running, Inditex and UNHCR, the United Nations High Commissioner for Refugees, implemented their ambitious programme of in-kind donations to help clothe refugees and internally displaced people. Through this initiative, which is rolled out in conjunction with various suppliers, Inditex supports UNHCR in its task of sheltering refugees who have been forced to abandon their homes and all their possessions, and helping to restore their dignity. In 2023 more than 1.2 million articles from our collections were donated to UNHCR to help clothe refugees in Uganda and Greece, among other countries. Humanitarian emergency assistance was also provided in response to the war in Ukraine. Additionally, in 2023 we welcomed Filippo Grandi, United Nations High Commissioner For Refugees, on an official visit to our offices to highlight our partnership and share the present and future challenges facing refugees.

Assistance to displaced people in South America

Since 2009 we have been working with Entreculturas on a programme to tackle the situation of people forced to flee in Colombia and on its borders (Panama, Ecuador and Venezuela), due to the armed conflict which over this period has caused the exodus of millions of Colombians from the region. For this purpose we established a partnership with the Jesuit Refugee Service Latin America and the Caribbean (JRS LAC), which has helped around 110,000 refugees or displaced persons, especially young people at risk of being linked to, used or forcibly recruited by armed groups, as well as refugees and displaced persons with disabilities, ethnic minorities, black and indigenous communities and women-headed households with children. In 2023, given the humanitarian situation as a result of the current context in Venezuela, the programme focused on assisting displaced persons in that country, as well as in Colombia, Ecuador and Brazil.

A Flote

The Emalcsa Foundation, A Coruña City Council and Inditex have been working together since 2017 in the A Flote social integration and social benefits programme in the proximity of Inditex's main headquarters. In 2023, 372 emergency social benefits were handled, 277 requested by women and 95 by men. These emergency benefits were used mainly for help with housing, school meals and sheltering aid for Ukrainian refugees. In addition, a welcome service for Ukrainian refugees (translation, counselling, employment support, etc.) was set up, helping dozens of families. Renewal of the agreement for the 2023-2025 period enabled us to tackle new integration and support actions to address vulnerability, aimed mainly at young people with significant difficulties in finding employment, and to provide social support and emotional tools with a community approach to young people and adolescents engaged in mild or moderate self-harming.

Every Mother Counts Programme

This programme supplies prenatal and maternity care to pregnant women in Bangladesh and the United States. The support of Inditex has enabled Every Mother Counts to partner with the HOPE Foundation for Women and Children in the south-eastern Bangladeshi district of Cox's Bazar. In the United States, it has also provided access to prenatal and post-partum care for thousands of low-income women at risk of social exclusion and their babies. In 2023, we renewed our collaboration with Every Mother Counts for the 2023-2025 period, with the aim of further developing maternal and paediatric health activities in various parts of the world.

Medicus Mundi Programme

Medicus Mundi and Inditex have been working together in Morocco since 2015 to improve the well-being of garment workers in the Tangier-Fes-Guercif-Taza and Casablanca-Settat regions. The new phase of collaboration between Medicus Mundi and Inditex, which began in 2022, is making strides in the implementation of measures to prevent harassment, as well as to continue promoting health and occupational risk prevention among female workers in the industry, improving the socio-occupational integration of vulnerable groups and supporting the local public healthcare system. In September 2023, the programme also carried out various activities to help victims of the earthquake that hit the Marrakesh region, providing health and psychological care and strengthening the capacity for intervention of civilian society in the affected areas.

Environment

Moda Re-

Moda Re- is a programme run by Caritas and promoted by Inditex dedicated to collecting used textiles in order to recover and reuse them through a sustainable business model based on the circular economy. Its purpose is to generate employment for vulnerable people through the collection, recycling, and reuse of used garments. Thanks to Inditex's support for this initiative, 2.6 million articles have been donated to vulnerable people; 3,520 sensor-equipped clothing collection containers of used garments have been installed in Spain, more than 121,000 tonnes of clothing have been collected, and 108 second-hand clothing stores have been opened or refurbished. The programme currently generates more than 1,400 jobs, 700 of them the result of insertion initiatives. Likewise, the initiative has become a benchmark in the process of dignifying the free delivery of clothes to those most in need, based on donations made through the 142 solidarity stores that currently make up the Moda Re- network. In January 2023, Inditex renewed its support for this programme on the basis of a contribution of 3.5 million euros in the 2023-2025 period.

Water.org programme

We have been working with Water.org since 2015 to improve access to drinking water and sanitation for vulnerable families through microloans in countries such as Bangladesh, Cambodia or India. Thereby, people on low incomes are provided with access to affordable loans to cover their water and sanitation needs. In 2023, from the contribution made by Inditex and the additional capital mobilised by local financial institutions, 305,000 loans were granted. As a result, more than 1 million people have improved their access to water and sanitation in 2023.



#BRINGYOUROWN BAG (#TRAETUBOLSA)

In 2021, Inditex began promoting the use of reusable bags at its stores to reduce the consumption of raw materials, water and energy associated with bags and envelopes offered to customers for their purchases. To encourage customers to bring their own bags, Inditex also started charging for the bags and envelopes it provides, a measure that was extended in 2023 to most of the markets where it operates.

The proceeds from this initiative, from which Inditex does not obtain any profit, were used to support projects in 21 countries aimed at protecting and restoring ecosystems, saving natural resources and fostering regenerative practices.

WWF Programme

By means of the collaboration with WWF, with which Inditex also carries out transformational work focusing on the impacts of its activity and of the fashion industry, we have financed projects for the protection and restoration of forest and fresh water ecosystems in different countries in North Africa, Europe, Asia and Latin America. These interventions take the form of actions such as the recovery of native species and removal of invasive species; the promotion of sustainable management, environmental education and training; and the involvement of local communities.

Water & Climate Fund by Water.org

We continue to support Water.org's Water & Climate Fund, aimed at developing projects to improve water and sanitation infrastructure globally, boosting efficiency and savings, and enhancing local communities' access to clean water. With Inditex's support for this fund, in 2023 Water.org carried out climate-friendly interventions in Brazil, Indonesia, the Philippines, Kenya, Mexico, India and Malawi.

Agreement on fire prevention in Galicia

Inditex was the first company to join the new public-private fund to mitigate the risk of forest fires, set up by the Galicia Regional Government in 2023. This project, aimed at intervening in the areas most affected by wildfires in Galicia (Spain), will work on the restoration of affected areas, but mainly on prevention, including the creation of fire breaks in the vegetation and tree mass, preventive forestry management and species diversification, while also promoting sustainable farming and forestry activities to support the local population.

Sustainable Forestry and Demonstration Forests

In 2023, forest restoration and demonstration forest activities, which we started in 2018 with the one in Pico Sacro, extended to two new forests in Galicia (Spain), together with the Galician Forestry Association, and two in Portugal, alongside Forestis. These projects employ forestry management models aimed at improving the resilience and sustainability of these forest ecosystems, through the use of native species, supporting research and dissemination of best practices in this regard.

Fostering regenerative practices in the fashion industry

In 2023 we gave renewed impetus to our commitment to regenerative practices through our membership of Conservation International's Regenerative Fund for Nature, focused on the transition to regenerative practices, for the benefit of biodiversity and communities, in production areas connected to materials used in the fashion world. In 2023, this support was channelled to cotton projects in India and Pakistan, and a project to promote regenerative cattle grazing in Argentina. We also continued our collaboration with Action for Social Advancement (ASA), the Laudes Foundation, IDH - The Sustainable Trade Initiative and WWF India, to promote regenerative agriculture, ecosystem restoration and community well-being in a 300,000 hectare area in the Indian states of Madhya Pradesh and Odisha.

Other issues addressed

In addition to the programmes described above, in 2023 we allocated 21% of our corporate community investment to initiatives linked to social welfare, environment, social and economic development, healthcare, art and culture.

Likewise, in 2023 we have continued to support research institutions such as *Fundación Pro CNIC*, *Real Instituto Elcano* and *Fundación Carolina*, among others. Inditex's links to art and culture are embodied by collaborations with institutions such as the Royal Spanish Academy, Reina Sofía National Museum of Art and the Royal Theatre opera house, among others.

Likewise, Inditex makes charitable gifts at corporate level and from the Group brands and subsidiaries to help further the general aims of non-profit organisations. We earmarked 2.39 million euros in 2023 for charitable gifts in connection with requests from non-profit organisations, which were distributed among more than 150 entities.

7.4. Our customers

Material topic: Transparency and quality of the information; Health, safety and well-being



7.4.1. A unique and integrated model

GRI 3-3; 417-1

Customer relations and the continuous improvement of their experience at our stores and online platforms are among the pillars of the Inditex model. This contact before, during and after sales is unique and integrated through different channels.

In this relationship, demand for fashion with a responsible approach is subject to the same premises, namely omnichannel and integration of physical and online points of sale, at all the Group's brands. Accordingly, providing a response that matches customers' requirements at the right time and place constitutes what we consider to be a differential shopping experience.

More than 700 designers work side by side with the sales and product teams to identify trends, analysing on a daily basis the qualitative and quantitative information gleaned from our stores and online channels.

The conceptualisation and development of the collections for each of the brands, as well as their distribution to the point of sale, is an agile process based on decisions reached by consensus. This is also helped by a policy of integration at every stage of our value chain —design, manufacturing, logistics and distribution, stores/online, use and end of life— and their proper and accurate operation.

The final step in this creative flow prior to contact with customers is the creative production of these collections at the point of sale -both in stores and online-. It is here, with the aim of maximising the possibilities of our collections, that the image and coordination teams come into play, proposing the garments' styling and defining their creative production in a choral process involving stylists, models, photographers and audiovisual producers.

The other facet of the creative production of our collections is the design and development of the store concept and its tailoring to the specific characteristics of the various building and retail premises where they are located.

This approach responds to a common premise of continuous improvement of retail spaces encompassing unique, innovative and accessible stores, in which technology allows customers to interact with

the brand at any time and from any device, as well as increasing the availability of collections and products. At the same time, the technologies that stores place at the service of customers adapt to the specific characteristics and needs of each brand.

Stand-out examples of this paradigm are the new store concepts implemented by Inditex brands throughout the year in new openings, refurbishments and expansions worldwide: from Zara, with its boutique spaces, self-checkout cash registers and smart terminals for online orders and returns; to Massimo Dutti, with its Style Advisor personalised shopping experience and Shop&Go, for payment from anywhere inside the store; including Bershka's virtual fitting rooms using augmented reality and the possibility of creating personalised content for social media, among numerous other examples. With its experiential technology component, Inditex brands' stores and online platform is aimed at fostering contact with fashion in an innovative and welcoming environment that boosts the availability of collections and makes for a more direct relationship with customers when, how and wherever they choose.

Providing a response that matches customers' requirements at the right time and place constitutes what we consider to be a differential shopping experience.

At the same time, our integrated and global platform of physical and online stores allows our collections to reach more than 210 markets. This capacity makes us mindful of the impact and notoriety of our products and the image they convey. It also encourages us to ensure that the image of the models and campaigns we produce convey a diverse, multicultural and positive reality that celebrates the product by presenting it in a detailed way that is true to its properties and qualities.

In this regard, our brands' websites are the other major setting—along with the stores—for the creative production of our collections. In 2023, the Inditex website received more than 6,500 million visits, implying an average of 18 million visits a day to our online stores and accumulated more than 250 million followers on social networks.

Our commitment to customers is not confined to the sales transaction and any derivative requirements, but rather extends to spheres such as diversity, sustainability and transparency. Consequently, content regarding our projects and progress in environmental and social sustainability has its own dedicated space and prominence in our online

stores. In addition, projects like Changemakers and Diversity Champions, or the for&from network of community stores managed by people with disabilities, are aimed at achieving a positive impact for our people and our customers alike.

① More information in section [7.1. Our people](#) of this Report.



7.4.2. Response to our customers

GRI 3-3; 417-1

Inditex has a relationship with customers from more than 210 markets worldwide. Thanks to the multiple options for contact offered by our physical and online stores, we endeavour to make this relationship close, seamless, effective and safe. Accordingly, our customer services teams receive continuous training on product knowledge, their sustainability features, store processes, customer orientation and respect for diversity and inclusion, among other aspects. Furthermore, customer services are provided in the languages of the markets in which we have a retail presence.

Accessibility is another premise of Inditex in our relationship with the customer. Hence, stores meet architectural accessibility standards to enable people with disabilities to access and move around the stores and to ensure they have a satisfactory shopping experience. In the digital environment, our websites are compliant with the General Accessible Design Principles established by the Web Accessibility Initiative (WAI), a part of the World Wide Web Consortium (W3C). In addition, thanks to the project in conjunction with EqualWeb, their home pages feature digital accessibility menus with voice, browsing, colour and content settings to ensure a more inclusive customer experience.

In 2023, the quality of customer services at five Inditex brands (Pull&Bear, Massimo Dutti, Bershka, Oysho and Zara Home) obtained certification to ISO 18295:2 international standard. This certification underpins the customer service strategy throughout their shopping experience and interaction with each brand, the operations and protocols for customer service through the various contact channels, as well as the standards of service quality and satisfaction of our customers.

7.4.2.1. Big Store: customer service from the store

The continuous improvement of our customer relations from an innovation standpoint led Inditex to launch Big Store, a project that harnesses our store teams' experience and know-how for use in digital tasks relating to the business.

The store teams taking part in Big Store are trained in the digital version of their in-store functions and they develop them over the course of their working day. Thus, sales assistants take part in managing the customer service channels (calls, chats, WhatsApp, social media and e-mails) during their working hours dedicated to Big Store, using their know-how and experience from in-person customer service for the purpose of these digital tasks. This way of working, which also fosters our teams' professional development, makes for a more efficient management of customer services and relations.



7.4.3. Customer service channels: contacts and service level

GRI 2-4; 2-27; 3-3; 403-7; 416-1; 416-2; 417-1

In 2023 the customer service areas of the Group's brands fielded a total of 45,443,721 customer contacts (calls, e-mails, WhatsApp conversations and messages via social media profiles), concerning questions on products, the purchasing process, shipments, incidents or current issues affecting the brands, among other matters. In this regard, the progression of online sales has shifted the weight of customer contacts according to the purchase channel, so that enquiries about order status, delivery times or the online operation itself make up a very significant part of the total.

Service level (meaning the percentage of contacts resolved over the total and weighted in accordance with the contacts of each brand) was 98% in 2023.



Response to our customers

	2023			2022 ⁽¹⁾		
	No. of contacts	Service Level	No. of services fulfilled	No. of contacts	Service Level	No. of services fulfilled
ZARA	33,880,077	98%	33,226,717	30,912,182	98%	30,255,700
ZNWNIE	2,125,901	98%	2,080,181	2,210,179	98%	2,172,645
PULL&BEAR	2,017,911	96%	1,938,711	2,009,604	98%	1,960,396
Moschino Dotti	2,609,950	99%	2,591,799	3,085,342	99%	3,049,565
BERSHKA	2,486,545	94%	2,341,947	2,577,340	98%	2,520,885
STRADIVARIUS	2,432,427	98%	2,384,001	2,280,492	97%	2,223,326
OYSHO	893,573	99%	880,365	842,844	99%	833,635
TOTAL	46,446,384	98%	45,443,721	39,768,580	98%	38,866,749

(1) Zara's data on contacts, services fulfilled and level of service reported in 2022 have been restated to take into account the improvement in the quality of the information reported. The modification also affects the Inditex Group's global data on contacts, level of service and services attended.

7.4.3.1. Type of cases handled: pre-purchase, post-purchase, customer service and complaints mechanisms

In the relationship with the customer before, during and after the transaction takes place, our teams field a wide range of queries related to our products, the purchase process or possible incidents that may occur. In this process, each brand independently sorts the reasons for customer contacts, according to their specific needs, although these reasons may be grouped into four broad areas: pre-purchase (issues

prior to the purchase); post-purchase (related to an order or purchase at the store); customer service (regarding contact channels, web and app); and complaints and claims.

In 2023, our brands handled 38 million cases through Customer Services in all the markets where we have a commercial presence (29 million in 2022). This data also includes the complaint forms and claims processed in Spain through the official consumer complaint and response mechanisms.

In 2023 a total of 5,840⁶⁵ cases were processed (6,289 claims handled in Spain in 2022). The main reason for these complaint forms is related to product returns and exchanges, and store and online sales.

Type of cases handled	2023	2022
Pre-purchase (product availability, special collections, customisation, purchasing process, checkout and sustainability, among others)	19.5%	22.7%
Post-purchase (order status, shipments, delivery times, changes and returns, gift cards, among others)	76.4%	72.3%
Customer Service (customer account, web/app, channels, social networks, among others)	4.1%	4.8%
Complaints (includes any customer feedback, as well as formal complaints)	0.02%	0.2%

7.4.3.2. Health and safety claims

The health and safety of our products is paramount to Inditex. Accordingly, we have standards, training plans and prevention and control programmes devised to ensure that our products comply with the strictest requirements and guidelines in all the markets where we operate.

Our product health and safety teams are fully coordinated with customer service teams, store staff and any other area of the Company where information about incidents and/or complaints may be received. At the same time, any notification from our customers, from community organisations or supervisory bodies is forwarded to our technical experts for evaluation and follow-up. If there are signs that a product may be unsafe for consumers, it is withdrawn from the market, customers are notified through the relevant channels and all units sold are recalled, according to our internal procedure.

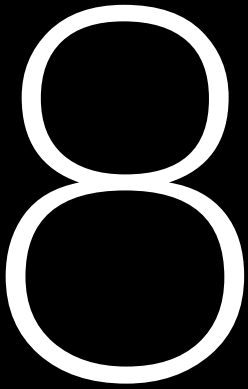
In 2023, one product was recalled⁶⁶ for health and safety reasons. When this happens, we also launch programmes to identify the root cause of the incident and prevent it from recurring. In the previous year there were a total of two product recalls.

① More information in section [6.4.3. Health and safety of products](#) of this Report.



⁶⁵ Thanks to the digitalisation project, complaints form data will be reported from 2023 on a financial year basis.

⁶⁶ During 2023 there were no breaches of regulations or voluntary codes related to the health and safety of our products that give rise to fines or penalties.



Governance

- 8.1. Corporate ethical culture and solid Compliance architecture
- 8.2. Information security and privacy
- 8.3. Supplier relations
- 8.4. Tax responsibility and transparency



8.1. Corporate ethical culture and solid Compliance architecture

Material topic: Good governance and integrity



8.1.1. Corporate ethical culture

GRI 2-9; 3-3; 205-1; AF1; AF7



The Inditex Group places importance not only on achieving its objectives, but also on the way in which they are achieved. This idea is the guiding thread of the Group's **corporate ethical culture** and its reflected in '**The How Matters**'.

This vision is represented in the principles of action set out in our Codes of Conduct (the Code of Conduct and the Code of Conduct for Manufacturers and Suppliers), based on respect for human and labour rights in all our operations and relationships with our Stakeholders.

To encourage and reinforce the implementation of a corporate ethical culture, the Inditex Group has, among other tools, a Global Compliance Model, which we detail in section [8.1.2. Global Compliance Model and Criminal Risk Prevention Model](#).

Code of Conduct

The Inditex Group's **Code of Conduct** is the document that establishes the Group's ethical commitments and principles of action that should guide relations between people in the Group and the relations between them and the various stakeholders anywhere in the world, such as customers, suppliers, shareholders and the communities in which we operate.

The Code is **mandatory** for all employees, including Senior Management, and the members of the management bodies of the companies that make up the Group.

The Code of Conduct establishes the following **principles of action** as a guide to professional decision-making:

- / Respect:** for the rest of the workforce and for our customers, supplying companies and business partners, for the communities in which we operate and for the environment.
- / Honesty and Integrity:** in all decisions, actions and operations that we carry out in our day-to-day work.
- / Transparency:** ensuring that there is open communication and dialogue with Stakeholders.
- / Responsibility:** compliance with legislation, the Group's internal regulations and respecting and promoting both human rights and the voluntary commitments undertaken by the Company.

During financial year 2023, we completed the review and update process of the former 'Code of Conduct and Responsible Practices' approved in 2012, which was initiated in the previous year.

One of the aims of this review process has been to ensure that the Code of Conduct reflects the corporate ethical culture and the commitments undertaken by Inditex in different spheres; responds to the new regulatory realities and challenges faced by the Company; and reflects the diversity, global nature and multiculturalism of Inditex Group.

The review process included an analysis of the legislation, the best practices and the sensitivity of the different markets. To this end, a group of employees of different profiles and nationalities, as well as a very representative number of departments and corporate areas have collaborated. The text has been reviewed with all markets in which the Inditex Group has subsidiaries, with external advisors from multiple jurisdictions and with the Inditex's Social Advisory Board, as the main liaison with the Group's various stakeholders. In addition, as part of this process, the European Works Council was informed.

During the year, work was also done on the design of the Code acceptance plan, as well as the communication and training campaign that will involve everyone on the Group, including Senior Management and the members of the Board of Directors.

The review process culminated on 6 February 2024, with the approval of the latest version of the Code of Conduct by the Board of Directors, following the presentation of a report by the relevant Board Committees. Subsequently, an ambitious communication and training campaign has been launched, which will run throughout the year 2024.

For the main purpose of compliance with the applicable anti-corruption regulations, as well as the best practices in France and Portugal, this markets have supplementary annexes to the Code of Conduct that address certain local implementation issues.

Code of Conduct for Manufacturers and Suppliers

This Code defines **minimum standards of ethical and responsible behaviour** that must be observed by all of the Group's **manufacturers and suppliers** across the supply chain, in accordance with Inditex Group's corporate ethical culture, firmly grounded on respect for human rights and sustainability.

It applies to all manufacturers and suppliers involved in the raw material procurement, purchasing, manufacturing and finishing of the products that the Group places on the market, and it promotes and is based on the overarching principles that define the ethical conduct of Inditex described above. Compliance with all the standards and principles of action provided in the Code of Conduct for Manufacturers and Suppliers is a prerequisite for a supplier or manufacturer to form part of Inditex's supply chain.

① More information in section 8.3. Supplier relations of this Report and in the 'Ethical Commitment' section of our corporate website.

8.1.2. Global Compliance Model and Criminal Risk Prevention Model

GRI 2-4; 2-9; 2-12; 2-15; 2-23; 2-24; 2-25; 2-26; 3-3; 205-2; 205-3; 206-1; 406-1; AF4; AF5

Global Compliance Model

The Global Compliance Model is the system integrating and implementing our corporate ethical culture ('the how matters') throughout all our operations. It is conveyed to all our stakeholders. Its main purpose is to comply with the applicable laws and the ethical commitments undertaken voluntarily by the Inditex Group, as well as to protect the Company and the interests of its stakeholders, limiting or avoiding any kind of legal liability.

It comprises a set of fundamental elements, regulated by internal regulations, and is governed at the highest internal level by our Codes of Conduct (the Code of Conduct and the Code of Conduct for Manufacturers and Suppliers), described in section above.

Strategy and governance

The **Compliance Function** comprises the **Ethics Committee** and the **General Counsel's Office – Compliance**. It is a corporate function that coordinates all the Inditex Group's areas and departments that are involved in compliance. Its independence from the Senior Management is guaranteed by the direct dialogue between the Compliance Office and the Board of Directors, through the Audit and Compliance Committee, ensuring that the ultimate control of the Global Compliance Model efficiency relies exclusively on the Board of Directors.

The **Ethics Committee** is the internal body in charge of overseeing compliance with the Codes of Conduct, the Criminal Risk Prevention Model, and monitoring the effectiveness of its controls. At least every six months, it submits a **report to the Audit and Compliance Committee** on the activities carried out, the performance of the Ethics Line and the results of the supervision of the Criminal Risk Prevention Model.

The **General Counsel's Office – Compliance** is in charge of managing the Inditex Group's Global Compliance Model in general, and, in particular, the Criminal Risk Prevention Model and other models for the prevention of corruption and other offences. The Chief Compliance Officer reports to the Audit and Compliance Committee which, in turn, keeps the Board of Directors informed, on a quarterly basis and whenever the Board so requests, on the operation of the key elements of the Global Compliance Model and the management of Company's Compliance risks. The Audit and Compliance Committee may submit proposals for adopting measures to improve the functioning of the Global Compliance Model.

Thus, the governing, management and supervisory bodies of the Global Compliance Model and, in particular, the Criminal Risk Prevention Model, are as follows:

Governance structure of the Global Compliance Model

Board of Directors

Audit and Compliance Committee

- / Assessment of the effectiveness of internal financial and non-financial risk management and control systems
- / Identification of the most significant financial and non-financial risks
- / Monitoring compliance and effectiveness of Compliance policies and procedures

Ethics Committee Decision-making body

- / Overseeing compliance with the Codes of Conduct
- / Overseeing the Criminal Risk Prevention Model
- / Ethics Line management
- / Responsible for the Internal Reporting System

Comprised of:

/ **General Counsel and Secretary of the Board of Directors**

- / Chief Compliance Officer
- / General Chief People Officer
- / Chief Audit Officer
- / Chief Sustainability Officer
- / Ethics Line Manager

General Counsel's Office – Compliance Operating management of the Global Compliance Model

- / Arrangement of internal regulations
- / Liaising with the areas and departments entrusted with Compliance duties
- / Periodic reporting: (i) departments entrusted with Compliance duties to General Counsel's Office - Compliance; and (ii) General Counsel's Office - Compliance to the Ethics Committee and the Audit and Compliance Committee

Comprised of:

- / **General Counsel and Secretary of the Board of Directors**
- / Chief Compliance Officer
- / Ethics Line Manager
- / General Counsel's Office - Compliance Team

The **Global Compliance Model** comprises a series of fundamental elements, regulated by internal corporate standards, approved by the Board of Directors, and a series of Internal organisational documents.

The **core elements** of the Global Compliance Model described throughout this section are the following:

- / Governance structure
- / The Inditex Group's Codes of Conduct
- / Ethics Line
- / Compliance training plan
- / Due diligence
- / Compliance Policy and Compliance Management Procedure
- / Policy and Procedure on Representatives and Attorneys

Furthermore, the Inditex Group has its own **Internal Regulations**. Some of the most relevant internal rules in connection with the Model, the prevention of crime and, specifically, the prevention of corruption, fraud, money-laundering and illegal financing, are as follows:

/ Internal Regulations Policy.

/ Criminal Risk Prevention Policy and Criminal Risk Prevention Procedure.

/ Integrity Policies: which set out the principles and action guidelines to prevent corruption and bribery: Policy on Donations and Sponsorships, Policy on Gifts and Invitations, and Policy on Dealings with Public Officials.

/ The Conflicts of Interest Policy: it establishes the principles and action guidelines to handle conflicts of interest that may arise for employees in the course of their work at Inditex, and that may compromise the objectivity or professionalism required in the performance of their duties.

/ Anti-Money Laundering and Terrorist Financing Policy: it defines the due diligence processes implemented within the Company, taking into account the different types of business activities we conduct, namely:

- The process to limit cash payments in stores, whereby certain mechanisms are developed to monitor payments in cash by customers in stores; and
- The identification and review of potential risks from our business partners, suppliers and other third parties, in accordance with due diligence measures.



Key Internal Regulations

Core regulations

- / Code of Conduct (approved in 2012 and amended in 2024)
- / Code of Conduct for Manufacturers and Suppliers (2012)
- / Internal Regulations Policy (approved in 2016, as 'Zero Standard', and amended in 2024)
- / Compliance Policy (2016)

Integrity and transparency

- / Due Diligence Policy (2019)
- / Gifts and Invitations Policy (approved in 2017, as 'Policy on Gifts and Business Courtesies', and amended in 2024)
- / Policy on Dealings with Public Officials (2017)
- / Policy on Donations and Sponsorships (2017)
- / Anti-Money Laundering and Terrorist Financing Policy (2018)
- / Conflicts of Interest Policy (approved in 2019 and amended in 2024)
- / Criminal Risk Prevention Policy (approved in 2016 and amended in 2024)

Ethics Line

- / Policy on Internal Reporting Channels (2023)
- / Ethics Line Procedure (approved in 2012 and amended in 2023)
- / Regulations of the Ethics Committee (approved in 2012 and amended in 2023)

Criminal Risk Prevention Model

As part of the Global Compliance Model, Inditex relies on a **Criminal Risk Prevention Model**, aimed at preventing and managing the risks related to the potential commission of offences under Spain's Criminal Code, among them corruption, fraud and bribery.

Criminal Risk Prevention Model

This comprises:

Criminal Risk Prevention Policy

This Policy describes the Model of Criminal Risk Prevention, the potential criminal risks that the Group may be exposed to on account of its operations, in accordance with applicable laws in Spain and with such Internal Regulations that cover standards of conduct to prevent such risks.

Criminal Risk Prevention Procedure

It establishes the organisational measures of the Company; the roles and responsibilities in the field of control, verification and reporting of the Model, and the Ethics Committee's functions in criminal risk prevention.

Risk and Control Matrix (criminal risk map)

- / Outlines the criminal risks and details the risk events applicable to the Inditex Group's operations;
- / Establishes the controls defined to prevent, mitigate or detect risk events;
- / Designates the area responsible for executing each control and providing evidence of its operation and execution;
- / Allocates the frequency with which they must be executed.
- / It includes the criminal risk map, where the information gathered from risk evaluation and control monitoring is shown.

The Criminal Risk Prevention Model, approved by the Board of Directors in 2016, is reviewed periodically. It is subject to a **continuous updating, assessment and improvement process** to adapt it to the activity and evolution of the Inditex Group and to statutory requirements, recommendations and good practices applicable in the field at any given time, thus ensuring its effectiveness.

The Risk and Control Matrix (the 'Matrix') contains an inventory of criminal risks and risk events, including corruption risks, to which Inditex is inherently exposed, that is revised and updated periodically in accordance with applicable legislation and Inditex Group operations. These risk events are assessed in accordance with their impact and probability. The Matrix also has a catalogue of controls to mitigate these risks that are subject to monitoring. With the information obtained in the assessment and periodic monitoring, the criminal risk map is drawn up.

In 2023, the Matrix was reviewed and updated, a new management tool was implemented that facilitates the harnessing of synergies with other of the Group's control systems, and the controls of the Matrix were monitored considering the risk prioritisation determined in the criminal risk map.

The main corruption risks identified in the Criminal Risk Map to which the Group is inherently exposed in accordance to the applicable legislation and its operations are:

- / Prevention of corruption in business
- / Prevention of corruption in international transactions
- / Prevention of bribery
- / Prevention of influence peddling

Evolution of the Global Compliance Model and integration of the various models

During the year, the General Counsel's Office – Compliance has launched or implemented various projects for developing a range of key elements of the Global Compliance Model (such as the review of the Code of Conduct and the Ethics Line).

In 2023, (i) work was ongoing to integrate the Criminal Risk Prevention Model and the existing local Compliance models into the Global Compliance Model, with the aim of combining the existing risk and control matrices into a corporate Matrix, considering legal requirements, international best practices and local regulations; (ii) the update of the Model of Organization, Management and Control ('Model 231') at the Group's Italian subsidiary was completed, in accordance with Legislative Decree no. 231 of 8 June 2001; (iii) the corporate taxonomy of compliance risks was reviewed and the main processes exposed to compliance risks were identified; and (iv) a process to improve the assessment methodology with regard to Compliance risks was launched.

In 2023, the General Counsel's Office – Compliance undertook the coordination of two new corporate functions, enhancing the standardisation and unification of criteria for the entire Group: (i) control claims to validate and review commercial claims across the different sales channels, and (ii) control on new products to review and validate requirements to place new products on the market.

Due diligence

Inditex is firmly committed to controlling and preventing Compliance risks at the third parties with which it deals. For this purpose, a third-party control system has been implemented, which is described in the Due Diligence Policy and in its implementing internal regulations. This Policy includes the principles and action criteria that aim to align Inditex's relationships with its business partners, suppliers and large customers with:

- / international standards and good practices in the field of anti-corruption and anti-bribery;
- / anti-corruption regulations; and
- / applicable anti-money laundering regulations and terrorist financing prevention.

It also aims to guarantee compliance with the sanctions and commercial restrictions approved and implemented in, at least, the European Union, the United States, the United Kingdom and the United Nations, and compliance with the regulations on the prevention of forced labour and on due diligence concerning the value and supply chains currently in place in the various jurisdictions where the Group operates.

Inditex has a solid control system defined in its **Due Diligence Policy** and the implementing internal regulations thereof. Furthermore, this due diligence system is consistent with that of human rights, supervised by the Group's Sustainability Department, described in section [5.1.2. Human rights due diligence](#).

The due diligence process regulated by the aforementioned Policy consists of the **identification and analysis of all the suppliers, business partners and third parties** with which the Inditex Group does business, as well as, in certain cases, their main shareholders, directors and beneficial owners. This process allows to identify potential risks related to corruption, fraud, tax evasion, money laundering, international sanctions and/or any other reputational or similar risks that may be associated with these third parties. Risks identified as relevant will lead to the implementation of an action plan coordinated by the General Counsel's Office - Compliance, which may range from remedial measures to the termination of the business relationship with the third party in question. The Policy and its implementing internal regulations describe the responsibilities of the areas involved in the various procedural review flows, as well as in the design, execution and monitoring, where appropriate, of any action plans established.



The due diligence process, for which the General Counsel's Office - Compliance is responsible, is independent but aligned with any other analysis of a social, environmental, operational, financial, commercial or any other nature which the Inditex Group may be engaged in with suppliers or other third parties.

① More information in sections 5.1.2. *Human rights due diligence* and 8.3. *Supplier relations* of this Report..

This due diligence process is developed and implemented based on a number of principles:

- / **Obligation** to submit **all business partners, large customers, suppliers and third parties** with whom Inditex engages in business relations to this due diligence process.
- / **Necessary prerequisite** in order to commence business relations with third parties.
- / **It prohibits any business dealings** with third parties regarding which **Compliance risks have been detected**, when no action plan to mitigate or remedy such risks is under way.
- / Based in accordance with the **principles of reasonableness and proportionality**, by applying different levels of analysis based on criteria such as business turnover, industry or market risk or other factors.

This process is carried out over two occasions:

- 1) At the outset of the commercial relationship:** all suppliers and other third parties that enter into commercial and/or professional relations with the Group are subject to the scheduled due diligence process. This is increasingly demanding in accordance with certain factors, including: (i) the third party's total estimated business with Inditex; (ii) the market in which the third party is based and carries out its main business; (iii) the sector to which it belongs; and (iv) its degree of interrelation with the authorities and public officials.
- 2) Over the course of the commercial relationship:** all existing suppliers are periodically assessed, submitting them to the flow that may be applicable to them, in accordance with Inditex's due diligence regulations.

Inditex has also implemented the **Procedure for Limiting Trade Relations with Suppliers**, which establishes restrictions on hiring suppliers, only allowing those based in markets authorised by the Group to be hired (i.e., those who meet legal and business operation criteria); and on making and receiving payments only to and from those third parties which, having met the foregoing requirement, are made from a bank account opened in such markets.

By implementing the Inditex Minimum Requirements (IMRs), Inditex guarantees that all the product suppliers with whom it works agree to comply with certain social, environmental and product health and safety standards, among others.

Furthermore, all new non-product suppliers in Spain have to accept a Statement of Compliance with Minimum Requirements prior to being registered as Group suppliers.

Grievance mechanism: the Ethics Line

The **Ethics Line** is the preferred, strictly confidential, internal communication channel available to any employee, director and shareholder of any company of the Group, as well as anyone working under the supervision and management of manufacturers, suppliers, contractors and subcontractors of the Inditex Group may raise, including anonymously:

Questions and/or doubts

on **the interpretation or application** of the Group's Code of Conduct and the Code of Conduct for Manufacturers and Suppliers, as well as any **other internal rules of conduct** within the purview of the Ethics Committee.

Breaches and other non-compliances

relating to infringements of the applicable legal system or of the Codes of Conduct or of any other **internal rule of conduct** within the purview of the Ethics Committee, affecting Inditex and committed by employees, manufacturers, suppliers or third parties with whom the Group has a direct employment, commercial or professional relationship.

Therefore, any breaches or irregularities related to **corruption, fraud and bribery** can also be reported via this channel.

The **Ethics Committee** is the internal body responsible for the Group's Internal Reporting System and for managing the Ethics Line, and must promote the necessary investigations to adequately resolve cases handled, in accordance with the **Policy on Internal Reporting Channels and the Ethics Line Procedure** (approved and reviewed, respectively, by the Board of Directors in 2023).

The decisions of the Ethics Committee, as a collegiate and independent body, are **binding** upon the Inditex Group and on the persons to whom they are addressed, where applicable.

This internal body operates in accordance with the provisions of the **Regulations of the Ethics Committee**, updated in 2023 for the purposes of, among others, regulating the functions of the Ethics Committee as the responsible of the Group's Internal Reporting System and the management of the Ethics Line, as well as aligning its content with the Policy on Internal Reporting Channels and the Ethics Line Procedure.

The Ethics Line is governed by the principles and guarantees established in the Policy on Internal Reporting Channels and by the Ethics Line Procedure, which regulates its operation.

The aforementioned Policy and Procedure incorporate international best practices in connection with human rights and adapt the Ethics Line to the requirements of the markets in which the Group operates. In particular, to the requirements derived from the transposition into Member States' law of Directive (EU) 2019/1937 on the protection of persons who report breaches of Union law (the Whistleblower Directive), which include, among others, personal data protection and the rights of persons using whistleblowing mechanisms.

The Policy on Internal Reporting Channels and the Ethics Line Procedure provide the following safeguards and protections for persons concerned:

- / **Utmost confidentiality**
- / **Presumption of innocence** and preservation of the **right to honour** of the persons affected by the report
- / **Non-retaliation**
- / **Appropriate use of personal data** processed
- / The parties' **right to be heard**

All the information regarding the Ethics Committee and the Ethics Line is available on our **intranet** and on our **corporate website** (www.inditex.com), under the 'Ethics Line' tab.



How the Ethics Line works

How the Ethics Line works

1. Concerns

The person concerned reports an incident through the channels provided for this purpose on the intranet and the corporate website (www.inditex.com).

2. Management

The Ethics Committee acknowledges receipt of the report and evaluates whether it falls within the scope of application of the Ethics Line.

3. Investigation

The Ethics Committee carries out the investigation process in collaboration, where applicable, with other areas.

4. Measures

Once **the investigation has concluded**, and after hearing the party concerned, **the Ethics Committee will decide** on:

- / The closing of proceedings, where no breach exists; or
- / The existence of a breach, its severity and whether it is appropriate to take disciplinary measures and/or complementary actions.

In the event of **a breach**, and unless the Ethics Committee decides to directly exercise this power, **the measures** to be taken will be determined by the competent department or area depending on the breach's severity and other circumstances. **Such measures may consist of:**

- / The immediate correction of the breach and the adoption of measures to remedy and prevent future breaches;
- / Disciplinary measures (ranging from a simple warning or admonishment, to dismissal).

In keeping with best practices in this regard, in 2023 a tool provided by an external supplier was commissioned and placed into operation to receive and handle communications from the Ethics Line. This tool is accessible 24 hours a day, 7 days a week, and is available in 21 languages.



Local Ethics Lines

In addition to the Global Ethics Line, Inditex has Local Ethics Lines in the United States and Puerto Rico, Canada, Croatia and Sweden, in order to comply with the requirements and/or best practices applicable in those markets.

Breakdown of cases by topic⁶⁷

	2023	2022
Issues regarding labour and Human Resources, diversity, and respect in the workplace:	321	361
related to discrimination, workplace/sexual harassment or other potential breaches of fundamental rights; and	152	115
related to disputes over working conditions, grounds for dismissal or the implementation of personnel selection processes.	169	246
Business integrity ⁽¹⁾	105	75
Environment, health and safety	10	11
Inappropriate use of Company assets	1	0
Financial, accounting or audit and/or control fraud	0	0
Others	78	94
Total number of cases	515	541

(1) Includes cases related to potential conducts of taking advantage of the position in Inditex to obtain own business opportunities or other benefits, consultations on potential conflicts of interest and/or fraud or non-compliance with procedures.

In 2023, the Ethics Line (including both the Global Ethics Line and the various Local Ethics Lines) recorded a total of 515 cases (541 cases in 2022). The total number of cases processed by the Ethics Committee does not reflect those that were rejected because they do not fall within its competence.

	2023	2022
Open cases	515	541
Processed cases	294	333
Cases classified as beyond the authority of the Ethics Line	221	208
Confirmed reports of corruption	5	3
(i) Disciplinary measures or termination of employment due to confirmed reports of corruption	5	3
(ii) Total number of confirmed reports where contracts with business partners have been terminated or not renewed due to corruption-related offences	2	0
Confirmed reports of discrimination	3	3
Disciplinary measures or termination of employment due to confirmed reports of discrimination	3	1
Confirmed reports of harassment	3	3
Disciplinary measures or termination of employment due to confirmed reports of harassment	3	1

Of the total of 515 cases opened by the Ethics Committee in 2023, 413 are closed. Of these, 221 were classified as being beyond the authority of the Ethics Committee or as not requiring any further action or monitoring by the Ethics Committee. Of the remaining closed cases falling within the purview of the Ethics Committee: (i) 42 were queries, (ii) 110 were cases which, after investigation, were found not to be non-compliances, and (iii) the remaining 40 were cases of non-compliance requiring appropriate action. Of the latter, 10 cases were related to the prevention of corruption and bribery, 28 were linked to diversity and respect in the workplace and the remaining 2 were related to other violations of the Inditex Group's Codes of Conduct. In 9 cases, the non-compliances detected affected employees of suppliers of goods and services, and the necessary measures to remedy the situation were taken.

With regard to the confirmed cases of corruption, no relevant aspects affecting the Company have been observed in any of them.

During 2023 and 2022, the Group has not been aware, either through its Ethics Committee or through other means, of the processing of legal proceedings concerning corruption or bribery that affect the Company.

No significant (firm) legal actions have been registered in the Inditex Group, either through the Ethics Line or through other available channels, in connection with unfair competition and monopolistic and anti-trust practices during 2023 and 2022.

⁶⁷ Compared to previous years, in this financial year the data for the Global Ethics Line and the various Local Ethics Lines are shown in aggregate (until financial year 2022, only the data for the Global Ethics Line were broken down). Data for financial year 2022 have been restated, including communications from Local Ethics Lines, to make the year-on-year evolution comparable.

Training, awareness-raising, and communication

Internal and external communication and circulation

At Inditex we promote the **communication and circulation of internal regulations** linked to the Inditex Group's Global Compliance Model and we facilitate the knowledge and disclosure of the rules of conduct adopted to all the parties bound by them.

In order to ensure our **formal commitment** to ethical and responsible behaviour, the **Compliance function**, which is managed by the **General Counsel's Office – Compliance**, is responsible for:

/ **Adequately informing** and updating the members of **Inditex's Board of Directors** on a quarterly basis, on: (i) the work carried out by the Compliance function and projects underway, (ii) the activities and results of the supervision of Inditex's Criminal Risk Prevention Model, (iii) the status of the cases processed by the Ethics Committee, and (iv) internal regulations approved or amended. Prior to the meetings of the Board of Directors, the General Counsel's Office provides the directors with those policies and internal regulations subject to approval or amendment by the Board.

/ Promptly **communicating** the **internal Compliance regulations** to **officers and other supervisors of the Group's areas and departments**, reminding them of their duty to disclose their content to all staff under their respective areas of responsibility.

In 2023, the Board of Directors approved the Inditex Group's Policy on Internal Reporting Channels and the Regulations of the Cybersecurity Advisory Committee, and it amended the Global Anti-Harassment Policy (to extend the scope of the previous Global Sexual Harassment and Sex or Gender Identity-Based Harassment at the Workplace Prevention Policy, approved in 2022, to include the prevention of all types of harassment), the Community Investment Policy, the Ethics Line Procedure and the Regulations of the Ethics Committee.

In 2023, a total of 3 policies, 4 procedures, 5 regulations, one charter and other internal corporate regulations of a lower rank or local scope were approved and/or amended.

In particular, with regard to corruption prevention, the General Counsel's Office has communicated and published the following communications regarding internal regulations:

(a) Policy on Internal Reporting Channels and the Ethics Line Procedure: communication of the new Policy on Internal Reporting Channels and the updated Ethics Line Procedure.

(b) Policy on Gifts and Invitations (annual reminder): an annual communication regarding the highlights of the Policy and submission of a letter to suppliers to remind them of what is not allowed in connection with gifts and business courtesies.

The policies, procedures and instructions that make up the Global Compliance Model of the Inditex Group are available to all employees on the corporate intranet (INET) and can be accessed from any device.

Furthermore, the 'Ethical Commitment' tab on the Inditex corporate website (www.inditex.com) contains the main internal Compliance regulations, publicly available to all our stakeholders.

Listed below are the groups of persons to whom anti-corruption Policies and Procedures were communicated in 2023, by professional category and region:

Policy on Internal Reporting Channels and Ethics Line Procedure	
Professional category	No. of people
Management	5,497
Supervisor	5,273
Specialist	11,006
Total	21,776
Region	No. of people
Americas	1,262
Asia and rest of the world	1,538
Spain	12,760
Europe (ex-Spain)	6,216
Total	21,776
Gifts & Invitations Policy (annual reminder)	
Professional category	No. of people
Management	5,635
Supervisor	5,968
Specialist	11,933
Total	23,536
Region	No. of people
Americas	1,968
Asia and rest of the world	1,630
Spain	13,354
Europe (ex-Spain)	6,584
Total	23,536

Lastly, as previously stated, all of the Group's product suppliers have access to the supplier extranet to consult the IMRs applicable to them. Notable among all these internal regulations are the Code of Conduct and the Code of Conduct for Manufacturers and Suppliers, which set out the corruption prevention obligations binding upon all suppliers, among others.

Training action

Educating our employees and suppliers is key to building and growing our Global Compliance Model. We trust them fully to uphold the **values, principles and standards of conduct** that make up our corporate ethical culture.

The promotion of the corporate ethical culture and the Global Compliance Model of the Group is underpinned by the implementation of training action adapted to the risk profile of the different groups of employees that form part of Inditex. In this regard, in 2023, the implementation of the holistic Compliance Training Plan (the **Training Plan**) has continued. Such Plan includes training, awareness and sensitisation measures covering the priority Compliance risks to which the Group is potentially exposed.

The Training Plan, addressed to both Group employees and third parties (e.g. suppliers), primarily covers the following subjects:

/ Code of Conduct

/ Code of Conduct for Manufacturers and Suppliers

/ Ethics Line

/ Anti-corruption and integrity (Integrity Policies and Conflicts of Interest Policy)

/ Criminal risk prevention

/ Due diligence

/ Market abuse prevention and protection of inside and/or confidential information

Furthermore, the Training Plan also covers the role of the General Counsel's Office – Compliance to coordinate and manage the Compliance Training Framework Plan (hereinafter, the 'Framework Plan'). This Framework Plan organises the training provided by the main corporate areas exposed to Compliance risks. The goal is to ensure a homogeneous and robust oversight of training to mitigate priority Compliance risks and contribute to building a corporate ethical culture.

Against this backdrop, in 2023 the Compliance function continued to collaborate with and support certain corporate areas in creating or adapting compulsory training content, as well as in reviewing the target audiences for such training, so as to address the courses to employees most exposed to Compliance risks.

Furthermore, the creation of a compulsory training carousel on the corporate e-learning platform, TraIn, was a major milestone in the implementation of the Framework Plan. It is a dedicated space that hosts compulsory training courses for these corporate areas. In this regard, it is worth noting that each employee will have different courses, as this training has been specifically tailored to their risk profile, position and responsibility. When this new carousel was launched a specific global communication plan was rolled out to familiarise all employees with the space, along with a monitoring plan to track completed training,

consisting of periodic reminders to employees with training courses pending about the need to complete them before the end of the financial year.

Compliance training

Within the framework of the Compliance Training Plan, specific training (either in person or online) was provided during 2023 to groups who, on account of their position and responsibilities or because of the type of activity they carry out, are exposed to a **greater risk of Compliance breaches** and, in particular, **to offences relating to corruption in business**.

Furthermore, in early 2023, a training session was held in the form of a Compliance Talk between the General Counsel's Office - Compliance and the heads of some corporate and commercial areas. The goal was to raise awareness of internal regulations and the corporate ethical culture, how to properly manage conflicts of interest and the use of the Ethics Line, as well as the protection of Company information, through concrete examples of potential real-life scenarios that may arise in employees' day-to-day work.

The groups of people who received anti-corruption training in 2023 are listed below, by professional category and region. The number of trained people increased by 9% from 2022:

Priority group (employees) ⁽¹⁾

Job classification	2023		2022	
	No. of unique people trained ⁽²⁾	% of the priority group	No. of unique people trained ⁽²⁾	% of the priority group
Management	5,147	79%	4,373	71%
Supervisors	3,265	78%	2,882	72%
Specialist	14,742	80%	12,317	69%
Total	23,154	79%	19,525	70%
Region				
America	1,194	98%	1,044	87%
Asia and rest of the world	1,415	90%	1,253	74%
Spain	8,785	84%	7,513	75%
Europe (ex-Spain)	11,760	73%	9,717	64%
Total	23,154	79%	19,525	70%

(1) Employees that are exposed to Compliance risks due to its position, responsibilities or duties.

(2) When a person has attended several training sessions during the year, they are counted only once.

Likewise, below is a list of the product suppliers who received training on Compliance matters through a specific e-learning course to apprise our main product suppliers across 50 markets (representing 54% of the Group's product procurement) of the principles and behaviour that we expect from them in the framework of our commercial or professional relationship.

Priority group (product suppliers) ⁽¹⁾		
Region	No. of unique people trained	% of the priority group
Americas	4	10%
Asia and rest of the world	497	19%
Spain	81	14%
Europe (ex-Spain)	201	16%
Total	783	17%

(1) Trained suppliers with an active user. Active users are defined as those who have accessed the Group's supplier Extranet in the last 6 months.



8.2. Information security and privacy

Material topic: Information security and privacy



8.2.1. Information security

GRI 3-3

The digital transformation has resulted in a highly competitive environment in which it is necessary to adapt to the changing demands of consumers, who expect a modern experience that matches their expectations. As a result of this transformation and the growth of online commerce, cyber threats are increasing and becoming more sophisticated, requiring companies to constantly adapt and take proactive security measures.

In this context, information security is a crucial aspect of Inditex's cybersecurity strategy. For this reason, managers are engaged in cybersecurity issues with the aim of driving the necessary investment in cybersecurity and protecting our stakeholders (customers, shareholders, employees, investors, suppliers, partners, etc.).

Strategy

Mindful of the risks associated with our business and of the importance of continuously improving our Information Security Management model, in 2023 we ramped up our investment in security by 10% with respect to the previous year, giving a cumulative increase of 62% in the last three years. Our decision to automate various processes, as well as to hire people with different profiles, has allowed us to increase our capacity to address the challenges associated with cybersecurity.

These investments, backed by the support and leadership of the Company's Senior Management, allow us to continue developing initiatives that enable us to attain our global strategic objectives and comply with the guidelines and principles established both generally and in the Information Security Policy, published on the Company's website, as well as their implementing regulations and procedures.

We assign the highest priority to guaranteeing the confidentiality and integrity of information and ensuring the availability of all processes that support sales and distribution channels. The Information Security department is the area in charge of achieving this and the Information Security Committee, comprising members of Senior Management, is the supervisory body that ensures that best practices in security management, applicable regulations and ethical values are effectively and consistently followed throughout the Company, as provided in the Regulations of the Information Security Committees, which were updated in 2023 in keeping with the changes in the organisational structure.

To realise this commitment, our Chief Information Security Officer Charter has been in place since 2022. This document was also updated in 2023 to adapt it to our new organisation. It defines the framework of action and competencies of the Information Security function, regulating both its place in the Organisation and the levels of organisational autonomy and independence (reporting to the Chief Executive Officer), internal and external responsibilities and the following reporting lines:

- Audit and Compliance Committee: the Information Security Director will report, at least semi-annually, to the Audit and Compliance Committee of the Board of Directors of Inditex and, where appropriate, to the corresponding governing bodies of Inditex.
- Information Security Committee: the Information Security director will report quarterly to the members of said Committee on the main risks and aspects related to the Information Security of the Inditex Group.

Cybersecurity Advisory Committee

In 2023 we have launched the creation of a Cybersecurity Advisory Committee. This permanent, advisory and consultative body is made up of independent experts in information security and aims to strengthen the decision-making process related to cybersecurity and promote the Company's strategy in this area. Below is the list of members of the Advisory Committee in financial year 2023:

/ Alberto Yopez: co-founder and CEO of Forgepoint Capital, the largest and most active venture capital firm specialised in cybersecurity, valued at over A\$1 billion and with 47 portfolio companies. He has a long track record of building and growing successful global cybersecurity companies.

/ Christopher C. Krebs: was the first director of the US Department of Homeland Security's Cybersecurity and Infrastructure Agency (CISA). He co-founded Krebs Stamos Group, a geopolitical and technology risk management consulting firm.

/ Maria Markstedter: is the CEO of Azeria Labs, Author, and Forbes Cybersecurity Person of the Year. She serves on the technical review board for the Black Hat security conference and as part of the technical advisory council for CISA Cybersecurity Advisory Committee. She is an expert in reverse engineering and ARM architecture exploitation, recognized for her book 'Blue Fox: Arm Assembly internals & externals & reverse engineering'. Her commitment to cybersecurity education is reflected in the high quality of the training services she offers to public and private sector professionals.

/ Hazel Diez Castaño: Banco Santander's global CISO, leading a team of more than 2,000 people in cybersecurity and fraud across the Group. She has more than 20 years of experience working in multicultural environments and leading global security departments in several organisations.

/ Hugh Thompson: Managing Partner of Crosspoint Capital Partners, LP, focused on cybersecurity, privacy and software infrastructure. He has testified before the US Congress as a cybersecurity expert and is recognised as one of the "Top 5 Most Influential Thinkers in IT Security" by SC Magazine.

/ Marene Allison: held senior corporate risk and security positions for more than 30 years at Johnson & Johnson. Prior to joining the private sector, she was a Special Agent with the FBI. She is a former member of the Board of Directors of Health ISAC and a founding member of West Point Women, of which she is the current President.

In addition, on February 6, 2024, a new member joined the Advisory Committee:

/ Jose Manuel Gonzalez-Páramo Martínez-Murillo: economist who has held prominent positions on several corporate boards, including the European Central Bank (ECB) and the Bank of Spain. He currently serves as Chairman of the Supervisory Board at European DataWarehouse GmbH&Ltd, and as an independent member of the Board and Risk Committee at Abanca Corporación Bancaria S.A. González-Páramo has developed a broad experience in economics, regulation and banking, contributing significantly to the academic and corporate environment.

Governance and compliance

With regard to governance, we continue to closely monitor digital cybersecurity regulations to ensure we are compliant with legislation in force. In 2023 we launched a legal advisory initiative in connection with cybersecurity. In this regard, prior to its transposition by EU Member States, we completed a proactive review of the alignment and conformity with the new Directive (EU) 2022/2555, known as Network and Information Security (NIS2) Directive, which aims to improve the security of networks and information systems in European territory. We also continue to develop and implement security policies and measures in compliance with the legal obligations pursuant to the General Data Protection Regulation (GDPR).

On the heels of publication of the Good Governance Code on Cybersecurity, drawn up by the National Cybersecurity Forum in collaboration with Spanish Securities Market Commission (CNMV), the Department of National Security and various associations and companies, including Inditex through the involvement of its Chief

Information Security Officer, we have reviewed our initial position concerning the content of the Code.

During the year, we conducted various external assessments, both mandatory and voluntary, to analyse our security model from both a compliance perspective, covered in this section, and a technical standpoint, discussed in the following section on Intrusion Prevention. These evaluations show that Inditex's Information Security Management is consistent with best practices and standards in cybersecurity at both the local and international levels. As a result, we have successfully renewed all major information security certifications:

/ Payment Card Industry-Data Security Standard (PCI-DSS) on the protection of our customers' payment card data. Following the publication of a new version of this standard, we have begun our process of adaptation to it.

/ ISO/IEC 27001, which evaluates our Information Security Management System, assuring the confidentiality, integrity and availability of the Company's information and of the systems, as well as of the applications that support the sales channels. In this sphere, we have begun our process of adjustment and compliance with the latest version of the standard.

/ Korean Information Security Management System (K-ISMS), which evidences our adherence to legal cybersecurity requirements in South Korea.

/ Multi-Layer Protection Scheme (MLPS), which regulates cybersecurity issues in China.

Likewise, in 2023 we set up a working group to continue strengthening and developing the existing control programmes. The aim is to gain visibility concerning the security standards of our relevant partners, including prior to contracting, as well as to reduce the risk of cybersecurity threats they might be exposed to. In addition, we continue paying attention to security in the supply chain, having a team dedicated to carrying out reviews and implementing controls to verify the level of security and guarantees in the service provided by third parties.

We have also carried out numerous internal audits and reviews, both by third parties and by the Oversight Area within the Information Security Department, which ensures compliance and proper application of the policies and procedures defined. In 2023 we also carried out a re-evaluation of the OT (Operational Technology) processes at logistics centres. We continue to periodically evaluate our level of cybersecurity maturity in collaboration with an external expert so as to gauge the Company's standard of information security and compare it with companies in other sectors that are subject to exacting standards, such as firms in the banking or technology industries.

Detection and response

As a result of the increase in cyberattacks on companies worldwide, with no material financial or reputational impact on the Company as of the date of this report, the working groups set up have maintained and further developed their activity. These groups, under the supervision of the Information Security Committee, have been tasked with continuing to design and implement new initiatives, and overseeing those already in place, focusing on the management of vulnerabilities and higher-risk assets with the new tools acquired.

In addition, as a consequence of conflicts between countries, monitoring tasks have been maintained, as has the management of the risks associated with this context. Over the course of 2023, we have strengthened our defence capabilities through specific initiatives focused on improving our ability to detect and respond to

the most prevalent threats in the external cyber environment such as Distributed Denial of Service (DDoS) attacks, Credential Stuffing, Ransomware and vulnerabilities in third-party products.

The Information Security department has a specialised cyber intelligence team whose main function is the early detection of the potential risks and threats we face by means of continuous monitoring of the digital environment.

Moreover, our global incident response team continues to be a registered member of CSIRT.es (Platform of Spanish Cybersecurity and Incident Management Teams) and TF-CSIRT (Working Group of Security Incident Response Teams), which aim to exchange information on major cybersecurity incidents and improve collaboration and coordination in order to respond quickly in any situation that may affect large companies in Europe and neighbouring areas. Membership of these groups also allows us to nurture relationships with global organisations and partners in other regions to address cybersecurity challenges on a broader scale.

Our Security Operations Centre (SOC) is available 24 hours a day, 7 days a week, for the detection, analysis, reporting and correction of potential security incidents that may affect the Organisation. During 2023, a total of 123 events of interest were recorded (98 in 2022), of which we have reported the most relevant ones to the Information Security Committee. None of these events had a material impact on our operations or financial statements.

This year, we have updated our Procedure on Information Security Incident Response, focusing on the notification of important incidents to third parties (organisations, entities, institutions, etc.) including individuals who must be informed of such events, and on the requirements associated with these notifications. Additionally, we have strengthened our security incident detection and response system with a service that adds an extra layer of security by allowing the early detection of threats and/or suspicious activity through continuous monitoring of our technology infrastructure.

Intrusion prevention

The deployment of prevention measures is one of the most important tasks of our activity, and we have therefore reinforced vulnerability scanning at the Company's perimeter and increased the number of external researchers participating in our private vulnerability detection programme to a total of more than 700 professionals. Furthermore, in 2023, to supplement the private programme, we created a new public rewards programme for the online retail environment, in collaboration with a community of more than one million active researchers. In addition to this, we have conducted crowdsourced pentesting (or penetration testing), which affords us a greater diversity of skills and a broader and more varied perspective on potential weaknesses in our systems, thanks to having a broader group of security professionals.

Also in this field, we have had independent external staff carry out new Red Team activities, focusing on simulating attacks targeting the Company. We thus aim to try to identify our weaknesses in order to improve the Organisation's security status. Adopting a continuous improvement approach, as part of this exercise we conducted a review of the 31 Red Team exercises executed in the 2019-2023 period.

We continue to strive to maintain, improve and evolve the maturity of the Information Security programme. Accordingly, in coordination with the Data Protection and Privacy area and other relevant areas, we have made progress in several initiatives to boost the protection of our Group's information. In this context, our main priorities are the prevention of leaks and theft of sensitive information, the availability of critical services (sales and distribution) and their associated threats, and the control of information integrity, with an emphasis on financial information. This is further supported by the existence of the cyber risk insurance programme, which provides various coverages and services, including own damage (including loss of profit), liabilities and regulatory procedures, as well as crisis management services.

In the area of corporate identity and access management, we have launched a project related to improving oversight and internal processes with respect to management and granting of permissions, as well as privileged identity governance.

With regard to the availability of critical services, we have carried out various exercises to assess and ensure the recovery of critical systems in different scenarios so as to gauge and reduce the risks associated with the continuity of our systems and applications. The infrastructure supporting these services is Tier IV certified, a standard distinguishing data centres that offer the highest level of performance and reliability, guaranteeing a high degree of availability of our infrastructure.

Automation plays a pivotal role in cybersecurity by enhancing the speed, scalability, accuracy and efficiency of detection and response to cyber threats. We therefore continue to pursue the integration of this concept into security strategies and operations, strengthening our cybersecurity position and increasing our preparedness for the challenges of the current digital environment.

We also continue to explore the opportunities offered by artificial intelligence to improve cybersecurity management, identifying patterns and anomalies so as to anticipate potential cyber threats. Artificial intelligence also poses significant cybersecurity challenges, so transparency in the development of systems and collaboration with cybersecurity experts are now key pillars to ensure the integrity and reliability of these systems in the Company.



Training and awareness-raising

We continue to conduct a range of drives for our employees, collaborators and members of the Board of Directors, aimed at assessing and enhancing their level of security awareness and expertise, by means of the Cybersecurity Culture Plan and the training programme. This programme comprises specific actions aimed at the different groups of users according to their profile and role within the Organisation, covering both general aspects of information security and internal policies. For example, we have provided cybersecurity training to the Company's international managers. We also offer cybersecurity training programmes specifically tailored for the Board of Directors and software development professionals, as well as specialised training on compliance with credit card data security requirements.

As in previous years, we have continued to expand the scope of the awareness campaigns and we have conducted various targeted social engineering exercises using phishing tactics (which involves sending fake emails) and smishing (which involves text or SMS messages) in order to verify and reinforce our employees' awareness regarding this type of attacks which are becoming increasingly common in the cyber world. In this context, we emphasised improving our teams' preparedness, ensuring that they effectively understand how to use the communication channels to report potential anomalies.

Similarly, considering the importance of preparing for cybersecurity incidents, in 2023 we held several crisis simulation exercises that served as training for this type of situation. These activities involved different areas linked to the management of this type of event, for the purpose of testing the defined procedures and providing training on escalation and decision making.

We also promote security by partnering with public and private organisations:

- / Working with the NGO CyberPeace Institute, which helps vulnerable communities protect themselves and recover from cyberattacks.
- / Belonging to specialised cybersecurity forums such as the Centre for Industrial Cybersecurity (CCI) and the Spanish Association for the Advancement of Information Security (ISMS Forum).
- / Taking part in events hosted by the Retail & Hospitality Information Sharing and Analysis Center (RH-ISAC) for cybersecurity information sharing.
- / Attending renowned international cybersecurity events, such as the Black Hat conferences or the Security 50 summits.
- / Supported by professional research, guidance and advisory services from expert analysts who provide real-time support on long-term strategic needs and our short-term tactical requisites.

These collaborations enable us to keep up with the latest innovations and trends in cybersecurity, giving us an advanced perspective on developments in this area.

In summary, we continue to devote resources to strengthening cybersecurity, as it is vital to protecting the Company's critical assets, complying with regulations, maintaining business continuity, not to mention preserving the reputation and maintaining the trust of our customers. All this fuels our ambition to stay competitive in an increasingly digital business environment.

8.2.2. Personal Data Protection and Privacy

GRI 3-3

In 2023, we have worked in accordance with the Company's strategy and objectives, advocating the value of respect for privacy and ensuring an appropriate level of compliance with data protection and privacy regulations.

In this regard, in order to guarantee the data protection of the groups whose personal data we process (customers, employees, candidates, etc.), at Inditex we conduct an analysis of all the trends with an impact on privacy across the retail sector, as well as the obligations entailed by the new regulations and the interpretations of the supervisory authorities, judges and courts. This guarantees compliance with the principles deriving from the data protection and privacy regulations, and in particular, those of transparency and the management of the rights of the interested parties.

Throughout the year we have continued to work on a number of cross-cutting projects that have enabled us to advance in the implementation of our privacy programme. Among others, the following:

- / We have reinforced the role of Privacy Delegates, who are the liaisons that help coordinate and manage data protection and privacy issues in each of the subsidiaries through training aimed at being better covered in each of the markets.

/ Project to improve the retention and deletion of personal data of the main groups (customers, employees and candidates) stored in the Company's main systems.

/ We have made substantial headway in defining the system for identifying privacy risks and implementing controls.

/ Development of the cookies compliance model.

More specifically, in relation to customers, the Personal Data Protection and Privacy department has worked hand in hand with the business teams, supporting them as needed. We have taken part in the analysis and review of numerous projects aimed at improving the shopping experience (such as the single login in Italy or various projects aimed at getting to know customers in physical stores), and promoting sustainability (such as the expansion of Zara Pre-Owned into new markets), among others. This is important to ensure that privacy is woven into them from the design stage, in accordance with the corporate procedure.

Projects were also carried out to adapt the systems and operations to the requirements derived from certain privacy regulations affecting the Asian and American markets, especially with regard to international transfers and the exercise of rights, respectively.

As for our employees, we have worked on fostering a culture of privacy in the Company by updating our data protection and privacy course, which is available on the corporate eLearning tool (TraIn). This training is compulsory for employees working in departments whose functions entail processing the personal data of different stakeholders. Since its launch in June 2023, 97% of employees targeted by this course have completed it.

Lastly, we have maintained the structure of our compliance model in connection with data protection and privacy, based on:

/ Accompanying the business areas.

/ Continuous improvement of the privacy programme and implementation of tools that strengthen the accountability system, accrediting compliance with the model.

/ Monitoring by the Group's global Data Protection Officer (DPO) through our privacy control system.

/ Periodic reporting: at least once a year to the Board of Directors through the Audit and Compliance Committee and to the Company's Management through our participation in the Information Security Committee.



8.3. Supplier relations

Material topic: Responsible management of the supply chain and traceability; Value creation in the community



8.3.1. Our principles and strategy

GRI 2-6; GRI 2-23; GRI 2-24; GRI 2-28; GRI 3-3; GRI 305-6; GRI 403-7; GRI 413-2; AF1; AF6; AF19; AF24

Our business model is based on an agile and flexible supply chain.

This enables us to meet demand and adapt to new social and environmental standards quickly and efficiently.

Proximity is one of the key criteria of our supply chain, allowing us to respond nimbly to the market. A significant part of the cutting, sewing, dyeing, washing, printing or finishing factories that manufactured our garments in 2023 are located in Spain or neighbouring countries like Portugal, Morocco and Türkiye.

Overall, as of 2023 we had 1,733 direct suppliers⁶⁸ in 45 markets, who created our products at 8,123 factories⁶⁹ and generated more than three million jobs (1,729 suppliers, 50 markets and 8,271 factories in 2022).



⁶⁸ Figures include suppliers with more than 20,000 production units in the 2023 summer and winter campaigns, based on the primary data extracted from the Company's systems (suppliers with production of less than 20,000 units represent 0.19%). Throughout this chapter, the indicators regarding the number of suppliers have been calculated based on this premise, except for those cases concerning training, audits or corrective action plans, for which all suppliers available in our systems are included without discrimination by purchase volume.

⁶⁹ Figures include factories declared by the suppliers with more than 20,000 production units in the 2023 summer and winter campaigns in the manufacturer's management system for 2023 orders. Throughout this chapter, the indicators regarding the number of factories have been calculated based on this premise, except for those cases concerning training, audits or corrective action plans, for which all suppliers available in our systems are included without discrimination by purchase volume.

The supply chain at Inditex in 2023

Suppliers with purchase in 2023

European Union

312 suppliers
1,407 factories

Europe outside the EU

209 suppliers
1,616 factories

Americas

10 suppliers
42 factories

Asia

964 suppliers
4,600 factories

Africa

238 suppliers
458 factories

Factories declared by suppliers in 2023⁷⁰

3,197

Spinning, weaving, and other raw material processes

96

Cutting

3,849

Sewing

124

Dyeing and washing

211

Printing

289

Finishing

357

Non-textile products



The supply chain at Inditex in 2023

	Suppliers with purchase in 2023	New suppliers in 2023	Unused suppliers in 2023	Suppliers with purchase in 2022
Africa	238	62	25	201
Americas	10	1	2	11
Asia	964	160	151	955
Europe outside the EU	209	33	54	230
European Union	312	42	62	332
Total	1,733	298	294	1,729

⁷⁰ For those factories carrying out more than one process, their main process has been considered.

Dialogue and transparency concerning the supply chain

We endeavour to build strong relationships with our suppliers, based on continuous accompaniment and support. For this purpose, we have set up supplier clusters, spaces to foster dialogue and cooperation with industry actors such as trade unions, employers, administrations and NGOs. In 2023 we worked with ten clusters in Spain, Portugal, Morocco, Türkiye, India, Pakistan, Bangladesh, China, Cambodia and Vietnam, through which 98% of our garments were produced.

Through these dialogue spaces, we also deploy 'Improvement Plans' in collaboration with manufacturers and suppliers part of our supply chain and a network of internal and external specialists. These Plans are part of our Supply Chain Transformation Plan to advance in our sustainability objectives.

① More information in sections 6.1.4. *Lower-impact consumption and efficiency and optimisation* y 6.2.3. *Water management activities throughout the supply chain* of this Report.

To promote transparency with our stakeholders, we share information about our supply chain with various actors. These include:

/ The international trade union federation IndustriALL Global Union.

As part of our Global Framework Agreement, we provide them with a comprehensive and updated list of our manufacturers and their level of compliance with our policies. We also give IndustriALL Global Union and its local affiliates access to the production centres.

/ A number of international organisations, NGOs, investors and indices.

These include the International Labour Organization (ILO)—in the countries where we take part in the Better Work programme—Zero Discharge of Hazardous Chemicals (ZDHC) and the Institute of Public & Environmental Affairs (IPE) in China, with whom we share environmental information.

① For further information, refer to the document *Partnerships* on Inditex's corporate website.

/ Our customers.

In 2023 we responded to 1,309 requests for information related to the manufacture of our products, our sustainability policies or the raw materials used.

8.3.1.1. Main policies, standards and principles on which our supply chain management is based

Our **Code of Conduct for Manufacturers and Suppliers (CCMS)** is the foundation for our supplier relations. Published in 2001 for the first time and updated in 2012, in it we set out the standards they are expected to meet with regard to labour rights, product health and safety and environmental issues.

This Code of Conduct is based on the Organisation for Economic Cooperation and Development (OECD) principles, the Ethical Trading Initiative Base Code, the United Nations Global Compact principles and, among others, the following International Labour Organization (ILO) conventions: 1, 14, 26, 29, 79, 87, 98, 100, 105, 111, 131, 135, 138, 142, 155, 164 and 182.

In addition, our CCMS is an evolving tool, as it is subject to periodic review to keep it in line with industry best practices.

① More information in the *Code of Conduct for Manufacturers and Suppliers* is available on Inditex's corporate website.

In addition to our CCMS, at Inditex we implement **our own Green to Wear standard**, aimed at reducing the environmental impact of our supply chain, as well as improving the health and safety of our articles and fostering best practices.

This standard, which applies mainly to the factories that carry out wet processes, **covers the sustainable and efficient management of raw materials, water, technology and processes, chemical products, waste and wastewater.**

Another important tool for supply chain management are our **Traceability Requirements for Manufacturers and Suppliers**, increasing the level of detail on the minimum requirements for our suppliers reflected in the Code of Conduct for Manufacturers and Suppliers.

Any manufacturer or supplier wishing to form part of our supply chain must comply with the Code of Conduct for Manufacturers and Suppliers, with the Green to Wear standard, if applicable, and with our Traceability Requirements.

To verify this compliance, we conduct regular and periodic audits to ensure that our standards are upheld. The breach of any of them may entail the termination of the business relationship.

Lastly, internally we promote **responsible purchasing practices**, guiding the decisions of our buyers and product teams with the aim of improving working conditions in the supply chain and fostering sustainable development in the textile sector.



These practices consider all phases of the purchasing process: strategic planning, procurement, development, purchasing and the underlying values and principles that affect workers. In this regard, our participation in the ACT (Action, Collaboration, Transformation) initiative is crucial.

① More information in section [7.2.1. Workers at the Centre](#) of this Report.

In the financial year 2023, thanks to the combined efforts of our suppliers, we have increased our knowledge of the source of raw materials. Especially in the phase from fibre growing to yarn creation, whose traceability is one of the challenges facing our industry.

① More information in the document *Supply Chain: management to transform the sector* available on Inditex's corporate website.

8.3.2. Traceability of the supply chain

GRI 2-24; 3-3; AF5; AF6

We see traceability as **our ability to identify and trace the history, application, location and distribution of products, parts and materials.**

This definition is consistent with Recommendation No. 46 of the **United Nations Economic Commission for Europe**, which advocates enhancing traceability and transparency of sustainable value chains in the garment and footwear sector.

⁷¹ In accordance with the definition of industry benchmark organisations, such as Textile Exchange. This defines a preferred material as a raw fiber or material that delivers ongoing beneficial outcomes and impacts for climate, nature, and people through a holistic approach to transforming raw fiber and material production systems.

Traceability strategy

Our traceability ecosystem allows us to compile and evaluate information concerning the traceability of our products. Specifically, it helps us to ascertain in which production facilities our articles were created and to certify the use of more responsible materials.

Our Traceability Requirements, developed in 2022, are among the foremost tools in this regard. In 2023 we worked on adapting our monitoring and assessment systems in connection with these requirements, which reflect our suppliers' traceability obligations.

For a start, our suppliers must know their supply chain and work only with manufacturers and intermediaries that comply with our sustainability standards and that have been previously assessed and approved by Inditex.

They must also report which facilities and intermediaries are involved in each production process, from fibre or yarn to the final garment for each order. This information should include both their own facilities and those contracted by them or by third parties.

Management

To facilitate the implementation of these requirements and to help our suppliers improve their traceability processes, we use our In.Trust management system to ease the process whereby our suppliers provide information on their supply chain.

Our traceability requirements not only require to declare our suppliers' supply chain, but also to provide evidence of the use of preferred raw materials⁷¹, such as organic or recycled cotton, viscose from preferred sources or European linen. Suppliers must provide proof of their use by means of documentation certifying their origin, including facility certification if applicable.

We also provide training to help our suppliers solve specific challenges regarding the use and understanding of traceability procedures. In 2023, we provided training to more than 300 suppliers in 20 markets.

Assessment

At Inditex we use various control mechanisms operating in parallel to verify compliance with our traceability requirements:

- / **Designation control check:** we check that our suppliers have provided information about their supply chain before deadline.
- / **Review of certificates:** we check raw material certificates before approving them.
- / **Traceability audits:** we verify the information provided by our suppliers on site, through unannounced visits to the production facilities. This allows us to check the production processes, the production in progress and the ones completed. The findings are then compared with the information entered by the supplier.

Audits are carried out through the In.Trace application, which gives auditors easy access to all the information linked to production.

In 2023, **12,100** traceability audits were conducted, revealing 808 non-compliances (10,796 audits and 629 non-compliances in 2022).

Traceability audits		
	2023	2022
Africa	4,206	5,400
Americas	105	154
Asia	5,512	2,872
Europe outside the EU	1,500	1,283
European Union	777	1,087
Total	12,100	10,796



8.3.3. Monitoring, assessment and continuous improvement

GRI 2-24; 3-3; 303-2; 308-1; 308-2; 407-1; 408-1; 409-1; 414-1; 414-2; AF2; AF3; AF6; AF8; AF9; AF10; AF11; AF12; AF13; AF14; AF15; AF16; AF17; AF19

Our aim is to build strong, long-standing relationships with our suppliers. This is why we pay special attention to the process of supplier accompaniment, assessment and improvement that begins even before they start to work with us.

In 2023, 12,761 audits were carried out at our suppliers and manufacturers, by our teams and by 1,128 external auditors⁷², specialised by sphere of auditing. They carried out pre-assessments, preliminary environmental assessments, social and environmental assessments. In total, 837 external auditors were trained for this purpose over the course of the year.

Where non-compliances were detected, we supported the improvement process of our suppliers and manufacturers through Corrective Action Plans.

Pre-assessment

Before we embark on a business relationship, we ensure that suppliers comply with our social and environmental standards by means of pre-assessment audits.

These audits check that they comply with our Code of Conduct for Manufacturers and Suppliers (CCMS) and the IMR (Inditex Minimum Requirements) applicable to them. Without this first step, no supplier can join our supply chain.

The IMR are made up of several key documents, such as the Human Rights Policy and the Traceability Requirements for Suppliers and Manufacturers, which establish the social, environmental or product health and safety standards our suppliers and manufacturers must meet to become eligible to receive orders.

In 2023, 2,111 **pre-assessment audits were carried out** (2,075 in 2022). Of these, 2,095 were performed by external auditors.

Number of pre-assessment audits carried out

	2023		2022	
	Pre-assessment audits	Approved %	Pre-assessment audits	Approved %
Africa	64	83%	97	86%
Americas	25	72%	16	88%
Asia	1,590	70%	1,438	73%
Europe outside the EU	173	45%	245	66%
European Union	259	69%	279	82%
Total	2,111	68%	2,075	74%

Environmental preliminary assessment

Once the new supplier passes the pre-assessment audit, a preliminary environmental assessment is conducted remotely by external auditors. This ensures that facilities subject to our Green to Wear standard comply with our most demanding environmental requirements. Facilities classified as not approved at this stage cannot receive orders from Inditex.

In 2023, 301 environmental pre-assessments were executed.

Social audits

After the pre-assessment audit, **we conduct** unannounced social audits **on a regular basis** at all suppliers and factories in our supply chain.

These audits allow us to verify compliance with our CCMS and consist of an unannounced site visit to verify wage rates, working hours, health and safety conditions, among other requirements set forth in our Code of Conduct of Manufacturers and Suppliers.

Social audits may be carried out by internal or external auditors in accordance with the Inditex methodology. To guarantee their quality, in 2023 we verify the application of the Inditex audit methodology through 71 control audits⁷³ (81 audits in 2022).

In 2023, 6,892 social audits were carried out⁷⁴ at the factories in our supply chain.

⁷² The calculation methodology includes primary data declared by the service provider.

⁷³ Previously reported as 'special audits'. In order to enhance transparency, this year we detail the topics and volume of the 'special audits' in the various sections of this Report.

⁷⁴ A company may receive more than one social audit during a financial year. Each audit carried out is considered when accounting for audits.

Number of social audits carried out⁷⁵

	2023	2022
Africa	324	390
Americas	48	35
Asia	4,209	3,798
Europe outside the EU	1,259	1,319
European Union	1,052	1,295
Total	6,892	6,837

These audits include the social audits carried out using Inditex's proprietary methodology and the audits carried out following the method of the Social & Labour Convergence Program (SLCP) initiative, of which we have been a member since its inception (1,241 SLCP audits in 2023, 882 en 2022).

SLCP's aim is to improve labour conditions for workers while eliminating audit fatigue in global supply chains. Accordingly, the factory itself carries out a self-assessment, which is then verified by a third party authorised by SLCP and shared with stakeholders.

In addition, social audits using our own methodology have also been carried out in more than 90 external logistics centres this year.

As a result of the social audits, our suppliers and manufacturers are classified in a social ranking based on their degree of compliance with

the Code of Conduct for Manufacturers and Suppliers (CCMS). In 2023, the active suppliers social ranking was as follows:

Classification of active suppliers by their social score

	2023		2022	
Classification	Number of suppliers	%	Number of suppliers	%
A	761	44%	650	38%
B	928	54%	1,018	59%
C	9	1%	10	1%
Subject to CAP	26	2%	30	2%
PR	9	1%	21	1%
Total	1,733	100%	1,729	100%

Classification	Audit results
A	Complies with the CCMS
B	Does not comply with some non-relevant aspect of the CCMS
C	Does not comply with some sensitive, but inconclusive aspect of the CCMS
Subject to PAC	Breaches of the CCMS triggering the immediate implementation of a corrective action plan
PR	Undergoing an auditing process



⁷⁵ It includes social audits carried out with the Inditex's proprietary methodology and those carried out with SLCP methodology which have been integrated into our systems.

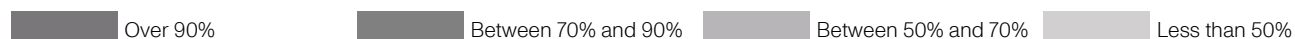
In terms of compliance with the Code of Conduct for Manufacturers and Suppliers, the performance in active factories of suppliers with purchases is shown in the following table:

Compliance with the Code of Conduct for Manufacturers and Suppliers in 2023

Percentages according to geographical zones and social compliance areas					
	Africa	Americas	Asia	Europe outside the EU	European Union
No forced labour					
No work by youths or child labour ⁽¹⁾					
No discrimination					
Respect for freedom of association and collective bargaining					
No harsh or inhumane treatment					
Hygiene at work					
Wage compliance					
Working hours					
Environmental awareness					
Regular work					
Implementation of the Code ⁽²⁾					

(1) Includes the lack of suitable systems for verifying the age of workers.

(2) Includes the lack of suitable systems for registering and communicating with workers.



Environmental audits

Compliance with our Green to Wear standard, targeting facilities that mainly carry out wet processes, is regularly verified through environmental audits.

These audits are carried out by external auditors in announced visits during which documentation is reviewed and, if applicable, wastewater samples are analysed unannounced.

This information is shared with the rest of the sector within the framework of our collaboration with Zero Discharge of Hazardous Chemicals (ZDHC).

In 2023, 1,868 environmental audits⁷⁶ were carried out.

Number of environmental audits carried out

	2023	2022
Africa	70	75
Americas	8	6
Asia	1,208	1,225
Europe outside the EU	295	442
European Union	287	317
Total	1,868	2,065

As a result, 86% of the suppliers required to comply with the Green to Wear standard are rated as A or B, the highest environmental performance ratings as per our methodology.

Continuous improvement

We know that continuous improvement is key to sustainable supply chain management.

Accordingly, we use **Corrective Action Plans (CAPs)**, which are roadmaps to support suppliers in their improvement processes and help them to correct and prevent non-compliances.

These plans may be devised by Inditex teams or carried out in collaboration with other organisations, such as relevant NGOs. In the most sensitive non-compliance cases—classified as being 'subject to CAP' according to social or environmental standards—the plan lasts approximately six months.

In 2023, the following CAPs were carried out:

/ Social CAP: we carried out 490 CAPs, of which 285 at factories with a 'Subject to CAP' rating and 205 at production centres with other ratings (487 CAPs in 2022: 292 of these plans were carried out in factories with a 'Subject to CAP' rating, and 195 in sites with other ratings).

/ Environmental CAPs: we launched 327 CAPs. 99 of these plans were carried out in factories with a 'Subject to CAP' rating, and 228 in sites with other ratings (547 CAPs in 2022: 122 in factories with a 'Subject to CAP' rating, and 425 in sites with other ratings).

At Inditex we are constantly exploring different ways to advance in the shared challenge of transforming our supply chain and our industry. For this reason, we also carry out certain verifications in specific areas such as those conducted to assess the progress of the corrective action plans or those related to various aspects of the CCMS. In this sense, in 2023 we carried out 697 verifications⁷⁷ (424 verifications in 2022).

Despite the importance for Inditex of accompanying our suppliers in improving their social and environmental performance, our commitment to compliance with our standards entails a zero tolerance policy with those who do not show a willingness to improve.

Consequently, if the verification audit still reveals serious non-compliance once the CAP has been completed, the factory or supplier will not be able to continue working with our Company.

Total suppliers, rejected and active in 2023

	Suppliers with purchase in 2023	Rejected due to a breach of the Code of Conduct	Rejected for commercial reasons	Active suppliers at 31/01/2024
Africa	238	2	0	236
Americas	10	1	0	9
Asia	964	39	1	924
Europe outside the EU	209	14	1	194
European Union	312	5	2	305
Total	1,733	61	4	1,668

⁷⁶ A company may receive more than one social audit during a financial year. Each audit carried out is considered when accounting for audits.

⁷⁷ Previously reported as 'special audits'. In order to enhance transparency, this year we detail the topics and volume of the 'special audits' in the various sections of this Report.



Other continuous improvement tools

In addition to the CAPs, our Company implements various improvement and support projects for suppliers and manufacturers, such as those developed as part of the Workers at the Centre strategy, some of which include accompaniment visits to ensure their proper implementation.

In 2023, we also continued with our Environmental Improvement Plan for supply chain transformation, with a particular emphasis on water, discharges, management of chemical products and energy.

① More information in sections 6.1.4, *Lower-impact consumption and efficiency and optimisation* y 6.2.3, *Water management initiatives throughout the supply chain* of this Report.

① More information in the document *Supply chain: management to transform the sector* available on Inditex's corporate website.

Innovation in production processes

As well as guaranteeing compliance with our standards, at Inditex we aim to improve production processes in the textile industry so as to have a lower impact and achieve more efficient water and energy consumption.

For this purpose, we work closely with organisations and companies that help us develop innovative solutions to improve our impact.

Among the most outstanding examples is the launch of new dyeing and finishing processes such as PIGMENTURA (launched on an industrial scale this year) and *Sustineri*, developed jointly with CHT and Pulcra, respectively. This is based on a pigment dye that does not require washing or drying, thus reducing the time and complexity of the process. This can save up to 96% of water and 60% of energy compared to other continuous dyeing technologies.

As a further benefit, this solution can be implemented in existing dyeing facilities without additional investment. It can also be applied to complex fibre blends, including recycled fabrics, which tend to involve more complex dyeing processes.

Another of the solutions we have developed is SOKALAN HP 56 A, partnering with BASF to implement and optimise the first industrial cold washing system. This system significantly reduces water and energy consumption in exhaust dyeing systems.

By supporting innovative solutions, at Inditex we continue to move forward in the transformation of the textile sector and industry.

8.4. Tax responsibility and transparency

Material topic: Value creation in the community



GRI 3-3; 201-2; 201-4; 207-1; 207-2; 207-3; 207-4

For Inditex, **strict compliance with tax obligations in all the markets in which it operates** is a core principle of its tax policy. We see the application of good tax practices as an extension of our commitment to sustainability and corporate social responsibility.

It is also consistent with our **philosophy of value creation** and our determination to bring about **positive social transformation** wherever we are present, as the payment of taxes, by companies and individuals, enables the economic and social development of a community. Moreover, it fosters the construction and consolidation of infrastructures and public services that benefit the well-being of citizens and society in general.

Inditex's Tax Policy, approved by the Board of Directors in 2015, establishes that, in its tax practices, Inditex shall apply the fiscal legislation of the markets where it is present and, preferably, the interpretative criteria established by the authorities or courts of those markets. Due to the heterogeneity of this regulatory framework, Inditex approaches its tax management by taking the standards of best practice in each territory as a reference.

The Inditex Group is based upon a vertical organisation which takes part in all stages of the value chain of the textile industry (design, production, procurement, distribution and sale). Since all such activities are carried out in different territories, the part of profit created in the value chain attributed to each one needs to be determined. Profit attribution is done pursuant to the arm's length principle, in accordance with local regulations and OECD Transfer Pricing Guidelines.

The principles of **collaboration, mutual trust and good faith** govern Inditex's relationship with the tax authorities. Furthermore, we are part of Foro de Grandes Empresas ("Large Companies Forum") in Spain, whose primary objective is to promote greater collaboration among large companies and the State Taxation Administration. We also comply with the Code of Good Tax Practices promoted in the Forum, and have followed its recommendations and subsequent developments. Specifically, it is important to note that the Group has presented the Tax Transparency Report in accordance with the recommendation contained in section 2.4 of the Code.



Below is a breakdown of profit before taxes by market for 2023 (in million euros)⁷⁸:

Markets	2023	2022
Americas	1,286	1,141
Brazil	167	122
Canada	80	91
United States	393	424
Mexico	541	376
Other	105	128
Asia & Rest of the world	552	376
Australia	27	33
China	241	105
South Korea	60	50
Japan	25	11
Kazakhstan	61	48
Other	138	129
Spain	1,618	1,422
Spain	1,618	1,422
Europe (ex-Spain)	2,860	1,919
Germany	130	64
Belgium	43	34
France	188	145
Greece	50	27
Italy	177	127
The Netherlands	824	586
Poland	68	9
Portugal	73	47
United Kingdom	167	154
Romania	92	75
Switzerland	525	493
Türkiye	374	137
Other	149	21
Profit/(loss) before taxes	6,316	4,858
Consolidation	554	500
Consolidated profit/(loss) before taxes	6,870	5,358

In 2023, the effective overall income tax rate was 21.5%, and the accrued income tax expense (in million euros) was as follows:

Markets	2023	2022
Americas	396	326
Brazil	76	51
Canada	21	22
United States	91	99
Mexico	164	113
Other	44	41
Asia & Rest of the world	76	58
Australia	9	11
China	11	(6)
South Korea	13	15
Japan	10	4
Kazakhstan	13	10
Other	20	24
Spain	334	267
Spain	334	267
Europe (ex-Spain)	722	479
Germany	35	18
Belgium	11	5
France	52	42
Greece	10	5
Italy	47	20
The Netherlands	247	190
Poland	15	3
Portugal	22	12
United Kingdom	29	22
Romania	13	10
Switzerland	107	92
Türkiye	97	43
Other	37	17
	1,528	1,130
Consolidation	(85)	95
Income tax⁽¹⁾	1,443	1,225

(1) 2023 income tax corresponds to the obligation to pay corporate income tax, or any other, similar tax, paid in the current year, or to be paid in the following year, linked to pre-tax profit by market, in accordance with the provisions of the Information Guide on Non-Financial Information and Diversity published by the Spanish Accounting and Auditing Institute. This year, the payment obligation may be conditioned in some markets by the tax effect associated with tax losses generated in the current or previous financial years.

⁷⁸ Profit before tax results from the application of the International Financial Reporting Standards (IFRS), including the application of the accounting standard for leases IFRS16 and excludes the result of the dividend distribution of other subsidiaries of the Group, capital gains from the sale of intra-group holdings, as well as provisions for portfolio impairments in Group subsidiaries. Profit before tax is conditioned by the 'headquarters effect' and compliance with international regulations on transfer pricing (OECD Guidelines) whereby the result derived from design, supply, logistics and distribution functions is allocated to certain markets and, therefore, does not represent the Group's profitability in each market.

The relation between profit/(loss) before tax and corporate income tax in each market is obtained by applying the prevailing tax rate to the taxable income. This, in turn, is the result of performing certain permanent or temporary adjustments to the accounting profit/(loss) before tax.

These adjustments relate mainly to avoiding double taxation on income, to non-deductible expenses and to differences in the criteria for temporary allocation of income and expenditure between tax and accounting legislation (depreciation, impairment, etc.).

The Group is committed to not using structures of a shady nature for tax purposes, putting shell companies located in territories considered as tax havens or uncooperative territories by the Spanish tax authorities. In this regard, the incorporation of companies located in territories considered as tax havens is limited to situations where it is absolutely indispensable for the development of the Group's own commercial activities, as is the case with the companies which operate the stores located in Macau SAR and Monaco.

	Sale of goods and services (thousands of euros)	Number of stores
Macao SAR	4,968	2
Mónaco	7,094	1
Total	12,062	3

This financial year, taking into account all the markets in which it operates, the Group has received 4 million euros (10 million euros in the previous year) in public subsidies, mainly from China.

Likewise, section *8.1.2. Global Compliance Model and Criminal Risk Prevention Model* of this Report, sets out the measures that Inditex has

adopted within the framework of stopping money laundering and the financing of terrorism.

In the financial year 2023, and in compliance with our tax obligations, Inditex's total tax contribution amounted to 8,680 million euros, of which 3,660 million euros were direct taxes paid and 5,020 million euros were taxes collected on behalf of third parties in the territories and markets where the Company operates. In order to standardise the tax disclosures and denominations of these territories, PwC's Total Tax Contribution methodology is used. In it, taxes are divided into five categories:

/ Income tax. This includes tax payable on profits earned by companies (such as corporate income tax or business tax), as well as taxes collected and some withholdings on payments to third parties.

/ Property tax. Tax payable on the ownership, sale, transfer or occupation of property.

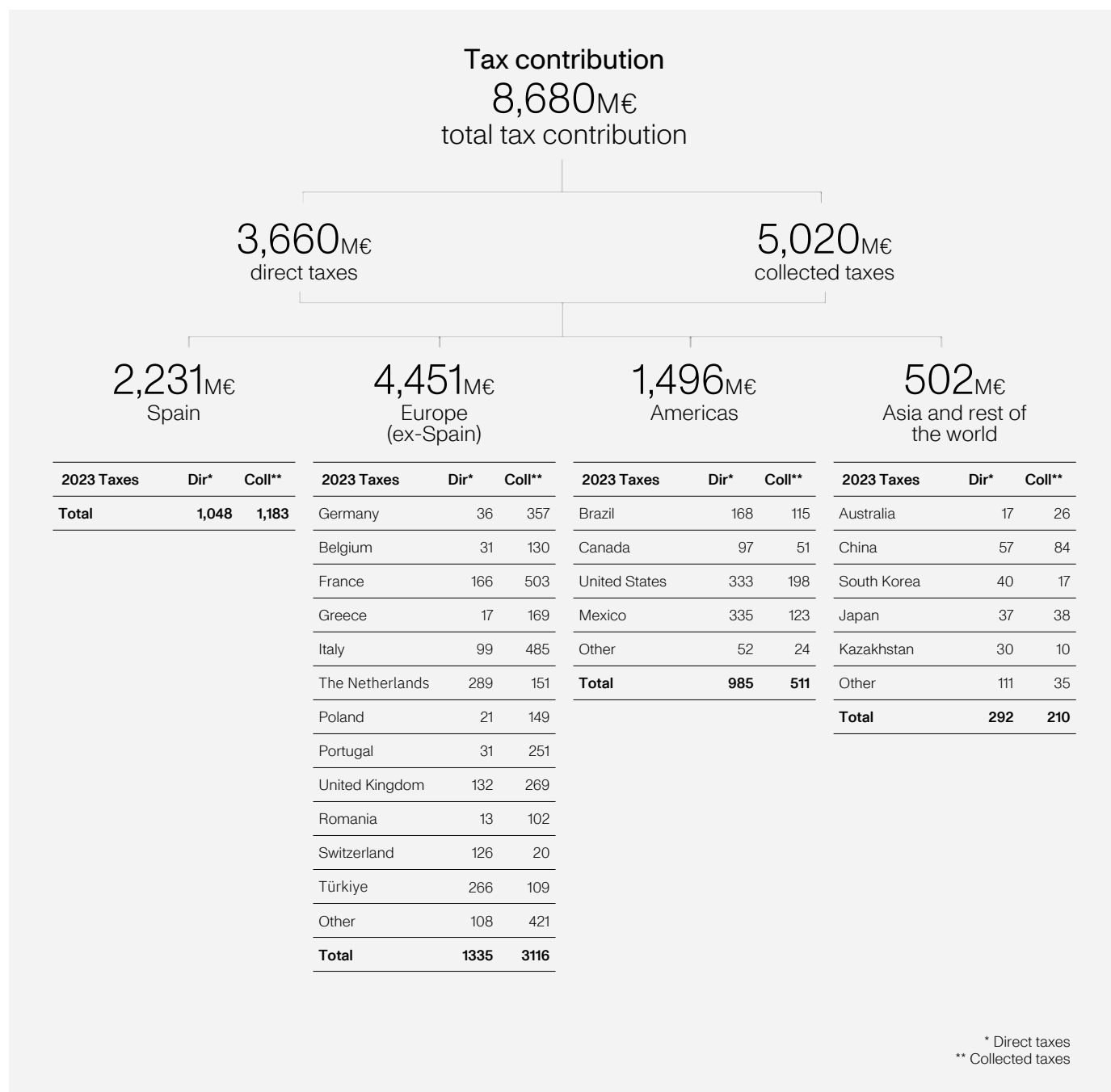
/ Personal tax. Tax related to employment, paid and collected. This includes employees' personal income tax withholdings or social security contributions payable by the employee or the Company.

/ Tax on products and services. Indirect taxes on the production and consumption of goods and services, such as VAT or customs duties, among others.

/ Environmental tax. Duties relating to the supply, use or consumption of products and services that, in one way or another, affect the environment.

Category	Direct tax (in million euros)	Taxes collected (in million euros)
Income tax	1,498	198
Property tax	98	12
Personal tax	891	959
Tax on products and services	1,152	3,850
Environmental tax	21	1
Total	3,660	5,020
Total tax contribution (in million euros)		8,680

With respect to the tax contribution by markets, as Inditex's home market, Spain is home to the main product activities and resulting business. For this reason, and because it represents 14.8% of global sales, it is the Group's largest direct tax contribution market. In 2023, 2,231 million euros in tax were paid in Spain, i.e., 26% of the overall total.



	Direct taxes paid (in million euros)		Taxes collected (million euros)	
Markets	2023	2022	2023	2022
Americas	985	852	511	400
Brazil	168	146	115	82
Canada	97	54	51	52
United States	333	304	198	163
Mexico	335	268	123	79
Other	52	80	24	24
Asia & Rest of the world	292	268	210	188
Australia	17	11	26	26
China	57	42	84	64
South Korea	40	36	17	15
Japan	37	40	38	41
Kazakhstan	30	32	10	7
Other	111	107	35	35
Spain	1,048	949	1,183	860
Spain	1,048	949	1,183	860
Europe (ex-Spain)	1,335	1,131	3,116	2,831
Germany	36	50	357	296
Belgium	31	14	130	120
France	166	152	503	465
Greece	17	22	169	140
Italy	99	67	485	450
The Netherlands	289	205	151	131
Poland	21	13	149	116
Portugal	31	52	251	225
United Kingdom	132	144	269	255
Romania	13	12	102	89
Switzerland	126	110	20	21
Türkiye	266	179	109	80
Other	108	111	421	443
Own taxes	3,660	3,200	5,020	4,279

9

Annexes

- 9.1. Additional indicators
- 9.2. Content indexes



9.1. Additional indicators

9.1.1. European taxonomy of sustainable activities

Regulatory context

The Inditex Group is subject to Regulation (EU) 2020/852 on EU Taxonomy (hereinafter 'Taxonomy')⁷⁹, which stipulates a series of obligations with regard to the disclosure of information relating to 'environmentally sustainable' activities. Since 2021, we have been reporting information concerning the Taxonomy in accordance with the applicable regulations, the scope of which has increased since that date with the publication of Delegated Regulation (EU) 2021/2139 (the Climate Delegated Act), Delegated Regulation (EU) 2021/2178 (the Disclosures Delegated Act) and Delegated Regulation (EU) 2023/2486 (the Environmental Delegated Act).

The Environmental Delegated Act, approved in 2023 by the European Commission, introduces new activities with their respective technical screening criteria of contribution to the remaining four environmental objectives⁸⁰, along with those of climate change mitigation and adaptation included in the Climate Delegated Act. Furthermore, this Delegated Act is supplemented by six annexes that establish technical screening criteria for specific sectors and activities. In line with the obligations emanating from this updated regulatory framework, in 2023 the Company reports information on:

- / the proportion of eligibility and alignment for total business volume indicators (turnover), investments in fixed assets (CapEx) and operating expenditure (OpEx) for the climate change mitigation and adaptation objectives;
- / the proportion of eligibility for turnover, CapEx and OpEx key indicators for the remaining environmental objectives;
- / mandatory complementary qualitative information⁸¹.

It is important to highlight that, given the continuous development of new legislation and guidelines in the context of the Taxonomy, companies remain exposed to the need to adapt to new requirements and periodically analyse their activities and internal management systems. The purpose of this is to ensure that the information provided is thorough and adequately complies with regulations.

In this context, after evaluating the activities in accordance with the Taxonomy for the third consecutive year, it is confirmed that for now the Group's main activity –the distribution and sale of fashion items– is not currently included in the applicable regulatory framework. Nevertheless, there are other activities linked to the Group's business model that are included, as outlined below.

Scope and assessment of Inditex's activities

The scope of the information on Taxonomy includes all the companies over which the Inditex Group has control or joint control (listed in *Annex I* of the Consolidated Annual Accounts). Within this scope, the Group has conducted an analysis of its accounting information in order to determine which activities are associated with those described in the Taxonomy in relation to each of the six targets.

This analysis is grounded upon the current level of understanding of the descriptions and technical screening criteria included in the Taxonomy, which, as we discuss below, in some cases has implied updating the assessment criteria applied in 2022.

⁷⁹ The EU Taxonomy is structured around the Regulation (EU) 2020/852, and is supported by three delegated acts: Delegated Regulation (EU) 2021/2139 (the Climate Delegated Act), Delegated Regulation (EU) 2023/2486 (the Environmental Delegated Act) specify the technical screening criteria to determine taxonomy-aligned activities; and the Delegated Regulation (EU) 2021/2178 (Disclosures Delegated Act), which specifies the content, methodology and presentation of information to be disclosed by companies with regard to sustainable economic activities.

⁸⁰ The sustainable use and protection of water and marine resources (WTR), the transition to a circular economy (CE), pollution prevention and control, and the protection (PPC) and restoration of biodiversity and ecosystems (BIO).

⁸¹ The Disclosures Delegated Act requires certain qualitative information to be specified in detail concerning accounting policies, the assessment of compliance with the regulations, in addition to contextual information thereon.

Methodology and results

To assess the contribution to each of the objectives established by the Taxonomy, we applied the following methodology:

- 1) **Eligibility analysis by type of activity:** analysing the accounting items linked to the three key indicators and how they match the descriptions of the Taxonomy activities included in Annexes I and II of the Climate Delegated Act and I to IV of the Environmental Delegated Act.
- 2) **Analysis of alignment by type of activity:** we assessed, for all the activities considered eligible, compliance with the established:
 - Technical screening criteria for substantial contribution.
 - The criteria of 'Do No Significant Harm' (DNSH) to the rest of environmental objectives.
 - Compliance with minimum social guarantees.
- 3) **Calculating the indicators and results:** considering the eligible activities aligned with the Taxonomy in accordance with the conclusions drawn from points 1 and 2.

1. Eligibility analysis of the activities carried out by Inditex

As a result of the assessment of its accounting information, eligible activities were identified within the framework of the climate change mitigation (CCM), climate change adaptation (CCA) and circular economy (CE) objectives.

These activities may be encompassed in the three main groups according to the activity type considered by Inditex: **store refurbishments and openings, construction and renovation of the Group's corporate headquarters and logistics centres, and wind-generated electricity.**

The main conclusions of this analysis in connection with the three key indicators (turnover, CapEx and OpEx) are presented below.

Turnover: Inditex is mainly dedicated to the distribution and sale of fashion items, and this activity is its main source of revenue. Since this activity is not currently included in the Taxonomy, no turnover items have been identified that could be considered eligible.

OpEx: According to the definition of this indicator provided in Taxonomy, the percentage of eligible OpEx of the Inditex Group for 2023 has been considered to be approximately 0%.

CapEx: A core portion of the Group's CapEx corresponds to investments undertaken in relation with store **refurbishments and openings**. However, in most cases these actions are linked to the

design and refurbishment of retail spaces, mainly leased premises, which only exceptionally involve the building's envelope or insulation (which is what has the capacity to influence its energy efficiency). This means that only in these exceptional cases are the Group's activities considered to be eligible in accordance with the description of the 'renovation of existing buildings' activity corresponding to the activity codes 7.2. CCM/CCA, for the climate change mitigation and adaptation objective, and 3.2. CE, for the circular economy objective. In this regard, it is worth noting that both activities describe the activity of renovation of existing buildings identically.

Another significant part of CapEx refers to the **construction and refurbishment of the Group's corporate headquarters and logistics centres**. In this case, with regard to the eligibility of the 'acquisition and ownership of buildings' activity corresponding to activity code 7.7. CCM/CCA, for the climate change mitigation and adaptation objectives. Activities with the capacity to influence the energy efficiency of the buildings analysed have been considered to be eligible.

The Company also carries out investments to foster self-consumption through the **generation of electricity using wind power** at its own facilities. These investments are considered to be eligible in the framework of activity 4.3. CCM/CCA, 'electricity generation from wind power', in terms of both climate change mitigation and adaptation.

Furthermore, the Inditex Group undertakes **other investments** linked, among others, with the installation, maintenance and repair of the energy efficiency equipment in stores, headquarters and logistics centres, software development and data processing, and the implementation and operation of systems that oversee and optimise energy consumption to achieve greater efficiency, which could be considered to be eligible in the framework of activities 7.3. CCM/CCA (installation, maintenance and repair of energy efficiency equipment), 7.5. CCM/CCA (installation, maintenance and repair of instruments and devices for measuring, regulation and controlling energy performance of buildings), 7.6. CCM/CCA (installation, maintenance and repair of renewable energy technologies) and 8.1. CCM/CCA (data processing, hosting and related activities), respectively. However, these activities represent an insignificant proportion of approximately 0% of the Group's CapEx in financial year 2023. Compared to the information reported in financial year 2022, the taxonomic CapEx disclosed in 2023 do not include actions related to activity 7.3. CCM/CCA due to current limitations in tracking significant accounting items to the necessary level of detail.

In the reporting year, and as a result of the eligibility analysis of the new activities in connection with all of the environmental objectives, new taxonomic activities in which the Group is investing were identified. These notably include: Activity 5.3. CE (preparation for re-use of end-of-life products and product components), activity 5.4. CE (sale of second-hand goods) for the circular economy objective. However, these

activities also represent an insignificant proportion of approximately 0% of the Group's CapEx in 2023.

According to the analysis carried out, the Group considers the following activities to be eligible in 2023 (exclusively in terms of CapEx):

Type of activity	Taxonomy objectives	Description of the activity	Inditex Group activities
Renovation of existing buildings	Climate change mitigation (7.2. CCM) Climate change adaptation (7.2. CCA) Circular economy (3.2. CE)	Construction and civil engineering works or preparations for such works	Renovation of stores, headquarters and logistics centres when it is possible to upgrade the building envelope
Acquisition and ownership of buildings	Climate change mitigation (7.7. CCM) Climate change adaptation (7.7. CCA)	Buying real estate and exercising ownership of that real estate	Ownership of headquarters and logistics centres provided there is a possibility of influencing the energy efficiency of the buildings analysed
Electricity generation from wind power	Climate change mitigation (4.3. CCM) Climate change adaptation (4.3. CCA)	Construction or operation of wind-generated electricity facilities	Electricity generation activities in wind power plants

2. Analysis of the alignment of activities by type of activity

For each of the eligible activities previously described, an assessment was carried out of the technical criteria in the climate change mitigation and adaptation objectives, specifically for CapEx. As a result, it was observed that the Group's activities contribute solely to the mitigation objective. This is because the actions identified in relation to the taxonomic activities mentioned are not carried out with the purpose of being 'adaptation solutions' in keeping with the requirements for these activities pursuant to the criterion of substantial contribution to climate change adaptation.

Accordingly, below is a detailed breakdown of the analysis of compliance with the technical screening criteria for the specific activities relating to the **climate change mitigation objective (CCM)**:

/ Renovation of existing buildings (activity 7.2. CCM), which is reported as CapEx in accordance with point 1.1.2.2. a) of the Disclosures Delegated Act, explains the assessment of compliance with the technical criteria relating to substantial contribution and DNSH specific to this activity;

/ Acquisition and ownership of buildings (activity 7.7. CCM), which is reported as CapEx and in the investment plan in accordance with points 1.1.2.2.a) and 1.1.2.2. b) of the Disclosures Delegated Act, respectively, as well as explaining the assessment of compliance with the technical criteria and DNSH applicable in the first case, and, for the second case, explaining the criteria considered in the investment plan;

/ Electricity generation from wind power (activity 4.3. CCM), reported via the CapEx Plan, in line with the applicable criteria;

/ Analysis of compliance with DNSH criteria for the climate change adaptation objective and for the **minimum social safeguards**, assessed jointly for the various groups of activities.

/ Renovation of existing buildings (Activity 7.2. CCM)

In 2023, one action related to the comprehensive refurbishment of one of the Group's stores was identified as being aligned with the Taxonomy under activity 7.2. CCM, as explained below:

i. Compliance with the technical screening criteria for substantial contribution

With respect to the substantial contribution to the climate change mitigation objective, through the review of the works technical project, it was observed that the action identified in this context implies the intervention on the building's facade and, accordingly, on at least 25% of its envelope, in keeping with the Taxonomy's requirements.

ii. Compliance with the technical screening criteria of 'Do No Significant Harm' (DNSH) specific to the activity

- **Climate change adaptation:** no material physical climate risks were identified that might affect the performance of the reported activity pursuant to the provisions of Annex A of the Climate Delegated Act. The detailed breakdown of compliance with this technical criterion is provided in the transversal section 'Compliance with the technical screening criterion of Do No Significant Harm (DNSH) to the climate change adaptation objective'.
- **Sustainable use and protection of water and marine resources:** the building analysed has been refurbished entirely, including sanitary fittings such as taps, basins and toilets that meet the minimum requirements as regards maximum water flow and maximum flush volume established by the Taxonomy. It is compliant with the technical guidelines followed by the Inditex Group in connection with plumbing and sanitation in the works it undertakes, which include caps on water flows in the plumbing systems of sanitary facilities in line with the Taxonomy's requirements, promoting a more conscious use of water resources.
- **Transition towards a circular economy:** the actions identified are compliant with the requirements of the Taxonomy, including that at least 70% of non-hazardous construction and demolition waste generated in the work should be recovered. This compliance is reflected in the store's Construction and Demolition Waste Management Plan, which includes building practices that support circularity; in addition to the construction waste management certificates, which confirm that 100% of the waste generated is recovered.
- **Prevention and control of pollution:** the construction components and materials used comply with the Taxonomy's requirements as per

the record of the relevant responsible declarations and emission tests. This includes the requirements linked to substances in Annex C of the Climate Delegated Act, formaldehyde and volatile organic components (VOCs). In addition, the building complies with the Group's technical guidelines on indoor air quality and noise, which meet the Taxonomy requirements.

/ Acquisition and ownership of buildings (Activity 7.7. CCM)

(a) Investments in corporate headquarters

With regard to investments in headquarters, we identified the investment linked to the construction of a new corporate building, which will be a part of the complex of facilities that make up the Group's Arteixo headquarters. This action is presented by means of an investment plan, approved by the Inditex Management, which details all the measures in place to ensure that these investments match the Taxonomy requirements within the framework of the climate change mitigation objective through activity 7.7.

Compliance with the technical screening criteria through the investment plan

In accordance with the provisions of the Disclosures Delegated Act, it is possible to present aligned activities by means of a investment plan that evidences that the investment is earmarked for an activity that will be aligned with the Taxonomy within a maximum period of five years. Such a plan must meet a series of requirements as per the provisions of the Disclosures Delegated Act and the guidelines in the FAQ documents published in 2022 by the European Commission⁸².

The plan concerning the corporate building includes a detailed set of measures—with their related expense, status of progress of implementation dates—that must be carried out to ensure that the action complies with the technical screening criteria of activity 7.7. CCM. More specifically, the document details the measures to be adopted for compliance with the requirements concerning energy efficiency⁸³, Life Cycle Analysis⁸⁴ and the Study of Air Tightness and Thermal Integrity of the Envelope⁸⁵ applicable to large non-residential buildings built from 2020 onwards. Meanwhile, the detailed breakdown of compliance with DNSH is provided in the section 'Compliance with the technical screening criterion of Do No Significant Harm (DNSH) to the climate change adaptation objective'.

⁸² Commission Notice on the interpretation and implementation of certain legal provisions of the EU Taxonomy Regulation and links to the Sustainable Finance Disclosure Regulation of 19/12/2022, more specifically in the answer to question 26.

⁸³ Obtaining an Energy Efficiency Certificate showing that primary non-renewable energy consumption is at least 10% below the energy consumption thresholds established for Nearly Zero-Energy Buildings (NZEB); design and calculation of the climate control installation based on the requirements of the Regulation of Thermal Installations in Buildings (RITE); installation of a Building Management System (BMS) to allow the building to be efficiently managed through energy efficiency control and assessment.

⁸⁴ Calculation of the average yearly Global Warming Potential (GWP) for a reference study period of 50 years, resulting from the construction in each stage of the building's life cycle and in accordance with EN 15978 Standard.

⁸⁵ Performance of an air tightness and thermal integrity study of the building in accordance with EN 13187 and EN 13829 or equivalent standards.

Construction of this project is scheduled for completion in 2024. Once the execution has been completed, the Group undertakes to periodically assess compliance with the relevant technical criteria in this context and to conduct the related adjustments to its calculations and disclosures where necessary.

(b) Investments in logistics centres

This year investments were undertaken at four of the Group's logistics centres that are considered to be aligned with the Taxonomy under activity 7.7. CCM, as outlined below:

i. Compliance with the technical screening criteria for substantial contribution

The aforementioned logistics centres, built after 2020, present non-renewable primary energy consumption of at least 10% below the energy consumption thresholds established for non-residential buildings in accordance with the Basic Document HE, Energy Savings ('*DB HE Ahorro de energía*').

Two of the logistics centres cover a surface area of more than 5,000m² and during their construction were subject to robust and traceable quality control processes. These buildings are efficiently operated through the continuous oversight and assessment of their energy performance as provided in the Taxonomy for this purpose. Moreover, the Life Cycle Analysis report of these buildings states that the Global Warming Potential (GWP) resulting from their construction was calculated at each stage of their life cycle in accordance with the relevant standards. Inditex formally undertakes to disclose this GWP to investors and/or customers who so request.

ii. Compliance with the technical screening criteria of 'Do No Significant Harm' (DNSH) specific to the activity

- **Adaptation to climate change:** no material physical climate risks have been identified that could affect the performance of the reported activity in accordance with the provisions of Appendix A of the Climate RD. The details of compliance with this technical criterion are set out in detail in the cross-cutting section "Compliance with the technical criterion of no significant detriment (DNSH) to the climate change adaptation objective".

/ Electricity generation from wind power (Activity 4.3. CCM)

With regard to activity 4.3 CCM, one wind-generated electricity project was identified: the Punta Langosteira Outer Port Wind Facility. This project is aimed at achieving self-consumption between the Inditex Arteixo headquarters and the A Coruña Port Authority, and it will enter into operation in early 2026, so it is reported through an investment plan.

Compliance with the technical screening criteria through the investment plan

As previously explained in connection with the requirements pertaining to the CapEx Plan for the Punta Langosteira Outer Port Wind Facility, measures are envisaged to ensure that the infrastructure is compliant with the technical screening criteria

applicable to activity 4.3 CCM. Specifically, the purpose of electricity generation from wind power is included in the Technical Construction Report, which shows that the purpose of this facility is to generate wind power for self-consumption. Furthermore, an Environmental Impact Study is planned as is the compilation of a document outlining the availability of highly durable, recyclable and easily dismantlable equipment and parts for the installation, so as to comply with the applicable biodiversity and circular economy DNSHs, respectively. Meanwhile, the detailed breakdown of compliance with DNSH is provided in the section 'Compliance with the technical screening criterion of Do No Significant Harm (DNSH) to the climate change adaptation objective'

Construction of this project is scheduled for completion in 2026. Once the execution has been completed, the Group undertakes to periodically assess compliance with the relevant technical criteria in this context and to conduct the related adjustments to its calculations and disclosures where necessary.

/ Analysis of compliance with the climate change adaptation DNSH and minimum social safeguards

Compliance with the technical screening criterion of Do No Significant Harm (DNSH) to the climate change adaptation objective

The Inditex Group has analysed the potential impacts in connection with climate change risks, both physical and transition risks, using five emissions pathways aligned with the socioeconomic forecasts of the Intergovernmental Panel on Climate Change (IPCC's Shared Socioeconomic Pathways - SSPs), and considering short (0-5 years), medium (5-10 years) and long (more than 10 years) time frames. For physical risks, the Group has considered seven sources of risk that are relevant to Inditex's business. After identifying and assessing the potential impacts deriving from the sources of climate risks (including the most significant ones associated with a disruption of operations at key facilities, damages to physical assets or disruptions to the supply of raw materials), no material risks were detected that affect the reported Taxonomy activities. Furthermore, the Group has defined adaptation measures aimed at reducing its exposure to risks, thereby adapting to the consequences of climate change.

① For more information on the assessment of climate risks, see section [6.1.5 Risks and opportunities arising from climate change](#) of this Report.

Compliance with the criteria for minimum social safeguards

For any economic activity to be considered to be aligned, it must be carried out in accordance with the OECD Guidelines for Multinational Enterprises and the United Nations Guiding Principles on Business and Human Rights.

The Group applies to its operations and business decisions an approach based on the development of due diligence processes, which enables the Group to identify, prevent, mitigate and remedy if applicable the impacts on the economy, the environment and people (including those related to human rights). In this regard, the Group's Human Rights Strategy is consistent with the UN Guiding Principles on Business and Human Rights and based on three pillars for integrating the promotion of and respect for human rights throughout the value chain: the Group's Policy on Human Rights, due diligence and grievance mechanisms. There are also policies and procedures in connection with competition, anti-corruption, responsible business, conflicts of interest and fiscal responsibility. It is worth highlighting the Code of Conduct, aimed at ensuring a professional, ethical and responsible commitment from the Group and everyone belonging to it in the course of their activities, as a basic element of the business culture.

① More information in sections 5.1.2. *Human rights due diligence* and 8.1. *Corporate ethical culture and solid compliance architecture* of this Report.

3. Calculation of indicators and results

Having assessed the eligibility and alignment of the activities identified, the next step was to calculate the related indicators (turnover, CapEx and OpEx) for each of them. The process of calculating these key performance indicators involves analysing the Group's consolidated information, excluding intercompany transactions and avoiding double-counting through the processing of accounting information, bearing in mind the adjustments made in the consolidation process, using a single source of information to avoid considering the same item twice, and checking the traceability and accuracy of the information. The Group's Annual Accounts are used to analyse the turnover and OpEx key performance indicators.

The turnover, CapEx and OpEx key performance indicators represent the proportion of the Group's turnover, investments in assets and operating expenditure, respectively, that adheres to, whether in the form of eligibility or alignment, the requirements outlined in the Taxonomy. To construct the numerators of the three key performance indicators, the corresponding items identified as eligible or aligned as per the Taxonomy are considered. With regard to the denominators:

- **Turnover:** the denominator includes the ordinary revenue in the year. Revenue from Group companies, grants or gifts, among others, are not taken into account. Specifically, the figure is taken from the information on additions reported in Inditex's Consolidated Annual Accounts (*Note 4*).
- **CapEx:** the denominator includes additions to assets, including those derived from business combinations and rights of use. Therefore, the Group considers all additions to property, plant and equipment, intangible assets and rights of use in accordance with IFRS 16. Specifically, the figure is taken from the information on additions

reported in Inditex's Consolidated Annual Accounts (*Notes 14, 15 and 16*).

- **OpEx:** the denominator includes the expenses associated with research and development, building renovation measures, short-term leases and maintenance or repairs that ensure the proper functioning of the assets.

The results obtained for each of these key performance indicators are shown below, alongside the respective conclusions.

/ Turnover

In keeping with the previous information, no items of turnover have been identified that could be considered eligible as per the current Taxonomy. This means that the eligible turnover results in 2023 are approximately 0%. Therefore, this key performance indicator has not experienced any changes with regard to the previous financial year.

/ CapEx

The Inditex Group considers eligible accounting items⁸⁶ linked to the following investment types within the framework of the mitigation and adaptation objectives:

- **Renovation of existing buildings** (Activity 7.2. CCM)
- **Acquisition and ownership of buildings** (Activity 7.7. CCM)
- **Electricity generation from wind power** (Activity 4.3. CCM)

The percentage of investment in environmentally sustainable activities in 2023 (3.41%), increases compared to that reported in 2022 (0.65%). The difference between the two results lies mainly in the inclusion of the items linked to the construction actions at logistics centres, as well as those related to the new corporate building and Punta Langosteira Outer Port Wind Facility projects, analysed above.

As explained above, and as shown at the historical level, no significant accounting items linked to the CCM 7.3. activity have been identified in 2023. This activity represented a 0.12% share of Taxonomy-eligible but not environmentally sustainable CapEx in 2022.

Likewise, and in contrast to what was reported in 2022 (0.35%), in 2023 there are no eligible activities under the taxonomy that are not environmentally sustainable. This is because all eligible investments are environmentally sustainable activities that comply with the taxonomy. As with the eligibility results, this difference is due to the Group's efforts to implement measures aimed at guaranteeing the current and future alignment of the actions linked to the acquisition and ownership of buildings (activity 7.7. CCM) and with electricity generation from wind power (activity 4.3. CCM) with the Taxonomy's technical screening criteria.

⁸⁶ As indicated, items linked to activities 7.7 CCM and 4.3 CCM are included in the numerator through the investment plan, as explained previously.

It is also due to the high degree of alignment of the remaining items linked to the acquisition and ownership of buildings, owing to the Group's work to create an internal management framework to facilitate the adaptation of the way of working, purchasing and reporting of the teams linked to this activity in accordance with the Taxonomy's technical screening criteria.

/ OpEx

Consistent with the foregoing, the criterion for calculating OpEx is unchanged with respect to the previous year. Consequently, eligible OpEx is observed to be approximately 0% of the Inditex Group's total OpEx in 2023. Therefore, this key performance indicator has not experienced any changes with regard to the previous financial year.



Turnover	2023		Substantial Contribution Criteria							DNSH criteria ('Does Not Significantly Harm')							Proportion of Taxonomy-aligned (A.1) or -eligible (A.2) turnover, year 2022	Category enabling activity	Category transitional activity
	Code(s) (t)	Turnover	Proportion of Turnover, year 2023	Climate Change Mitigation	Climate Change Adaptation	Water	Pollution	Circular Economy	Biodiversity	Climate Change Mitigation	Climate Change Adaptation	Water	Pollution	Circular Economy	Biodiversity	Minimum safeguards			
Economic activities																			
		M€	%	Y; N; N/EL (2)	Y; N; N/EL (2)	Y; N; N/EL (2)	Y; N; N/EL (2)	Y; N; N/EL (2)	Y; N; N/EL (2)	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	%	E	T
A. TAXONOMY-ELIGIBLE ACTIVITIES																			
A.1. Environmentally sustainable activities (Taxonomy-aligned)																			
Turnover of environmentally sustainable activities (Taxonomy-aligned) (A.1)		0.00 M€	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%								0.00%		
Of which Enabling		0.00 M€	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%								0.00%	E	
Of which Transitional		0.00 M€	0.00%	0.00%													0.00%		T
A.2 Taxonomy-eligible, but not environmentally sustainable activities (not Taxonomy-aligned activities)																			
		M€	%	EL; N/EL (3)	EL; N/EL (3)	EL; N/EL (3)	EL; N/EL (3)	EL; N/EL (3)	EL; N/EL (3)										
Turnover of Taxonomy-eligible but not environmentally sustainable activities (not Taxonomy-aligned activities) (A.2)		0.00 M€	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%								0.00%		
A. Turnover of Taxonomy-eligible activities (A.1+A.2)		0.00 M€	0.00%														0.00%		
B. TAXONOMY NON-ELIGIBLE ACTIVITIES																			
Turnover of Taxonomy-non-eligible activities		35,947 M€	100%																
TOTAL		35,947 M€	100%																

(1) The Code constitutes the abbreviation of the relevant objective to which the economic activity is eligible to make a substantial contribution, as well as the section number of the activity in the relevant Annex covering the objective, i.e.:

- Climate Change Mitigation: CCM.
- Climate Change Adaptation: CCA.
- Water and Marine Resources: WTR.
- Circular Economy: CE.
- Pollution Prevention and Control: PPC.
- Biodiversity and ecosystems: BIO.

(2) Y – Yes, Taxonomy-eligible and Taxonomy-aligned activity with the relevant environmental objective.

N – No, Taxonomy-eligible but not Taxonomy-aligned activity with the relevant environmental objective.

N/EL – Not eligible, Taxonomy-non-eligible activity for the relevant environmental objective.

(3) EL – Taxonomy-eligible activity for the relevant objective.

N/EL – Taxonomy-non-eligible activity for the relevant objective.

CapEx	2023			Substantial Contribution Criteria						DNSH criteria ('Does Not Significantly Harm')											
	Code(s) (1)	CapEx	Proportion of CapEx, year 2023	Climate Change Mitigation	Climate Change Adaptation	Water	Pollution	Circular Economy	Biodiversity	Climate Change Mitigation	Climate Change Adaptation	Water	Pollution	Circular Economy	Biodiversity	Minimum safeguards	Proportion of Taxonomy-aligned (A.1) or eligible (A.2.) CapEx, year 2022	Category enabling activity	Category transitional activity		
Economic activities		M€	%	Y; N; N/EL (2)	Y; N; N/EL (2)	Y; N; N/EL (2)	Y; N; N/EL (2)	Y; N; N/EL (2)	Y; N; N/EL (2)	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	%	E	T		
A. TAXONOMY-ELIGIBLE ACTIVITIES																					
A.1. Environmentally sustainable activities (Taxonomy-aligned)																					
Electricity generation from wind power	CCM 4.3.	4.46 M€	0.10%	Y	N	N/EL	N/EL	N/EL	N/EL	Y	Y	Y	Y	Y	Y	Y	0.00%				
Renovation of existing buildings	CCM 7.2.	11.44 M€	0.25%	Y	N	N/EL	N/EL	N (5)	N/EL	Y	Y	Y	Y	Y	Y	Y	0.30%		T		
Acquisition and ownership of buildings	CCM 7.7.	142.98 M€	3.07%	Y	N	N/EL	N/EL	N/EL	N/EL	Y	Y	Y	Y	Y	Y	Y	0.00%				
CAPEX of environmentally sustainable activities (Taxonomy-aligned) (A.1)		158.89 M€	3.41%	3.41%	0.00%	0.00%	0.00%	0.00%	0.00%	Y	Y	Y	Y	Y	Y	Y	0.30%				
Of which Enabling		0.00 M€	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	Y	Y	Y	Y	Y	Y	Y	0.00%	E			
Of which Transitional (4)		11.44 M€	7.20%	7.20%						Y	Y	Y	Y	Y	Y	Y	100.00%		T		
A.2 Taxonomy-eligible but not environmentally sustainable activities (not Taxonomy-aligned activities)																					
		M€	%	EL; N/EL (3)	EL; N/EL (3)	EL; N/EL (3)	EL; N/EL (3)	EL; N/EL (3)	EL; N/EL (3)												
Installation, maintenance and repair of energy efficiency equipment	CCM 7.3.	0.00 M€	0.00%	EL	N/EL (6)	N/EL	N/EL	N/EL	N/EL									0.12%			
Acquisition and ownership of buildings	CCM 7.7.	0.00 M€	0.00%	EL	N/EL (6)	N/EL	N/EL	N/EL	N/EL									0.23%			
CAPEX of Taxonomy-eligible but not environmentally sustainable activities (not Taxonomy-aligned activities) (A.2)		0.00 M€	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%									0.35%			
A. CapEx of Taxonomy-eligible activities (A.1+A.2)		158.89 M€	3.41%	3.41%	0.00%	0.00%	0.00%	0.00%	0.00%									0.65%			
B. TAXONOMY-NON-ELIGIBLE ACTIVITIES																					
CapEx of Taxonomy-non-eligible activities		4,503 M€	96.59%																		
TOTAL		4,662 M€	100%																		

(1) The Code constitutes the abbreviation of the relevant objective to which the economic activity is eligible to make a substantial contribution, as well as the section number of the activity in the relevant Annex covering the objective, i.e.:

- Climate Change Mitigation: CCM.
- Climate Change Adaptation: CCA.
- Water and Marine Resources: WTR.
- Circular Economy: CE.
- Pollution Prevention and Control: PPC.
- Biodiversity and ecosystems: BIO.

(2) Y – Yes, Taxonomy-eligible and Taxonomy-aligned activity with the relevant environmental objective.

N – No, Taxonomy-eligible but not Taxonomy-aligned activity with the relevant environmental objective.

N/EL – Not eligible, Taxonomy-non-eligible activity for the relevant environmental objective.

(3) EL – Taxonomy-eligible activity for the relevant objective.

N/EL – Taxonomy-non-eligible activity for the relevant objective.

(4) The denominator used for the calculation of the percentages corresponds to the CapEx of environmentally sustainable activities (which comply with the taxonomy) (A.1).

(5) For the reporting exercise relating to the financial year 2023, it is not yet necessary to report on the alignment of activities related to the circular economy objective. However, this activity is eligible for the circular economy objective.

(6) Activities 7.3 and 7.7 reported for the CapEx of activities eligible according to the taxonomy but not environmentally sustainable (activities not aligned to the taxonomy) (A.2), do not include the climate change adaptation objective as they refer to the financial year 2022 reporting, where their eligibility for that objective was not reported.

Targets	Proportion of CapEx/ Total CapEx	
	Taxonomy-aligned per objective	Taxonomy-eligible per objective
CCM	3.41%	3.41%
CCA	0%	3.41%
WTR	0%	0%
CE	0%	0.25%
PPC	0%	0%
BIO	0%	0%

OpEx	2023		Substantial Contribution Criteria							DNSH criteria ('Does Not Significantly Harm')										
	Code(s) (1)	OpEx	Proportion of OpEx, year 2023	Climate Change Mitigation	Climate Change Adaptation	Water	Pollution	Circular Economy	Biodiversity	Climate Change Mitigation	Climate Change Adaptation	Water	Pollution	Circular Economy	Biodiversity	Minimum safeguards	Proportion of Taxonomy aligned (A.1) or eligible (A.2) OpEx, year 2022	Category enabling activity	Category transitional activity	
Economic activities																				
	M€	%		Y; N; N/EL (2)	Y; N; N/EL (2)	Y; N; N/EL (2)	Y; N; N/EL (2)	Y; N; N/EL (2)	Y; N; N/EL (2)	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	%	E	T	
A. TAXONOMY ELIGIBLE ACTIVITIES																				
A.1. Environmentally sustainable activities (Taxonomy-aligned)																				
OpEx of environmentally sustainable activities (Taxonomy-aligned) (A.1)		0.00 M€	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%								0.00%			
Of which Enabling		0.00 M€	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%								0.00%	E		
Of which Transitional		0.00 M€	0.00%	0.00%													0.00%		T	
A.2 Taxonomy-eligible, but not environmentally sustainable activities (not Taxonomy-aligned activities)																				
		M€	%	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL											
OpEx of Taxonomy-eligible, but not environmentally sustainable activities (not Taxonomy-aligned activities) (A.2)		0.00 M€	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%								0.00%			
A. OpEx of Taxonomy eligible activities (A.1+A.2)		0.00 M€	0.00%															0.00%		
B. TAXONOMY NON-ELIGIBLE ACTIVITIES																				
OpEx of Taxonomy-non-eligible activities		1,443 M€	100%																	
TOTAL		1,443 M€	100%																	

(1) The Code constitutes the abbreviation of the relevant objective to which the economic activity is eligible to make a substantial contribution, as well as the section number of the activity in the relevant Annex covering the objective, i.e.:

- Climate Change Mitigation: CCM.
- Climate Change Adaptation: CCA.
- Water and Marine Resources: WTR.
- Circular Economy: CE.
- Pollution Prevention and Control: PPC.
- Biodiversity and ecosystems: BIO.

(2) Y – Yes, Taxonomy-eligible and Taxonomy-aligned activity with the relevant environmental objective.

N – No, Taxonomy-eligible but not Taxonomy-aligned activity with the relevant environmental objective.

N/EL – Not eligible, Taxonomy-non-eligible activity for the relevant environmental objective.

(3) EL – Taxonomy-eligible activity for the relevant objective.

N/EL – Taxonomy-non-eligible activity for the relevant objective.

Other information related to taxonomy

Information on nuclear and fossil gas activities in Annex III of Delegated Regulation 2022/1214.

Nuclear energy related activities		
1	The undertaking carries out, funds or has exposures to research, development, demonstration and deployment of innovative electricity generation facilities that produce energy from nuclear processes with minimal waste from the fuel cycle.	No
2	The undertaking carries out, funds or has exposures to construction and safe operation of new nuclear installations to produce electricity or process heat, including for the purposes of district heating or industrial processes such as hydrogen production, as well as their safety upgrades, using best available technologies.	No
3	The undertaking carries out, funds or has exposures to safe operation of existing nuclear installations that produce electricity or process heat, including for the purposes of district heating or industrial processes such as hydrogen production from nuclear energy, as well as their safety upgrades.	No
Fossil gas related activities		
4	The undertaking carries out, funds or has exposures to construction or operation of electricity generation facilities that produce electricity using fossil gaseous fuels.	No
5	The undertaking carries out, funds or has exposures to construction, refurbishment, and operation of combined heat/cool and power generation facilities using fossil gaseous fuels.	No
6	The undertaking carries out, funds or has exposures to construction, refurbishment and operation of heat generation facilities that produce heat/cool using fossil gaseous fuels.	No

9.1.2. Indicators for management of the supply chain

GRI 3-3; 308-1; 308-2; 414-1; 414-2; AF7; AF8; AF16; AF17

a) Supplier clusters

	2023
Spain	
Number of suppliers with purchases in the year	138
Number of sewing factories associated with suppliers with purchases	76
Number of factories for other processes associated with suppliers with purchases ⁽¹⁾	284
Workforce of manufacturers working for Inditex in Spain	19,513
Portugal	
Number of suppliers with purchases in the year	114
Number of sewing factories associated with suppliers with purchases	366
Number of factories for other processes associated with suppliers with purchases ⁽¹⁾	325
Workforce of manufacturers working for Inditex in Portugal	39,761
Morocco	
Number of suppliers with purchases in the year	216
Number of sewing factories associated with suppliers with purchases	348
Number of factories for other processes associated with suppliers with purchases ⁽¹⁾	37
Workforce of manufacturers working for Inditex in Morocco	94,563
Türkiye	
Number of suppliers with purchases in the year	186
Number of sewing factories associated with suppliers with purchases	847
Number of factories for other processes associated with suppliers with purchases ⁽¹⁾	758
Workforce of manufacturers working for Inditex in Türkiye	330,926
India	
Number of suppliers with purchases in the year	122
Number of sewing factories associated with suppliers with purchases	146
Number of factories for other processes associated with suppliers with purchases ⁽¹⁾	298
Workforce of manufacturers working for Inditex in India	454,558
Bangladesh	
Number of suppliers with purchases in the year	150
Number of sewing factories associated with suppliers with purchases	273
Number of factories for other processes associated with suppliers with purchases ¹	209
Workforce of manufacturers working for Inditex in Bangladesh	965,797
Vietnam	
Number of suppliers with purchases in the year	11
Number of sewing factories associated with suppliers with purchases	108
Number of factories for other processes associated with suppliers with purchases ⁽¹⁾	59
Workforce of manufacturers working for Inditex in Vietnam	142,857
Cambodia	
Number of suppliers with purchases in the year	2
Number of sewing factories associated with suppliers with purchases	130
Number of factories for other processes associated with suppliers with purchases ⁽¹⁾	21
Workforce of manufacturers working for Inditex in Cambodia	126,171

China	
Number of suppliers with purchases in the year	367
Number of sewing factories associated with suppliers with purchases	1,304
Number of factories for other processes associated with suppliers with purchases ⁽¹⁾	1,684
Workforce of manufacturers working for Inditex in China	580,279
Pakistan	
Number of suppliers with purchases in the year	69
Number of sewing factories associated with suppliers with purchases	85
Number of factories for other processes associated with suppliers with purchases ⁽¹⁾	100
Workforce of manufacturers working for Inditex in Pakistan	497,524

(1) This includes factories assigned to suppliers in orders for the 2023 summer and winter campaigns. Includes raw materials processing, cutting, dyeing and washing, finishing non-textile product processes. For factories performing more than one process, their main process was considered.

b) Supply chain assessment

Audits by region in 2023

Geographic area	Traceability	Pre-assessment	Environmental pre-assessment	Social	Environmental	Other audits ⁽¹⁾	Total
Africa	4,206	64	11	324	70	157	4,832
Americas	105	25	3	48	8	30	219
Asia	5,512	1,590	233	4,209	1,208	1,199	13,951
Europe outside the EU	1,500	173	21	1,259	295	156	3,404
European Union	777	259	33	1,052	287	47	2,455
Total	12,100	2,111	301	6,892	1,868	1,589	24,861

Internal and external audits in 2023

	Traceability	Pre-assessment	Environmental pre-assessment	Social	Environmental	Other audits ⁽¹⁾	Total
Internal	179	16	0	195	33	1,083	1,506
External	11,921	2,095	301	6,697	1,835	506	23,355
Total	12,100	2,111	301	6,892	1,868	1,589	24,861

(1) Previously reported as 'special audits'. Includes audits carried out to verify the application of Inditex audit methodology (71 audits), verifications in specific areas such as those performed to assess the progress of corrective action plans or those related to various aspects of the CCMS (697 verifications) and Workers at the Centre programme monitoring visits (821 visits).

Social ranking and production volume of suppliers with purchase⁽¹⁾⁽²⁾

	2023			2022		
	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production
A	761	44%	42%	650	38%	37%
B	928	54%	57%	1,018	59%	61%
C	9	1%	0%	10	1%	0%
Subject to CAP	26	2%	1%	30	2%	1%
PR	9	1%	0%	21	1%	0%
Total	1,733	100%	100%	1,729	100%	100%

(1) Supplier A: Complies with the Code of Conduct. Supplier B: Does not comply with some non-relevant aspect of the Code of Conduct. Supplier C: Does not comply with some sensitive, but not conclusive, aspect of the Code of Conduct. CAP Supplier: Supplier in Corrective Action Plan. Supplier PR: Undergoing an auditing process.

(2) Figures include suppliers with more than 20,000 production units in the 2023 summer and winter campaign. Suppliers whose production is less than 20,000 units are excluded.

Social ranking and purchase volume of suppliers by region⁽¹⁾⁽²⁾

	2023			2022		
	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production
Africa						
A	177	74%	76%	144	72%	68%
B	55	23%	24%	44	22%	25%
C	2	1%	0%	1	0%	0%
Subject to CAP	3	1%	0%	4	2%	2%
PR	1	0%	0%	8	4%	4%
Total	238	100%	100%	201	100%	100%

	2023			2022		
	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production
Americas						
A	8	80%	92%	9	82%	95%
B	2	20%	8%	2	18%	5%
C	0	0%	0%	0	0%	0%
Subject to CAP	0	0%	0%	0	0%	0%
PR	0	0%	0%	0	0%	0%
Total	10	100%	100%	11	100%	100%

	2023			2022		
	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production
Asia						
A	329	34%	37%	267	28%	32%
B	629	65%	63%	675	71%	67%
C	2	0%	0%	5	1%	0%
Subject to CAP	4	0%	1%	6	1%	0%
PR	0	0%	0%	2	0%	0%
Total	964	100%	100%	955	100%	100%

	2023			2022		
Europe outside the EU	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production
A	54	26 %	28 %	47	20 %	23 %
B	135	65 %	67 %	160	70 %	71 %
C	5	2 %	0 %	4	2 %	0 %
Subject to CAP	13	6 %	5 %	18	8 %	5 %
PR	2	1 %	0 %	1	0 %	0 %
Total	209	100%	100%	230	100%	100%

	2023			2022		
European Union	No. of suppliers	% of suppliers	% of production	No. of suppliers	% of suppliers	% of production
A	193	62 %	61 %	183	55 %	57 %
B	107	34 %	38 %	137	41 %	42 %
C	0	0 %	0 %	0	0 %	0 %
Subject to CAP	6	2 %	0 %	2	1 %	0 %
PR	6	2 %	0 %	10	3 %	1 %
Total	312	100%	100%	332	100%	100%

(1) Supplier A: Complies with the Code of Conduct. Supplier B: Does not comply with some non-relevant aspect of the Code of Conduct. Supplier C: Does not comply with some sensitive, but not conclusive, aspect of the Code of Conduct. CAP Supplier: Supplier in Corrective Action Plan. Supplier PR: Undergoing an auditing process.

(2) Figures include suppliers with more than 20,000 production units in the 2023 summer and winter campaign. Suppliers whose production is less than 20,000 units are excluded.

c) Continuous improvement of the supply chain

Corrective Action Plans in the social area in 2023 at factories incurring in sensitive breaches of the Code of Conduct

Geographic area	Factories that have begun an improvement process	Factories that have improved their compliance	Factories in the process of improving	% CAPs completed successfully ⁽¹⁾
Africa	9	1	7	50%
Americas	3	2	1	100%
Asia	208	35	138	50%
Europe outside the EU	247	33	173	45%
European Union	23	6	12	55%
Total	490	77	331	48%

Corrective Action Plans in the environmental area in 2023 in factories incurring in sensitive breaches of the Green to Wear standard

Geographic area	Factories that have begun an improvement process	Factories that have improved their compliance	Factories in the process of improving	% CAPs completed successfully ⁽¹⁾
Africa	16	0	16	0%
Americas	2	0	2	0%
Asia	187	51	117	73%
Europe outside the EU	70	15	49	71%
European Union	52	2	43	22%
Total	327	68	227	68%

(1) The percentage of successfully completed corrective action plans is measured in terms of CAPs that have been initiated and completed during 2023. If we were to consider those completed in 2023 irrespective of their start date, the success rate does not change for this year.

9.1.3. Health and safety indicators of our products

GRI 3-3; 416-1; 416-2

Results of the Picking programme

The Picking Programme enables us to verify that our products comply with the Group's Clear to Wear (CtW), Physical Testing Requirements (PTR) and Safe to Wear (StW) health and safety standards. In 2023, initial compliance with our standards in our textile articles reached 98.2%. In cases of initial non-compliance (1.8%), we apply re-operation protocols that allow these products to be properly corrected, eliminating the presence of restricted substances and improving parameters such as colour fastness to achieve compliance.



Degree of initial compliance⁸⁷

	2023	2022
CtW – Chemical substances	99.2%	99.2%
PTR	99.3%	99.4%
CtW⁽¹⁾	98.5%	98.7%
StW – Parameters	99.9%	99.9%
StW – Design	99.7%	99.8%
StW	99.6%	99.7%
CtW + StW	98.2%	98.4%

(1) The CtW category takes into consideration compliance in both chemicals included in CtW and parameters included in PTR.

Degree of initial compliance by geographic area

Africa	2023	2022
CtW	99.4%	99.2%
StW	98.6%	99.0%
CtW+StW	98.0%	98.3%
Americas	2023	2022
CtW	100.0%	98.4%
StW	100.0%	100.0%
CtW+StW	100.0%	98.4%
Asia	2023	2022
CtW	98.3%	98.4%
StW	99.8%	99.8%
CtW+StW	98.1%	98.3%
European Union	2023	2022
CtW	99.5%	99.7%
StW	99.6%	99.7%
CtW+StW	99.1%	99.3%
Europe outside the EU	2023	2022
CtW	98.0%	99.3%
StW	100.0%	99.7%
CtW+StW	98.0%	98.9%

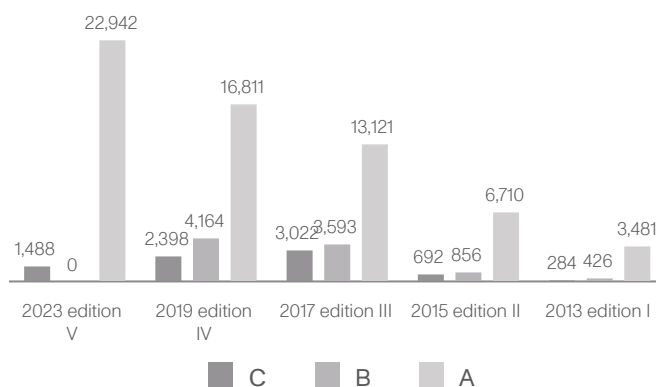
⁸⁷ The initial degree of compliance was calculated as the ratio of the number of items meeting each of the Group's standards (CtW, PTR, StW) to the total number of items, in both cases corresponding to the 2023 summer/winter campaign. The information used for this calculation is available in the Company's systems, and is obtained from laboratory analyses carried out as part of our product health and safety control procedure.

The List, by Inditex programme

The List, by Inditex contains a register of commercially available chemical products used in the manufacturing processes of textile and leather goods. In 2023 we carried out the upgrade of the 5th Edition of the programme, with a total of 20,747 analyses, allowing 24,430 chemical products to be classified. In this update, category B was removed and B products were reclassified into categories A and C, becoming a positive and negative list of chemicals.

	5th edition	4th edition	3rd edition	2nd edition	1st edition
Manufacturers	27	24	22	15	10
No. of manufacturer requests	122	98	78	5	10
(acceptance %)	3%	4%	13%	100%	100%
No. of chemical products classified	24,430	23,373	19,736	8,258	4,191
No. of analyses	20,747	83,257	34,605	8,289	1,774

The total number of products from The List, by Inditex is included. The calculation methodology includes primary data obtained through statements from the service provider.



Chemical products "A": their use is permitted in Inditex production with no further analysis by the institutions that use them.

Chemical products "B" (I to IV edition): their use in the Inditex supply chain is subject to further analyses during production, as indicated in the Green to Wear standard.

Chemical products "C": the use of these chemicals is prohibited in Inditex production.



9.1.4. Corporate community investment indicators

GRI 201-1; 203-1; 203-2

	2023	2022
Corporate Community Investment (in euros)	112,620,940	87,870,420

Form of contribution (in euros)	2023	% 2023	2022	% 2022	
Cash	61,989,093	55%	46,280,569	53%	Management costs included
Time	10,165,198	9%	9,413,346	11%	
In-kind	38,471,409	34%	30,266,626	34%	
Management costs	1,995,239	2%	1,909,879	2%	
Total	112,620,940	100%	87,870,420	100%	

Category (in euros)	2023	% 2023	2022	% 2022	
Charitable gifts	2,385,311	2%	1,753,555	2%	Management costs excluded
Community investment	71,656,411	65%	58,720,596	68%	
Commercial initiatives in the community	36,583,978	33%	25,486,390	30%	
Total	110,625,701	100%	85,960,541	100%	

Issue addressed (in euros)	2023	% 2023	2022	% 2022	
Education	16,793,714	15%	14,094,888	16%	Management costs excluded
Health	8,155,823	7%	6,564,862	8%	
Economic development	3,896,099	4%	3,992,003	5%	
Environment	25,342,750	23%	19,385,452	23%	
Arts and culture	995,682	1%	891,955	1%	
Social welfare	9,782,036	9%	9,191,329	11%	
Emergency relief	45,659,596	41%	31,840,052	37%	
Others	0	0%	0	0%	
Total	110,625,701	100%	85,960,541	100%	

Location of the activity (in euros)	2023	% 2023	2022	% 2022	
Spain	38,485,619	35%	28,355,155	33%	Management costs excluded
Europe ex-Spain	26,187,705	24%	22,569,569	26%	
Americas	23,043,128	21%	13,774,978	16%	
Asia and rest of the world	22,909,248	21%	21,260,838	25%	
Total	110,625,701	100%	85,960,541	100%	

SDG (in euros)	2023	% 2023	2022	% 2022	
1. No poverty	4,983,326	4.5%	3,750,457	4.4%	
2. Zero hunger	139,171	0.1%	99,188	0.1%	
3. Good health and well-being	8,235,576	7.4%	7,670,746	8.9%	
4. Quality education	8,190,421	7.4%	7,182,324	8.4%	
5. Gender equality	8,546,153	7.7%	5,122,683	6.0%	
6. Clean water and sanitation	1,351,753	1.2%	2,597,186	3.0%	
7. Affordable and clean energy	2,500	0.0%	2,500	0.0%	
8. Decent work and economic growth	11,014,539	10.0%	7,931,367	9.2%	
9. Industry, innovation and infrastructure	2,274,924	2.1%	2,501,301	2.9%	% management costs excluded
10. Reduced inequality	21,637,113	19.6%	17,760,641	20.7%	
11. Sustainable cities and communities	850,340	0.8%	722,389	0.8%	
12. Responsible consumption and production	27,727,459	25.1%	22,531,480	26.2%	
13. Climate action	2,327,147	2.1%	7,089,561	8.3%	
14. Life below water	159,993	0.1%	250,180	0.3%	
15. Life on land	12,036,912	10.9%	131,635	0.2%	
16. Peace, justice and strong institutions	338,392	0.3%	155,344	0.2%	
17. Partnerships for the goals	809,979	0.7%	461,558	0.5%	
Total	110,625,701	100%	85,960,541	100%	

Output indicators	2023	2022
Number of hours spent by employees on social initiatives during working hours	338,940	313,778
Number of social initiatives implemented	910	725
Number of garments donated to social causes	8,954,380	7,894,590
Number of direct beneficiaries	4,342,254	3,352,138
Number of community organisations supported	476	469

	2023	2022
Number of children with access to education	39,436	20,230
Number of people receiving professional training	11,777	16,143
Number of migrants, refugees and displaced persons served	968,630	1,861,489
Number of people receiving medical care	1,679,023	1,037,184
Number of employments created through community investment projects	6,841	6,234
Number of people accessing water and sanitation	1,065,990	753,616
Number of people benefiting from environment-related initiatives	59,502	—

	2023	2022
Leverage (in euros)	107,800,304	75,306,852

Impact indicators	2023	2022
Number of direct beneficiaries where results were measured	4,059,696	3,283,404

Depth of impact (number of beneficiaries that...)	2023	2022
Made a connection as a result of the initiative	294,863	403,097
Made an improvement as a result of the initiative	3,314,730	2,529,808
Made a transformation as a result of the initiative	450,103	350,499

Type of impact (number of beneficiaries that...)	2023	2022
Experienced a direct positive change in their behaviour or attitude	1,253,831	653,145
Developed new skills or an increase in their personal well-being	49,056	30,606
Experienced a positive impact on their quality of life	3,897,155	2,852,121

Social cash flow (in millions of euros)	2023	2022
Cash received from the sale of products and services	35,947	32,569
Flow received from financial investments	380	105
Cash received for sales of assets	0	0
Total value added flow	36,328	32,674

Distribution of value added flow (in millions of euros)	2023	2022
Remuneration to employees for their services	5,357	4,753
Tax on profits paid	1,460	1,176
Return of financial debt	-3	17
Dividends paid to shareholders	3,744	2,914
Corporate Community Investment	113	88
Cash retained for future growth	1,377	705
Payments made outside the Group for the purchase of goods, raw materials and services	22,464	21,666
Payments made for investment in new productive assets	1,816	1,355
Total distribution of value added flow	36,328	32,674

9.1.5. Inditex's contribution to the SDGs. Key indicators

SDGs	Targets	Section	Main indicator or related content (2016 GRI version if not stated otherwise)
	1.2	Communities	GRI 203-2
	1.4	Communities	GRI 203-2
	2.1	Communities	GRI 203-2
	2.4	Communities	GRI 203-2
	3.4	Our people	GRI 403-2 (2018)
	3.4	Supplier relations	Supply chain workers benefiting from health and safety programmes
	3.8	Communities	GRI 203-2
	3.9	The transition to a circular economy: resources, products and waste	Chemical substances included in the Manufacturing Restricted Substances List (MRSL)
	3.9	Climate change	GRI 305-1; GRI 305-2; GRI 305-3
	4.4 and 4.5	Our people	GRI 404-1
	4.4 and 4.5	Communities	GRI 203-2
	5.1	Our people	GRI 401-3; GRI 405-1; GRI 405-2
	5.1	Supplier relations	Supply chain workers benefiting from diversity, equality and inclusion programmes
	5.1	Communities	GRI 406-1
	5.1	Corporate ethical culture and solid Compliance architecture	GRI 405-1
	5.2	Supplier relations	GRI 414-2
	5.5	Corporate ethical culture and solid Compliance architecture	GRI 2-9 (2021)

SDGs	Targets	Section	Main indicator or related content (2016 GRI version if not stated otherwise)
	6.1	Communities	GRI 203-2
	6.4	Supplier relations	Number of environmental audits carried out and the resulting corrective action plans
	6.4	Water management	GRI 303-3 (2018)
	6.4	Communities	GRI 203-2
	7.2	Climate change	GRI 302-1
	7.2	Communities	GRI 203-2
	7.3	Climate change	GRI 302-4
	8.5	Our people	GRI 2-7 (2021); GRI 405-2
	8.5	Supplier relations	Workers involved in the Workers at the Centre 2023-2025 programmes
	8.5	Communities	GRI 203-2
	8.5	Corporate ethical culture and solid Compliance architecture	Policies formalizing Inditex's commitment to decent work
	8.6	Our people	GRI 401-1
	8.6	Communities	GRI 203-2
	8.7	Supplier relations	GRI 408-1; GRI 409-1
	8.8	Our people	GRI 2-30 (2021)
	8.8	Supplier relations	Actions taken for the protection of workers in the supply chain within the framework Workers at the Centre 2023-2025 GRI 407-1
	8.8	Communities	GRI 203-2
	9.2	Tax responsibility and transparency	GRI 201-1
	9.4	The transition to a circular economy: resources, products and waste	Initiatives developed by the Sustainability Innovation Hub
	9.4	Climate change	LEED y BREEAM certifications in own distribution centres, headquarters and stores
	9.4	Communities	GRI 203-1
	9.5	Information security and privacy	Technology-related information security initiatives
	10.2	Communities	GRI 203-2
	10.3	Our people	GRI 405-2
	10.7	Supplier relations	Workers benefiting from protection of migrants and refugees programmes

SDGs	Targets	Section	Main indicator or related content (2016 GRI version if not stated otherwise)
	11.1	Communities	GRI 203-1
	12.2	The transition to a circular economy: resources, products and waste	GRI 301-1; GRI 301-2
	12.2	Climate change	GRI 302-2
	12.2	Supplier relations	Traceability and supply chain management
	12.2	Communities	GRI 203-2
	12.4	The transition to a circular economy: resources, products and waste	GRI 301-2; GRI 306-1 (2020)
	12.5	The transition to a circular economy: resources, products and waste	GRI 306-3 (2020); GRI 306-4 (2020)
	12.8	Our customers	Number of enquires received by the various customer service channels
	13.1	Climate change	GRI 302-1; GRI 305-5
	13.1	Supplier relations	GRI 308-1
	13.1	Communities	GRI 203-2
	13.1	Corporate governance	GRI 201-2
	14.1	The transition to a circular economy: resources, products and waste	Actions within the framework of the commitment to Zero Discharge of Hazardous Chemicals (ZDHC)
	14.3	Climate change	GRI 305-1
	14.3	Communities	GRI 203-2
	15.1	The transition to a circular economy: resources, products and waste	Projects with recycled raw materials with less impacts
	15.1	Biodiversity and ecosystems	GRI 304-2
	15.2	Communities	GRI 203-2

SDGs	Targets	Section	Main indicator or related content (2016 GRI version if not stated otherwise)
	16.3	Communities	GRI 203-2
	16.3	Corporate ethical culture and solid Compliance architecture	Grievance mechanisms
	16.5	Corporate ethical culture and solid Compliance architecture	GRI 205-1
	16.7	Stakeholders	Requests attended by the individual shareholders' department
	16.7	Corporate ethical culture and solid Compliance architecture	GRI 2-10 (2021)
	17.3	Communities	GRI 203-2
	17.16	Our people	Cooperation relationship with international entities
	17.16	The transition to a circular economy: resources, products and waste	Cooperation relationship with international entities
	17.16	Climate change	Cooperation relationship with international entities
	17.16	Supplier relations	Cooperation relationship with international entities
	17.16	Communities	GRI 203-2
	17.16	Corporate ethical culture and solid Compliance architecture	Cooperation relationship with international entities
	17.17	Supplier relations	Public-private partnerships
	17.17	Communities	GRI 203-2

KEY:

Indicators selected by Inditex based on the guidelines in: *Business Reporting on the SDGs: An Analysis of Goals and Targets*.

Indicators established by Inditex that correspond to disclosures present in the GRI standards.

Internal indicators established by Inditex.

9.2. Content indexes

9.2.1. Index of the contents required by Act 11/2018

Index of the contents required by Act 11/2018⁸⁸

Information requested by Act 11/2018	Materiality	Pages of the Report where response is given	Reporting criteria: GRI (2016 version unless otherwise indicated)
General information			
A brief description of the business model that includes its business environment, its organisation and structure	Material	<u>117-120</u> , <u>131-132</u> , <u>166-169</u>	GRI 2-6 (2021)
Markets in which it operates	Material	<u>112-113</u> , <u>166-168</u>	GRI 2-1 (2021) GRI 2-6 (2021)
Organisation's objectives and strategies	Material	<u>105</u> , <u>107-108</u> , <u>139-144</u> , <u>166-175</u> , <u>190-193</u> , <u>234-235</u> , <u>237-240</u> , <u>283-287</u>	GRI 2-22 (2021)
Main factors and trends that may affect its future development	Material	<u>105</u> , <u>107-108</u> , <u>127</u> , <u>150-172</u>	GRI 3-3 (2021) GRI 2-22 (2021)
Reporting framework used	Material	<u>124-127</u>	GRI 1 (2021)
Materiality principle	Material	<u>183-187</u>	GRI 3-1 (2021) GRI 3-2 (2021)
Environmental issues			
Management approach: description and results of policies relating to these issues, as well as the main risks related to these issues related to the group's activities	Material	<u>166-175</u> , <u>190-192</u> , <u>225</u> , <u>230</u> , <u>234-240</u>	GRI 3-3 (2021)
Detailed general information			
Detailed information on the current and foreseeable effects of the company's activities on the environment and, where applicable, health and safety	Material	<u>192-199</u> , <u>241-242</u>	GRI 3-3 (2021)
Environmental assessment or certification procedures	Material	<u>199-201</u> , <u>236-240</u> , <u>344-345</u>	GRI 3-3 (2021)
Resources dedicated to the prevention of environmental risks	Material	<u>199-202</u>	GRI 3-3 (2021)
Application of the principle of precaution	Material	<u>192-193</u> , <u>197</u> , <u>231-233</u>	GRI 2-23 (2021) and GRI 3-3 (2021), with regard to the application of the principle of precaution
Amount of provisions and guarantees for environmental risks	Material	<u>127</u> , <u>192-193</u> , <u>197</u>	GRI 3-3 (2021)

⁸⁸ In addition to the selected GRI reporting contents, the linked contents of the Draft Apparel and Footwear (AF) Sector Supplement to the Global Reporting Initiative's G4 Guidelines are shown in the table.

Information requested by Act 11/2018	Materiality	Pages of the Report where response is given	Reporting criteria: GRI (2016 version unless otherwise indicated)
Pollution			
Measures to prevent, mitigate or repair emissions which severely affect the environment; taking into account any form of atmospheric pollution specific to an activity	Material	<u>190-194</u> , <u>199-202</u>	GRI 3-3 (2021) GRI 305-7
Including noise and light pollution	Non-material	<u>183-187</u>	Not applicable
Circular economy and waste prevention and management			
Prevention, recycling and reuse measures, and other forms of recovery and disposal of waste	Material	<u>169-171</u> , <u>234-236</u> , <u>243-247</u>	GRI 3-3 (2021) GRI 301-3 with regard to recovered packaging products for reuse and recycling GRI 306-1 to 306-2 (2020) GRI 306-3 with regard to waste generated at the headquarters, logistics centres and own factories GRI 306-4 to 306-5 (2020)
Actions to fight against food waste	Non-material	<u>183-187</u>	Not applicable
Sustainable use of resources			
Water consumption and water supply according to local limitations	Material	<u>225-226</u>	GRI 303-1 to 303-3 (2018) GRI 303-5 (2018) with regard to total water consumption from own sources
Consumption of raw materials and measures taken to improve the efficiency of their use	Material	<u>236-243</u>	GRI 301-1 to 301-3 AF18, AF20
Direct and indirect energy consumption	Material	<u>197-199</u>	GRI 302-1 GRI 302-3
Measures taken to improve energy efficiency	Material	<u>169-175</u> , <u>192-202</u>	GRI 3-3 (2021) GRI 201-2
Use of renewable energies	Material	<u>192-193</u> , <u>198-202</u>	GRI 302-1 AF21
Climate change			
Greenhouse gas emissions generated as a result of the company's activities, including the use of the goods and services it produces	Material	<u>192-199</u>	GRI 305-1 GRI 305-2 GRI 305-3 GRI 305-4
Measures taken to adapt to the consequences of climate change	Material	<u>139-144</u> , <u>172-175</u> , <u>190-224</u>	GRI 3-3 (2021) GRI 201-2
Voluntary reduction targets set for the medium and long term to reduce greenhouse gas emissions and the means implemented for this purpose	Material	<u>190-202</u>	GRI 3-3 (2021) GRI 305-5
Biodiversity protection			
Measures taken to preserve or restore biodiversity	Material	<u>230-233</u> , <u>236-238</u> , <u>314</u>	GRI 3-3 (2021) GRI 304-3 with regard to measures taken to preserve biodiversity
Impacts caused by the activities or operations in protected areas	Material	<u>197</u> , <u>230-233</u> , <u>243</u>	GRI 3-3 (2021) GRI 304-1 GRI 304-2
Social issues concerning staff			
Management approach: description and results of policies relating to these issues, as well as the main risks related to these issues related to the group's activities	Material	<u>250-282</u>	GRI 3-3 (2021)

Information requested by Act 11/2018	Materiality	Pages of the Report where response is given	Reporting criteria: GRI (2016 version unless otherwise indicated)
Employment			
Total number and distribution of employees by country, gender, age and occupational classification	Material	<u>250-253</u>	GRI 2-7 (2021), regarding employees by labor contract and type, by gender GRI 405-1
Total number and distribution of employment contract modalities and annual average of permanent contracts, temporary contracts and part-time contracts by gender, age and occupational classification	Material	<u>254-255</u>	GRI 2-7 (2021), regarding employees by labor contract and type, by gender
Number of dismissals by gender, age and occupational classification	Material	<u>255-256</u>	GRI 3-3 (2021) GRI 401-1
Average salaries and their evolution broken down by gender, age and occupational classification or equal value	Material	<u>264-265</u>	GRI 3-3 (2021)
Wage gap, equal or average remuneration of jobs in the society	Material	<u>264</u>	GRI 3-3 (2021) GRI 405-2 with regard to the remuneration of women compared to men by gender, age and occupational classification
Average remuneration of directors and officers, including variable remuneration, allowances, indemnities, payment to long-term savings pension schemes and any other payment broken down by gender	Material	<u>138-139</u>	GRI 3-3 (2021)
Implementation of policies to disconnect from work	Material	<u>274</u>	GRI 3-3 (2021)
Number of employees with disabilities	Material	<u>262-263</u>	GRI 3-3 (2021) GRI 405-1
Organisation of work			
Organisation of working hours	Material	<u>266</u>	GRI 3-3 (2021)
Number of hours of absenteeism	Material	<u>280</u>	GRI 3-3 (2021) GRI 403-9 with regard to absenteeism hours
Measures designed to facilitate the enjoyment of amicable settlement and to promote the corresponding exercise of these by both parents	Material	<u>273-274</u>	GRI 3-3 (2021) GRI 401-3
Health and safety			
Occupational health and safety conditions	Material	<u>274-282, 294-295</u>	GRI 3-3 (2021) GRI 403-1 to 403-8 (2018)
Work-related accidents, in particular their frequency and severity, as well as occupational diseases; broken down by gender	Material	<u>278-280</u>	GRI 403-9 (2018) with regard to occupational accident injuries GRI 403-10 (2018) with regard to work-related ill health
Labour Relations			
Organisation of social dialogue including procedures for informing, consulting and negotiating with staff	Material	<u>265-266</u>	GRI 3-3 (2021)
Mechanisms and procedures the company has to promote the involvement of workers in the management of the company, in terms of information, consultation and participation	Material	<u>265-266</u>	GRI 3-3 (2021)
Percentage of employees covered by a collective bargaining agreement by country	Material	<u>266</u>	GRI 2-30 (2021)

Information requested by Act 11/2018	Materiality	Pages of the Report where response is given	Reporting criteria: GRI (2016 version unless otherwise indicated)
Assessment of collective bargaining agreements, particularly in the field of health and safety at work	Material	<u>265-266</u>	GRI 3-3 (2021) GRI 403-4 (2018)
Training			
Policies implemented in the field of training	Material	<u>268-272</u>	GRI 404-2
Total number of training hours by occupational category	Material	<u>268-270</u>	GRI 3-3 (2021) GRI 404-1
Universal accessibility			
Universal accessibility for people with disabilities	Material	<u>262-263</u>	GRI 3-3 (2021)
Equality			
Measures taken to promote equal treatment and equal opportunities between women and men	Material	<u>258-261</u>	GRI 3-3 (2021)
Equality plans, measures taken to promote employment, protocols against sexual and gender-based harassment	Material	<u>258-261</u> , <u>266</u> , <u>273-274</u>	GRI 3-3 (2021)
Policy against all types of discrimination and, where applicable, diversity management	Material	<u>256-263</u>	GRI 3-3 (2021)
Respect for human rights			
Management approach: description and results of policies relating to these issues, as well as the main risks related to these issues related to the group's activities	Material	<u>144-146</u> , <u>176-179</u> , <u>181-185</u> , <u>283-297</u> , <u>322-334</u>	GRI 3-3 (2021)
Application of due diligence procedures			
Application of due diligence procedures in the field of human rights and prevention of the risks of human rights violations and, where applicable, measures to mitigate, manage and repair potential abuses committed	Material	<u>144-146</u> , <u>176-182</u> , <u>283-297</u> , <u>346-350</u>	GRI 2-23 (2021) GRI 2-24 (2021) GRI 2-26 (2021) AF16
Allegations of cases of human rights violations	Material	<u>331</u>	GRI 3-3 (2021) GRI 406-1 AF12, AF13, AF14, AF16
Measures implemented to promote and comply with the provisions of the ILO fundamental conventions relating to respect for freedom of association and the right to collective bargaining; eliminating discrimination in employment and occupation; the elimination of forced or compulsory labour; the effective abolition of child labour	Material	<u>144-146</u> , <u>176-182</u> , <u>265-266</u> , <u>287-297</u> , <u>322-334</u>	GRI 3-3 (2021) GRI 407-1 GRI 408-1 GRI 409-1
Fight against corruption and bribery			
Management approach: description and results of policies relating to these issues, as well as the main risks related to these issues related to the group's activities	Material	<u>322-334</u>	GRI 3-3 (2021)
Measures adopted to prevent corruption and bribery	Material	<u>322-334</u>	GRI 3-3 (2021) GRI 2-23 (2021) GRI 2-24 (2021) GRI 2-26 (2021) GRI 205-1 to 205-3

Information requested by Act 11/2018	Materiality	Pages of the Report where response is given	Reporting criteria: GRI (2016 version unless otherwise indicated)
Measures to fight money laundering	Material	<u>322-334</u>	GRI 3-3 (2021) GRI 2-23 (2021) GRI 2-24 (2021) GRI 2-26 (2021) GRI 205-1 to 205-3
Contributions to foundations and non-profit entities	Material	<u>181-182, 298-305, 415</u>	GRI 2-28 (2021) GRI 201-1 with regard to community investment GRI 415-1
Information on the company			
Management approach: description and results of policies relating to these issues, as well as the main risks related to these issues related to the group's activities	Material	<u>166-172, 283-319, 341-350, 351</u>	GRI 3-3 (2021)
Company commitments to sustainable development			
The impact of the company's activity on employment and local development	Material	<u>298-314</u>	GRI 3-3 (2021) GRI 203-2
The impact of the company's activity on local populations and on the territory	Material	<u>283-314</u>	GRI 3-3 (2021) GRI 413-1 GRI 413-2
Relations maintained with local community actors and the modalities of dialogue with them	Material	<u>176-182, 283-314</u>	GRI 2-29 (2021) GRI 413-1
Partnership or sponsorship actions	Material	<u>181-182, 283-314, 378-380</u>	GRI 3-3 (2021) GRI 201-1 with regard to community investment
Subcontracting and suppliers			
Inclusion of social, gender equality and environmental matters in the procurement policy	Material	<u>144-146, 290-291, 341-350</u>	GRI 3-3 (2021) GRI 308-1 GRI 414-1 AF6, AF7
Consideration of its social and environmental responsibility in relations with suppliers and subcontractors	Material	<u>236-238, 296-297, 341-350</u>	GRI 2-6 (2021) GRI 308-1 GRI 414-1
Monitoring and audit systems and their results	Material	<u>241-242, 346-349, 372-375</u>	GRI 2-6 (2021) GRI 308-2 GRI 414-2 AF2, AF3, AF8, AF12, AF13, AF14, AF16
Consumers			
Measures for consumer health and safety	Material	<u>241-242, 319, 376-377</u>	GRI 3-3 (2021) GRI 416-1
Claims systems, complaints received and their resolution	Material	<u>318-319</u>	GRI 3-3 (2021) GRI 418-1
Tax information			
The benefits obtained country by country	Material	<u>352</u>	GRI 3-3 (2021) GRI 207-4 (2019)
Tax on profits paid	Material	<u>352-355</u>	GRI 3-3 (2021) GRI 207-4 (2019)
Public subsidies received	Material	<u>353</u>	GRI 201-4

Regulation (EU) 2020/852 - Taxonomy	Materiality	Pages of the Report where response is given	Reporting criteria
Qualitative information			
Accounting policy	Material	<u>358-364</u>	Regulation (EU) 2020/852 Regulation (EU) 2021/2178
Assessment of compliance with Regulation (EU) 2020/852	Material	<u>358-371</u>	Regulation (EU) 2020/852 Regulation (EU) 2021/2178
Contextual information	Material	<u>358-371</u>	Regulation (EU) 2020/852 Regulation (EU) 2021/2178
Quantitative information			
Taxonomy-eligible and aligned turnover	Material	<u>365-366</u>	Regulation (EU) 2020/852 Regulation (EU) 2021/2178 Regulation (EU) 2021/2139 Regulation (EU) 2023/2486
Taxonomy-eligible and aligned CapEx	Material	<u>367-368</u>	Regulation (EU) 2020/852 Regulation (EU) 2021/2178 Regulation (EU) 2021/2139 Regulation (EU) 2023/2486
Taxonomy-eligible and aligned OpEx	Material	<u>369-370</u>	Regulation (EU) 2020/852 Regulation (EU) 2021/2178 Regulation (EU) 2021/2139 Regulation (EU) 2023/2486

9.2.2. SASB reference table

Topic	Accounting Metric	Code	Disclosure
Management of Chemicals in Products	Discussion of processes to maintain compliance with restricted substances regulations	CG-AA-250a.1	Pages 236-242 , 349 , 376-377
	Discussion of processes to assess and manage risks and/or hazards associated with chemicals in products	CG-AA-250a.2	Pages 236-242 , 343-344 , 349 , 376-377
Environmental Impacts in the Supply Chain	Percentage of tier 1 supplier facilities and supplier facilities beyond tier 1 in compliance with wastewater discharge permits and/or contractual agreement	CG-AA-430a.1	In 2023, 100% of the suppliers and 98% of the factories under the scope of our Green to Wear environmental standard had authorization for all their hydric resources; 100% of suppliers and 99% of the factories had wastewater discharge ⁽¹⁾ permits and in 100% of suppliers and 98% of factories the direct or indirect discharge complies with the legal limits or the limits agreed with the External Effluent Treatment Plant. On the other hand, 88% of the suppliers and 92% of the factories under the scope of our Green to Wear environmental standard, meet the Foundational level of ZDHC in its direct discharges. Also, in line with our commitment to ZDHC, 80% of suppliers and 67% of factories comply with ZDHC limits applicable to the substances included in ZDHC Wastewater Guidelines v.1.1 in its direct and indirect discharges. As a consequence of the environmental audits, Corrective Action Plans are carried out in those cases in which it is necessary. During these plans, Inditex teams support suppliers and/or factories to correct the non-compliances detected, in accordance with the Company's philosophy of continuous improvement of the supply chain.
	Percentage of tier 1 supplier facilities and supplier facilities beyond tier 1 that have completed the Sustainable Apparel Coalition's Higg Facility Environmental Module (Higg FEM) assessment or an equivalent environmental data assessment	CG-AA-430a.2	All of our suppliers and manufacturers are audited against our Code of Conduct for Manufacturers and Suppliers, which includes a section on environmental compliance. Specifically, 95% of the suppliers and 93% of the factories active in 2023 which carried out any wet process, and that therefore are under the scope of our Green to Wear standard, have been environmentally audited ⁽²⁾ . These facilities process a large majority of the products that include any of these wet processes.

More information on pages [343](#), [349-350](#), [373-375](#)

(1) Includes suppliers and factories assigned to suppliers with more than 20,000 purchasing units in the summer and winter 2023 seasons, which are subject to an environmental audit. Calculated as those suppliers and factories whose last environmental audit conducted during the reporting year meets the water discharge criteria included in our Green to Wear standard.

(2) Includes suppliers and factories assigned to suppliers with more than 20,000 purchasing units in the summer and winter 2023 seasons that are under environmental audit scope. Calculated as the quotient of the number of suppliers/factories that have been environmentally audited (GtW or EPA) over the total number of suppliers/factories under environmental audit scope.

Topic	Accounting Metric	Code	Disclosure
Labor Conditions in the Supply Chain	Percentage of tier 1 supplier facilities and supplier facilities beyond tier 1 that have been audited to a labor code of conduct, percentage of total audits conducted by a third-party auditor	CG-AA-430b.1	All our suppliers and manufacturers are audited against our Code of Conduct for Manufacturers and Suppliers. This verification is carried out initially through a pre-assessment audit –carried out to all companies before they can become part of our supply chain– and subsequently periodically through social audits. Specifically, 57% of the suppliers and 58% of the factories active in the year 2023 were audited either through a pre-assessment or social audit during this same period⁽³⁾ To contextualise this data, it is necessary to take into account that the periodicity of the social audits varies depending on the ranking obtained in the previous audit. In this sense, the interval between audits of suppliers or manufacturers with A or B rankings will be longer than in those with a C or D ranking. In financial year 2023, 97% of suppliers active were ranked A o B. In 2023, 2,111 pre-assessment audits were carried out (99% carried out by external auditors), and 6,892 social audits (97% carried out by external auditors). Regardless of whether the audits are performed by internal or external auditors, the methodology used is both Inditex's own audit methodology and SLCP's. More information on pages 343, 346-348, 373-375
	Priority non-conformance rate and associated corrective action rate for suppliers' labor code of conduct audits	CG-AA-430b.2	Pages 343-348 , 373-375
	Description of the greatest labor and environmental, health, and safety risks in the supply chain	CG-AA-430b.3	Pages 150-161 , 286-297
Raw Materials Sourcing	List of priority raw materials; for each priority raw material: environmental and/or social factor(s) most likely to threaten sourcing, discussion on business risks and/or opportunities associated with environmental and/or social factors, and management strategy for addressing business risks and opportunities	CG-AA-440a.3	Pages 150-161 , 206-211 , 226-228 , 231-233 , 236-242 , 296-297 , 343-345
	Amount of priority raw materials purchased, by material, and (2) amount of each priority raw material that is certified to a third-party environmental and/or social standard, by standard	CG-AA-440a.4	Pages 239
Activity Metrics	Number of tier 1 suppliers and suppliers beyond tier 1	CG-AA-000.A	In 2023, Inditex's supply chain comprised 1,733 suppliers - equivalent to tier 1 and defined as direct suppliers with which Inditex maintains a commercial relationship –which, in turn, used 8,123 factories for the Group's productions– equivalent to suppliers beyond tier 1. Fashion item suppliers with production of over 20,000 units in the summer and winter 2023 campaigns are included. Suppliers with lower productions account for 0.19% of total production. Factories declared by suppliers in the product traceability systems for the orders of the summer and winter 2023 campaigns are included.

(3) Including suppliers and factories allocated to suppliers with more than 20,000 purchasing units in the summer and winter 2023 seasons. Calculated as those suppliers and factories with a pre-assessment or social audit performed during the reporting period.

9.2.3. GRI Content Index

Statement of use	INDITEX has reported in accordance with the GRI Standards for the period 01/02/2023 to 31/01/2024
GRI 1 used	GRI 1: Foundation 2021
Applicable GRI Sector Standards	Not applicable

GRI Standard	Disclosure	Page number(s) and/or direct answer	Omissions	External Assurance	Global Compact principle
GENERAL DISCLOSURES					
GRI 2: GENERAL DISCLOSURES 2021					
THE ORGANIZATION AND ITS REPORTING PRACTICES					
	2-1 Organizational details	<u>166, 180</u> Industria de Diseño Textil, S.A. For further information about the nature and legal form of the Company, refer to the 2023 Annual Corporate Governance Report available at the corporate web page of Inditex, Investors section, Good Corporate Governance heading. As for the location of the Company's headquarters, it is as follows: Avenida de la Diputación s/n Edificio Inditex, Arteixo, A Coruña, Spain Information about the location of the operations is available at the Annex I of the Annual Accounts: 'Composition of the Inditex Group', available at the corporate web page of Inditex, Investors section, Financial Information heading.			
	2-2 Entities included in the organization's sustainability reporting	<u>124</u> For further information about the entities included in the consolidated financial statements, refer to the Annex I of the Annual Accounts: 'Composition of the Inditex Group', available at the corporate web page of Inditex, Investors section, Financial Information heading.			

GRI Standard	Disclosure	Page number(s) and/or direct answer	Omissions	External Assurance	Global Compact principle
	2-3 Reporting period, frequency and contact point	<u>124</u> The Annual Report provides an account of Inditex Group's economic, social and environmental performance during financial year 2023, which runs from 1 February 2023 to 31 January 2024. It is a report which is published annually, and its date of publication for this financial year is 13/03/2024. Contact Details Individual Shareholders' Department accionistas@inditex.com Tel.: +34 901 33 02 12 Fax: +34 981 18 53 65 Investors Relations ir@inditex.com Tel.: +34 981 18 53 64 Fax: +34 981 18 53 65 Communication and Corporate Affairs press@inditex.com Tel.: +34 981 18 54 00 Inditex S.A. Edificio Inditex Avda. de la Diputación, s/n 15143 Arteixo, A Coruña, Spain +34 981 18 54 00 www.inditex.com			
	2-4 Restatements of information	<u>183-187, 194, 197, 198, 226, 250, 268, 274, 281, 318, 331</u> In respect of information presented for a different time horizon or covering a different entity than in previous reporting periods, the nuances of such changes are disclosed alongside the indicator in question.			
	2-5 External assurance	<u>126, 418-421</u>			
ACTIVITIES AND WORKERS					
	2-6 Activities, value chain and other business relationships	<u>113, 117-120, 145-146, 166-169, 176-182, 341-342, 372-373</u>		√ Pg. <u>418-421</u>	

GRI Standard	Disclosure	Page number(s) and/or direct answer	Omissions	External Assurance	Global Compact principle
	2-7 Employees	<u>250-255</u> The employee breakdown by type of contract (permanent/temporary) by region is: the Americas, 18,535 people - 93% permanent (1,428 people - 7% temporary), in Spain, 41,712 people - 87% permanent (6,049 people - 13% temporary), Europe (ex- Spain,) 61,350 people - 79% permanent (16,681 people - 21% temporary) and in Asia and rest of the world, 9,624 people - 62% permanent (5,902 people - 38% temporary). By region is: the Americas, 6,710 people - 34% full-time (13,253 people - 66% part-time), in Spain, 24,838 people - 52% full-time (22,923 people - 48% part-time), in Europe (ex-Spain), 27,798 people - 36% full-time (50,233 people - 64% part-time) and in Asia and rest of the world, 8,146 people - 52% full-time (7,380 people - 48% part-time). This data represents 100% of our employees. The employees with no guaranteed hours represent 2,378 people - 1.5% of the total workforce (1,744 women - 1.5% of the total, and 635 men - 1.5% of the total), and the 2.5% of the part-time employees (2.4% women and 3% men). This group is concentrated in markets in Asia and rest of the world. This data represents 100% of our employees.		✓ Pg. <u>418-421</u>	Principle 6
	2-8 Workers who are not employees		Information on non-employee workers is not available in the Company's systems with the required breakdown. Inditex is working on improving its systems to report this information.		
GOVERNANCE					
	2-9 Governance structure and composition	<u>130-141, 322-324</u> For further information about the Company's governance structure and practices, refer to the 2023 Annual Corporate Governance Report, available at the corporate web page of Inditex, Investors section, Corporate Governance heading.			
	2-10 Nomination and selection of the highest governance body	<u>130-132</u> For further information about the Company's governance structure and practices, refer to the 2023 Annual Corporate Governance Report, available at the corporate web page of Inditex, Investors section, Corporate Governance heading.			

GRI Standard	Disclosure	Page number(s) and/or direct answer	Omissions	External Assurance	Global Compact principle
	2-11 Chair of the highest governance body	<u>131</u> For further information about the Company's governance structure and practices, refer to the 2023 Annual Corporate Governance Report, available at the corporate web page of Inditex, Investors section, Corporate Governance heading.			
	2-12 Role of the highest governance body in overseeing the management of impacts	<u>130-133, 139-141, 176-178, 184, 323-332</u> For further information about the Company's governance structure and practices, refer to the 2023 Annual Corporate Governance Report, available at the corporate web page of Inditex, Investors section, Corporate Governance heading.			
	2-13 Delegation of responsibility for managing impacts	<u>130-141</u> For further information about the Company's governance structure and practices, refer to the 2023 Annual Corporate Governance Report, available at the corporate web page of Inditex, Investors section, Corporate Governance heading.			
	2-14 Role of the highest governance body in sustainability reporting	<u>124</u> The Board of Directors is the body responsible for reviewing and authorising the issuance of the Annual Report which includes the Statement on Non-Financial Information.			
	2-15 Conflicts of interest	<u>323-326</u> For further information about the related-party transactions and conflicts of interest, refer to the 2023 Annual Corporate Governance Report, available at the corporate web page of Inditex, Investors section, Corporate Governance heading.			
	2-16 Communication of critical concerns	<u>139-141, 176-179</u> For further information, refer to the 2023 Annual Corporate Governance Report, available at the corporate web page of Inditex, Investors section, Corporate Governance heading.			
	2-17 Collective knowledge of the highest governance body	<u>132-139</u> For further information about the Company's governance structure and practices, refer to the 2023 Annual Corporate Governance Report, available at the corporate web page of Inditex, Investors section, Corporate Governance heading.			
	2-18 Evaluation of the performance of the highest governance body	<u>139-144</u> For further information about the evaluation of the highest governance body's performance, refer to the 2023 Annual Corporate Governance Report, available at the corporate web page of Inditex, Investors section, Corporate Governance heading.			